General Insurance Corporation of India (GICRE)

Conference call transcripts, oldest-first. 12 call(s). Generated 2026-06-08.

Call: May 2023

([redacted]) '[redacted]', [redacted], [redacted]. [redacted], [redacted][[redacted] , [redacted]
General Insurance Corporation of India ''SURAKSHA'' , 170, J. Tata Road, Churchgate,
(Government of India Company) Mumbai 400020. INDIA Tel: 91-22-22867000
CIN: L67200MH1972GOI016133 IRDA REG NO.: 112 FAX Server: 91-22-229899600, www.gicofindia.com
E-mail: info@gicofindia.com
Ref. no.: GIC-HO/BOARD/SE-Q4-T/53/2023-24
To,
The Manager
Listing Department
BSE Limited
Phiroze Jeejeebhoy Tower
Dalal Street Mumbai – 400001 Date: May 2 9, 2023
The Manager
Listing Department
The National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor, Plot C/1,
G Block, Bandra Kurla Complex
Mumbai - 400051
Scrip Code: (BSE – 540755/ NSE – GICRE)
Dear Sir/Madam,
Sub: Transcript of conference call held with Investors and Analysts to discuss the financial results for the quarter ended 31st March 2023
In compliance with Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached herewith Transcript of the conference call held with Investors and Analysts on Friday, May 26, 2023, to discuss financial results for the quarter ended 31st March 2023.
The same is also available on the website of the Corporation at www.gicre.in .
Kindly take the above information on record.
Thanking You
Yours sincerely
For General Insurance Corporation of India
(Satheesh Kumar)
CS & Compliance Officer

"General Insurance Corporation of India Limited Q4 FY23 Earnings Conference Call"

May 26, 2023

MANAGEMENT MR. DEVESH SRIVASTAVA – CHAIRMAN AND MANAGING DIRECTOR, GENERAL INSURANCE CORPORATION OF INDIA LIMITED
MR. HITESH JOSHI – GENERAL MANAGER, GENERAL INSURANCE CORPORATION OF INDIA LIMITED
MS. JAYASHREE RANADE – CHIEF FINANCIAL OFFICER, GENERAL INSURANCE CORPORATION OF INDIA LIMITED
MS. RADHIKA RAVISHEKAR – CHIEF INVESTMENT OFFICER, GENERAL INSURANCE CORPORATION OF INDIA LIMITED
MR. RAJESH LAHERI – ASSISTANT GENERAL MANAGER, GENERAL INSURANCE CORPORATION OF

Moderator: Ladies and gentlemen, good day, and welcome to General Insurance Corporation of India Earnings Conference Call.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Binay Sarda from Ernst & Young. Thank you, and over to you.
Binay Sarda : Thanks, Michelle. Good morning to all the participants on the call and thanks for joining this Q4 FY '23 Earnings Call for General Insurance Corporation of India.
Please note that we have mailed out the "Press Release" to everyone and you can also see the results on our website as well as it has been uploaded on the stock exchange. In case you have not received the same, you can write to us and we'll be happy to send it over to you.
Before we proceed with the call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with our businesses that could cause future result, performance or achievement to differ significantly from what is implied by such forward-looking statements.
To take us through the Results of this Quarter and answer our questions, we have with us the management of GIC represented by Mr. Devesh Srivastava – Chairman and Managing Director and other top members of the management.
We'll be starting the call with a brief overview of the quarter gone past, and then we'll follow it up with a Q&A session.
With that said, I'll now hand over the call to Mr. Devesh Srivastava. Over to you, sir.
Devesh Srivastava: Good morning, everyone. I'm pleased to announce the "Financial Performance" for the Quarter Ended March 31st, 2023.
Over the past year, our unwavering commitment to refining or underwriting practices has been instrumental in driving a significant improvement in our combined ratio, positioning us for enhanced profitability and sustained growth. Moreover, the hardening cycle has helped us in our endeavor to enhance our performance at the underwriting level. Our goal has always been to maintain a healthy combined ratio and I'm proud to say that our efforts are paying off. Our relentless pursuit of excellence coupled with strategic initiatives and a prudent approach has resulted in a significant improvement in our overall performance, positioning us for a promising future and a better outlook.

Let me now take you through some of the key highlights of the financial performance:
The gross premium income of the company was Rs. 7,369.74 crores for Q4 FY23 as compared to Rs. 10,303.81 crores for Q4 FY22. The investment income increased to Rs. 2,897.21 crores in Q4 FY23 as compared to Rs. 2,826.59 crores in Q4 FY22. Incurred claims ratio declined to 73.7% in Q4 FY23 as compared to 96.9% during the last quarter, this is significant. Combined ratio in Q4 FY23 declined to 89.16% versus 116.21% during the last quarter. The adjusted combined ratio by taking into consideration the policyholders investment income works out to 86.95% for FY23 as compared to 93.11% in FY22. Profit before tax increased to Rs. 3,004.26 crores in Q4 FY23 as against Rs. 3,614.05 crores in Q4 FY22 and profit after tax increased to Rs. 2,563.84 crores in Q4 FY23 compared to Rs. 1,794.68 crores in Q4 FY22.
The solvency ratio stood at 2.61 as on 31st March 2023 as compared to 1.96 as on 31st December 2022. Net worth of the company without fair value change account increased to Rs. 32,356.08 crores on 31st March 2023 as against 24,439.

72 crores as on 31st March 2022. Net worth of the
company, including fair value change account increased to Rs. 61,700.11 crores as on 31st March 2023 as against Rs. 55,657.73 crores as on 31st March 2022.
On the premium breakup:
Domestic premium for FY23 is Rs. 25,384.50 crores and the international is Rs. 11,207.09 crores. The percentage split is domestic 69% and international 31%. There is a small degrowth in the domestic premium by 9% while the international book has decreased by 26%, we continue to work tirelessly towards a well thought out strategy to get as close to 100% combined on an annual basis in the shortest possible time and we are seeing our efforts paying dividends.
It has been our relentless focus to make our portfolio healthier and emerge as much a better and

profitable reinsurer over the long term. We are actively monitoring the competitive dynamics in the domestic and international market. And accordingly formulating our response on a continuous basis, we remain optimistic and are fairly confident of improved performance going forward.

Having given the highlights, we will now open the floor for questions. Thank you.

Moderator: Thank you very much, sir. We will now begin the question-and-answer session. We have the first question from the line of Shree Gopal Agarwal from Aagman Advisory LLP. Please go ahead.

Gopal Agarwal: So, this is Gopal Agarwal from Aagman Advisory. Sir, just wanted to know what has led to the improvement in combined ratio on the domestic front and can we expect the improvement in combined ratio to continue in the coming quarters?

Devesh Srivastava : Mr. Agarwal, the whole process is what we had always been stating that we are trying to make our portfolio healthier, the underlying portfolio of our operations. Domestic being something

that we are so well entrenched in the Indian market was the first one we tackled because that is within reach and it's much easier as compared to the international one, which has larger dynamics to cater to. So, in the domestic portfolio, we started looking at those treaties which were not doing well and we started pruning it or alternatively we started putting in conditions which are the usual tools of a reinsurer to make a portfolio healthier that could include a decrease in commissions or putting in a loss corridor and so on and so forth for giving a sliding scale commission. So, these are things that we put into our treaties. Simultaneously, we also grew our facultative book, which is hugely profitable for us. So, both these factors put together ensured that the domestic book started looking much pinker in health and the numbers are now reflecting exactly that effort coming to fruition. The international book is a bit trickier and also the fact that there have been a lot of incidences, hurricanes and sorts in the international, including the Turkey earthquake. So, which has, you know, I mean, international book is still something that we are looking at very closely. But having set the trend over the last 3 years, that is the trend we are going to continue even in future. There is nothing that is going to be changed in this path that we have chosen for ourselves.

Gopal Agarwal: Just one more thing. Any strategic initiative which you are taking to address this issue related to international business?

Devesh Srivastava : No, Mr. Agarwal, it is just the question of finding your right sweet spots and then going ahead with that. We are now modeling all the data that comes our way. We are looking at our pricing tools giving an indicative rate and you know anything and everything that we can do is what we are now doing while shedding business that was not making sense to us. There were a lot of things that we were possibly continuing for the sake of our relationship, or maybe that baggage that we had over the years, but then w

e are now forward-looking and are now making only decisions of taking treaties to our book which are making a profit for us in the long run or which have the hope of giving us a return in the year that we are writing it for.

Moderator: Thank you. The next question is from the line of Anirudh Agarwal from Valuequest Investment Advisors. Please go ahead.

Anirudh Agarwal: I think some of the strategic initiatives are finally paying off, so congrats on that. My first question was on the international book. So, how much was the final weighted average price increase that we got in this cycle?

Devesh Srivastava: Mr. Agarwal, I will request Mr. Hitesh Joshi, who is the General Manager looking after Reinsurance, to answer that.

Hitesh Joshi: I think this matter of international book getting better price increase was discussed at the last earnings call and the answer was that it depends on the geography and the peril. So, it I think if I remember correctly, it ranged between something like 20%-30% to something like 100%, say exclusives in Florida attracted even more than 100%. So, that is the thing which we have been repeatedly saying that Reinsurance market today is far more nuanced and far more segmented

as compared to a broad-based approach which used to be a thing in terms of the market trends a few years back. So, every country and within that country perils and alongside this country and peril, individual contracts, whether that contract has run well in terms of the surplus generated to the reinsurers or not, I mean every single contract gets its own individual treatment. So, the entire market is far more segmented and nuanced. I hope it answers your question.

Anirudh Agarwal: Right. No, it does. I think two things. One is okay, so then ideally, should we expect that all things remaining the same with this kind of price increase that we've seen there should be substantial reduction in combined ratio in the international book also going ahead?

Hitesh Joshi: Of course.
Anirudh Agarwal: Okay, but can I take it as if we are at 137% combined ratio right now in international book, is broadly the level of losses remain similar, then it can come off by 25%-30% next year, right? That is my understanding.
Hitesh Joshi: I would not like to put a figure of 25%, but whatever is the price hardening, I think will definitely get reflected and it should be a significant improvement over the current year performance because whatever is booked during January will pan out during next 2 years.
Anirudh Agarwal: On the domestic book, so all the insurers have basically been talking about the hardening on the domestic side as well, whether it is in terms of commission reduction or price increase. So, could you talk a little bit about that in the April cycle? How much impact are we seeing on pricing and commission reduction on domestic?
Hitesh Joshi: So, essentially, domestic market is also exposed to the same reinsurance global market trends. It cannot remain isolated. There can be some difference in terms of degrees. So, whatever happened globally also happened in Indian market. As far as GIC book is concerned, we have got risk adjusted rate change of around 35% on our non-proportional book and on a proportional book, we would like to put our risk adjusted rate improvement of something like 15%.
Anirudh Agarwal: So, what is the split between the proportional versus non-proportion on domestic right now?
Hitesh Joshi: Proportional would be around 85% and non-proportional would be around 7% to 8%. The balance 6%-8% being facultative.
Anirudh Agarwal: And this hardening cycle that you're seeing that is expected to continue, right, even as we go ahead given where we are in the cycle right now?
Hitesh Joshi: Among the reinsurance professionals, the consensus is that it will broadly continue for next 2 years

.
Anirudh Agarwal: And one question on the solvency, so now our solvency looks quite healthy. And 2 questions related to that. Given that the solvency is now healthy, is it possible that we will see a credit

rating change any time soon? And what is the criteria that credit rating agencies usually apply for a change? And second question related to that would be on the dividend front. So, given that we have healthy solvency, we have very high, our EPS is almost Rs. 40, but we have paid out only Rs. 7. So, what would be the dividend strategy going ahead, can it be materially higher in future years?
Devesh Srivastava: Mr. Agarwal, as far as solvency goes, yes, that was a considered call that we had taken of improving our solvency which we have accomplished. And if you would see the quarter-on-quarter results, you will see how it has actually inched upwards and moved North to where it stands today. But unfortunately or fortunately, it depends on how you take it. Rating agencies don't take solvency as the sole parameter. There are many other factors that go into the rating of a company which is pretty standard. For example, for us it is AM Best and they have their own BCAR score that they say best capital adequacy ratio. So, that is what they base their rating assessment on which has many factors going into it. So, but almost, of course, they have been noticing all the good things that GIC has been doing, not only in the last year but in the previous years as well. And I'm sure that will stand us in good stead when they come to review our performance sometime in the next couple of months, we are waiting for their arrival. So, let's see we will be showcasing whatever we have done and I'm sure that they will take it on board as to what we have because the numbers will speak for themselves. Now about the second point you said regarding dividend, now you see there is a standard dividend policy. There are a lot of factors that go into declaring of a dividend. You can obviously play to the gallery, but the point is that do we really need to also not consider feathering our own balance sheet with all the CAT that is happening around the world the way climate changes affecting us and therefore for an insurer or a reinsurer which are the final risk takers, it's important to have a healthy balance sheet and therefore, you must plough back the profits you make that is the long term sustainability that we believe in and that is the course that we are pursuing.
Anirudh Agarwal: Right. So, on the dividend front, we are now at a solvency of 2.66, right, which correct me if I'm wrong, but it's quite sufficient. So, from next year onwards, the question was that can we increase the payout ratio to at least 35%-40% if it's not more from 20% today?
Devesh Srivastava: Mr. Agarwal, these are factors that you will consider when you come to that bridge and cross it then. But the important point being also that you now have IFRS coming your way. Now you have risk-based capital coming your way. So, it's always good to prepare in advance. That is the thought process we call as a reinsurer, you must always look 2 years, 3 years forward. It's not quite a day-to-day operation.
Anirudh Agarwal: And risk-based solvency if it is implemented, could you just explain how that would impact our solvency ratio, how its calculation is different from what it is today?
Devesh Srivastava: Mr. Agarwal, that will be a long-drawn thing for me to tell you, but very gently put right now

the regulator says that your solvency assets to liability ratio should be 1.5 at the least. When you have a risk-based solvency, then you will be assessing each transaction or each risk that you take

on to your books from day one as to where is it going to land you into and then yo

u have the capital allocated to that accordingly. So, each transaction will have a capital associated and you will have to budget that in your books accordingly. This is much like what the Solvency II norms are in the West. So, it's going to be much the same.

Anirudh Agarwal: And the final question on the investment book side. So, this investment income that we've delivered in the current year should be sustainable going ahead, right? And with the hardening of interest rates, that should sustain our only growth from your end, if my understanding is right?

Devesh Srivastava: Mr. Agarwal, I'll request our CIO, Mrs. Radhika, to take that question please.

Radhika Ravishekar: This is Radhika Ravishekar, the CIO. So, can you just slightly repeat your query?

Anirudh Agarwal: Yes, I was seeing on the investment income that we've delivered for this year with the hardening of yields in the market, the investment income should only grow right as the book keeps getting repriced on the investment side.

Radhika Ravishekar: For the current year, yes. The yields have literally gone up because of the hardening of the interest rates. But going forward, we also don't feel that RBI will be continuously there will be rate hikes anywhere.

Anirudh Agarwal: Alright. And what would be the modified duration of the book if you can share?

Radhika Ravishekar: 5 to 7 years is the maximum that maturity that we are holding.

Moderator: Thank you. The next question is from the line of Arjun from Avendus Spark. Please go ahead.

Arjun: If you can give an idea on how the domestic rates have been, whether there is a hardening of domestic rates, will it be negated by the pricing going below, i.e., burning cost, some of the primary insurers have mentioned that fire, there is some kind of price correction that is happening. So, what would be the impact on that?

Hitesh Joshi: The price correction at the top end is expected to be kept at around 15% on the FLEXA coverage, which is the basic fire cover. In the premium for fire, there is an element of STFI which is, say, flood aspect of the cover, where there is a correction of price by around 25%. On overall basis for the fire class, the premium is expected to dip by 6% to 10% by various estimates and depending on the strategy of a particular insurer. So, in response to this, we have tweaked the terms on our proportional side, non-proportional side. We have introduced loss corridors. So, we believe that risk adjusted basis as I said earlier we are better off by something like 15% on proportional and 35% on non-proportional.

Arjun: Thank you, sir. Our ROEs and combined ratio focus has played out really well. If you can help us get an idea on the growth targets, if you have any for FY24 and 25, what that would be so?

Devesh Srivastava: Arjun, we have worked an internal strategy. I think the correction that we have been making which has almost come to a conclusion, we have reached an inflection point and now we will see profitability with growth. So, that is something we're charting for ourselves and see for a reinsurer that I've always been emphasizing growth is something that you can double your premium in the next 3 months. But then with doubling the premium will come tripling of the losses. Would you really want that? So, it's a call you have to take. Now that we are stable and we have set our own processes in place. This is the time when now we will look forward for profitability with growth that will be the mantra.

Arjun: Sir, you have had a great tenure last 4 years, just a question on, is there any cap on your tenure or on your tenure if you can give some clarity?

Devesh Srivastava: Yes, sure Arjun. So, I mean your tenure is coterminous with the day you turn 60, the last day of the month in which you turn 60, which will happen in my case on the 30th of September this

year. But the process has already started and soon we should be having a new man come in who will be, you know, so I can hold his hand or her hand and take it forward.

Arjun: Sir, just a question on obligatory business, last April I believe they reduced it to 4%. Is there anything due you are expecting this year as well whether there will be a relook taken on that mandatory ceding portion ?

Devesh Srivastava: Now Arjun, for 23-24, it's already been mandated at 4%. So, anything that changes can only happen in 24-25 now, which is still a way off, and the way the thought processes are that I think status quo would be, I mean, let's see how it pans out.

Arjun: One last question from my side. With respect to overseas combined ratio, ideally we can compare ourselves with the overseas reinsurers' P&C combined ratios. So, they have seen 95%-97% or 92% in the last one year as well as one Q23. But where the difference arises comparing global peer in the foreign book and our book, is it the product mix or geography mix and within foreign book also, even if catastrophe losses were to be the spoiler, but I see our motor combined ratio being very high. So, that is also because of catastrophe kind of events that happened or anything specific? Just wanted to understand that foreign book part a bit better?

Devesh Srivastava: Arjun, see the last 4-5 years have been bad for reinsurers as a whole. That is why the price hardening trend that you are seeing now. That is one of the major factors that has led to this price hardening that we are witnessing in the market. So, globally, reinsurers have had a hit. There have been a lot of cat events. And we are not alone in the business because we are also a subscription market. We have also therefore done badly as far as the foreign book is concerned, but yes, there is ample scope for improvement when you basically try to meander your way through the various proposals that come to you and choose the ones that you feel with the expertise that you have built up that yes, this is going to give me a profit, or at least break even by the end of the term. And therein lies the worth of an underwriter. So, we are now pursuing the chart. But coming to your next question about motor, yes motor there was there were a couple

of contracts that we had written which proved to be costly to us. But those have now been discontinued and going forward, once they play out, the trend should be much improved in our foreign book as well.

Moderator: Thank you. The next question is from the line of Kailash Baheti, an individual investor. Please go ahead.

Kailash Baheti: Congratulations to the entire management team on excellent progress on all parameters and the shareholder wealth creation centric approach. I think CAT reserve creation is also a great conservative step. And once again, congratulations on such forward-thinking mindset. Such things I'm sure will bring shareholder delight sooner than later. My questions are now that there has been significant reduction in the premium written. Will our investment book continue to grow? That's my first question.

Jayashree Ranade: Good morning, Mr. Kailash, this is Jayashree Ranade, CFO. Sir, you would have seen that our investment kitty, investment funds are quite well. And there is a good return on investment, which we generate. Our premium is reduced, yes, that can be seen. But with that, the claims payments are also controlled. So, in nutshell, I mean in a summarized way, overall outgo from the operation and overall income from the operations will be more or less having the similar impact on our cash flows. And due to that, we expect that our investment book will still grow going forward. So, yes, so there won't be much of an impact because that mechanism will work this way, Yes.

Devesh Srivastava: I think Mr. Baheti if I can just add to

what the CFO ma'am just said, see the whole emphasis was on improving your own operations efficiency. The moment that happens earlier, the trend has been that your investment income would be subsidizing your operations cost. The call that we took was that the investment income should be the icing on the cake, not be the cake itself. And with that as your cash flow goes less and less towards payment of claim because you're writing a much healthier book. You have so much more cash available with the investment department to churn and with a blended rate of return being so good, that trend will continue.

Kailash Baheti: Great to hear. On the point of revision in rating, I think most of the parameters have now fallen in place, perhaps growth is the only one which would be lagging or there are others on which also the team is working.

Devesh Srivastava: Mr. Baheti, as I just said earlier, that growth is not really a criteria for a reinsurer. It's very easy for me to double my premium, not even in the next 2 months. I can do it in one month itself. But then with doubling your premium comes tripling with the losses. Would you really want that as an investor? So, that may be a small criteria, but it doesn't play such an earthshaking thought process for the rating agencies. There are many other aspects that is considered and I think we have ticked in quite a few boxes and with aplomb, so that should be very well received by the rating agency.

Kailash Baheti: Obviously, the investor will obviously not like that as we pursue growth, the underwriting standards are in anyway compromised. That would be the last thing we will think because that has already in past played havoc. My last question is on the brand building and last time I had suggested that the investor presentation document should have significantly more details and I mentioned about some private sector banks or private sector insurers or even international

insurers giving a lot of details and secondly, releasing that document before the investor concalls.
These are the things which improve the confidence of investors. Any thought on that?
Devesh Srivastava: Yes, Mr. Baheti, we are in the process of doing that as well. Transparency has never been an issue because you know our balance sheet is placed before the Parliament of India. So, every figure there is under huge amount of scrutiny and has stood the test of time, so transparency is never the issue. Possibly the way we package what we are doing may require some more bells and whistles which we will be doing, definitely.
Kailash Baheti: Exactly, that was my meaning when I said transparency is how much you are able to communicate and not for a moment doubting integrity. That's absolutely out of the question.
Congratulations Deveshji on your very successful tenure and best wishes for your future. Thank you.
Moderator: Thank you. The next question is from the line of Deepika Mundra from JP Morgan. Please go ahead.
Deepika Mundra: Sir overall in the year we've seen about a 15% drop in the premium. I just want to get a sense as to how much of this has been voluntary cancellation of certain treaties because they have been loss making in the past?
Devesh Srivastava: Ms. Deepika, if I can tell you, the trend is that you see, insurance is sold, it's never bought. Yes, but that is not the case with reinsurance. Reinsurance is always bought because here the purchaser and the seller both have an equal amount of knowledge about what is being transacted.
That is the beauty of the business of reinsurance. So, here, whatever you shed is something that you wanted to give out. In the London market, you have underwriters who state with a great deal of pride that my rejection ratio is 80%. So, you can imagine of the 100 proposals that he'll be receiving, he'll be rejecting 80 of them. So, it is not that

things have not come your way. Maybe there could be something that has slipped between the cracks, but that could be not even so running into two figures. The number of such proposals that would have slipped between the cracks. This would be something that you have consciously done to improve your underlying portfolio.
Deepika Mundra: So, this is again pruning of the portfolio to make it profitable like you'll have been targeting for quite some time now. Sir the second question is regarding the CAT reserve, so firstly is this primarily done for the international market and can I please understand why would you not take this in the claims rather than and you know, make it as a separate provision because it would be a form of creating like some sort of an IBNR, right?

Devesh Srivastava: I will just request Mr. Joshi to take that.
Hitesh Joshi: So, CAT reserve for our entire risk book, whether it is domestic or foreign, and it is linked to the operating surplus of a given revenue account, say marine, fire and miscellaneous. So, that is common corpus which we are creating to meet CAT across our entire risk book, it is not for international or domestic. Does it answer?
Deepika Mundra : And just in terms of the accounting treatment, is it common practice to not take it in the claims ratio?
Jayashree Ranade : IRDA's format if you look at it, they have provided a separate appropriation for each of the revenue account, what should go to shareholders funds and what should go to policyholders funds, so this CAT reserve, being policyholders funds but does not form a part of the provisioning for IBNR, right. It straight away goes into reserves and surplus separate item. This is what IRDA's format suggests. According to that, accounting treatment has been given.
Moderator: Thank you. The next question is from the line of Mahesh from Punjab National Bank. Please go ahead.
Mahesh Peswani: Mahesh Peswani here from PNB Investment Services. My first query is that we have turned around in the last quarter of FY23. We have reported an underwriting profit in the quarter ended March 23. I would like to know how it has been done as some clarity on that and how would it go forward in FY24?
Hitesh Joshi: Sir, I would like to say that this is just a continuation of the journey and it must not be seen as a blip. I think we have been reiterating our stand in terms of the underwriting discipline and that is reflected in our decrease in topline over last 3 years. So I think that should answer that it is not one quarter thing. It is a continuation of deliberate effort and strategy being followed.
Moderator: Thank you. The next question is from the line of Karthikeyan K, an individual investor. Please go ahead.
Karthikeyan K: I'm an individual investor for last 5 years. I'm, I'm glad to see the dividend coming in. My first question is what's the growth outlook? I mean not for one year maybe for like next 3 years.
Devesh Srivastava: Mr. Karthikeyan, for a reinsurer, slow and steady always wins the race because you want to provide stability. As risk takers, we are already in the business of assuming so much of risk that the world has to offer. Now any Maverick approach doesn't really pay dividends, so we will be

growing slowly and steadily with the basic thought process of profitability with growth.
Karthikeyan K: Sir, my next question is the last time when the AM Best rated right, they were concerned about reconciliation of advances and deposits with the other primary insurers, other reinsurers. So, that is being completed now or what kind of situation we are in now there?

Devesh Srivastava: I just request our CFO ma'am, to take that please.
Jayashree Ranade: Yes, there was a qualification last year, but we implemented certain

systems inside our SAP and
our SOP, standard operating processes with which we are able to confirm majority of the balances and the system continues. And with that, our auditors were satisfied also and this actually observation has been removed since third quarter accounts and in the fourth quarter also, now it is part of only emphasis of matter. The systems are working very well now. Whatever balances etc. we write, we also attach a confirmation along with that on a periodical basis. So, that helps the auditors to check it and okay it. So that already systems in place and we are working, for the most of the balances now are confirmed balances. For small margin we are working heavily and we will come out of it. It will be confirmed balances like here. This is the position.
Karthikeyan K: So, this will sort of convince the rating agency to improve our rating going forward, this was the main point, right when they said the ERM is not up to the mark, that's what they said. Enterprises Management was not up to the mark and then they sort of put a negative tag on that. So, this will remove that negative tag going forward?
Jayashree Ranade: At least for this point, yes, they should be satisfied with auditors' comments and removal of audit qualifications.
Karthikeyan K: Now the last question I have is in the third quarter right there was a statement in the notes which stated that there is IRDAI regulation, there was some fund insufficient with the policyholders.
Then we are moving some 7000 odd crores from the shareholders fund to policyholders fund.
Now that item is completely removed in the Q4 Results, so that is being taken care or what kind of situation we are in now?
Rajesh Laheri: This is just a realignment of Schedule 8A. So, there is provision that whatever policyholders funds is there that should be matching with the Schedule 8A statement, so it moves from 8 to 8A. That's only has happened. It has not impacted profit anyway.
Karthikeyan K: So, that has been taken care right because that item is completely removed in the Q4 notes, you have not mentioned?
Jayashree Ranade: Yes, because we complied with all the requirements. I mean that's only a realignment between the schedules, that's all. So, that is what we completed.
Karthikeyan K: Thank you, sir. This is one small concern I have. I would like to put this question to Mr. Devesh Srivastava. See, when individual shareholders send e-mail right, I had sent e-mail on the month of February when the third quarter results were released. I couldn't participate in the conference call. I sent an e-mail and there was no reply at all. I sent the reminder like 3-4 times. The e-mail was correct because I sent reminders three times, there was no reply at all.

Devesh Srivastava: Mr. Karthikeyan, normally that does not happen. My apologies if this did, but we'll certainly have those mails checked again in February. But usually it is quite a robust department that responds immediately, so I'm quite surprised this is the first time I'm getting such a feedback but thank you for it. Nonetheless, we will have it examined.
Karthikeyan K: Because the conference call is quite elaborate, the question-answers is quite transparent and elaborate, but if suddenly I have some questions and somebody gets a question and then there must be a forum to address that immediately, right?
Devesh Srivastava: Right. So, we do take that into cognizance. And anything that you would wish to ask, even otherwise, please feel absolutely free to write to us.
Moderator: Thank you. The next question is from the line of Arjun from Avendus Spark. Please go ahead.
Arjun: Sir, currently the government owns almost 86%, just want to understand is there any plan to increase public shareholding?
Devesh Srivastava: Arjun Ji, currently, we have absolutely no indication from the gov

ernment that is the decision
that rests with them as they are the owners. We would be informed only at a later date if they want to do that.
Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to the management for closing comments. Over to you.

Devesh Srivastava: So, thank you everyone once again for your time today morning and we as is fairly evident and our numbers speak for themselves that the path that we have charted for ourselves is something that has now started giving us the confidence in numbers too that it's happening and we shall continue to walk this path, because this is what a reinsurer is all about providing long-term sustainability and long-term stability to the market. And as GIC so well entrenched in the Indian market, we shall continue to play our role and take this entire sector forward. So, thanks everyone once again for the time in the morning and wish you all a great weekend ahead.

Moderator: Thank you very much sir. On behalf of General Insurance Corporation of India, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Aug 2023

(■■■■ ■■■■■ ■■ ■■■■■) '■■■¢■', ■■■, ■■. ■■■■■■■, ■■[■■■ , ■■■■■ ■■■■■■
General Insurance Corporation of India ''SURAKSHA'' , 170, J. Tata Road, Churchgate,
(Government of India Company) Mumbai 400020. INDIA Tel: 91-22-22867000
CIN: L67200MH1972GOI016133 IRDA REG NO.: 112 FAX Server: 91-22-229899600, www.gicofindia.com
E-mail: info@gicofindia.com
Date: August 14, 2023
The Manager
Listing Department
The National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor, Plot C/1,
G Block, Bandra Kurla Complex
Mumbai - 400051 Ref. no.: GIC-HO/BOARD/SE-Q1-T/ 115/2023-24
To,
The Manager
Listing Department
BSE Limited
Phiroze Jeejeebhoy Tower
Dalal Street
Mumbai – 400001
Scrip Code: (BSE – 540755/ NSE – GICRE)
Dear Sir/Madam,
Sub: Transcript of conference call held with Investors and Analysts to discuss the financial results for the quarter ended 30th June 2023
In compliance with Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached herewith Transcript of the conference call held with Investors and Analysts on Friday, August 11, 2023, to discuss financial results for the quarter ended 30th June 2023.
The same is also available on the website of the Corporation at www.gicre.in .
Kindly take the above information on record.
Thanking You
Yours sincerely
For General Insurance Corporation of India
(Satheesh Kumar)
CS & Compliance Officer

"General Insurance Corporation of India Limited
Q1 FY24 Earnings Conference Call "
August 11, 202 3

MANAGEMENT : MR. DEVESH SRIVASTAVA – CHAIRMAN AND MANAGING DIRECTOR – GENERAL INSURANCE CORPORATION OF INDIA LIMITED
MR. HITESH JOSHI – GENERAL MANAGER , GENERAL INSURANCE CORPORATION OF INDIA LIMITED
MS. JAYASHREE RANADE – CHIEF FINANCIAL OFFICER , GENERAL INSURANCE CORPORATION OF INDIA LIMITED
MR. SATEESH BHAT - APPOINTED ACTUARY (NON LIFE), GENERAL INSURANCE CORPORATI ON OF INDIA LIMITED
MS. RADHIKA RAVISHEKAR – CHIEF INVESTMENT OFFICER , GENERAL INSURANCE CORPORATI ON OF INDIA LIMITED

MODERATOR : MR. BINAY SARDA – ERNST & YOUNG

General Insurance Corporation of India Limited
August 11, 2023

Moderator: Ladies and gentlemen, good day, and welcome to the General Insurance Corporation of India Limited Q1 FY 24 Earnings Conference Call.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference c all, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Binay Sarda from Ernst & Young. Thank you, and over to you, sir.
Binay Sarda: Thanks, R yan. Good afternoon to all the participants on the call, and thanks for joining this Q1 FY '24 Earnings Call for General Insurance Corporation of India.
Please note that we have mailed out the press release to everyone, and you can also see the results on our website as well as it has been uploaded on the stock exchange. In case we have not received the same, please write to us, and we'll be happy to send it over.
Before we proceed with the call, let me remind you that the discussion may contain forward - looking statements that may involve known or unknown risks, uncertainties and other factors. It must be due in conjunction with our business that could cause digital performance or achievement to differ significantly from what is expressed or impl ied by such forward -looking statements.
To take us through the results of this quarter and answer your questions, we have with us the management of GIC represented by Mr. Devesh Srivastava, Chairman and Managing Director and other top members of the manag ement. We'll be starting the call with a brief overview of the quarter 1 part, which will then be followed with a Q&A session.
With that said, I'll now hand over the call to Mr. Devesh Srivastava. Over to you, sir.
Devesh Srivastava: Thank you, Mr. Sarda. Good afternoon, everyone. I'm pleased to announce the financial performance for the quarter ended June 30, 2023.
Over the past few years, our teams have diligently worked to refine our underwriting practices, and we are constantly focused on improving our combined ratio on the back of our unwavering commitment to enhancing profitability and posting sustained growth. We believe that the increase in combined ratio during the quarter is temporary, and we are confident of much lower levels in the com ing quarters, led by a relentless pursuit of operational excellence, strategic initiatives and prudent risk management practices. While strategically managing risk and maintaining a balanced portfolio, we continue to position ourselves for long -term succes s.
Let me now take you through some of the key highlights of the financial performance.
The gross premium income of the company was INR8,917.71 crores for Q1 FY 24, as compared to INR11,021.83 crores for Q1 FY 23. The investment income increased to INR2,454.94 crores in Q1 FY 24, as compared to INR1,890.43 crores in Q1 FY 23. Incurred claim ratio stood at

95.1% from Q1 FY24 as compared to 94.7% during the corresponding quarter of the previous year.
Combined ratio in Q1 FY 24 stood at 118.47% versus 11 0.97% during the corresponding quarter of the previous year. The adjusted combined ratio, by taking into consideration the policyholders' investment income works out to 97.24% for Q1 FY 24, as compared to 97.01% from Q1 FY 23.
Profit before tax stood at INR935.18 crores in Q1 FY 24 as against INR988.71 crores in Q1 FY23. And profit after tax stood at INR731.79 crores in Q1 FY 24, compared to INR689.72 crores in Q1 FY 23.
Solvency ratio increased to 2.88 as o n 30.06.2023 as compared to 2.14 as on 30 .06.2022. Net worth of the company, without fair value change account, increased to I

NR32,984.27 crores on
30.06.2023 as against INR26,345.14 crores as on 30. 06.2022. Net worth of the company, including fair value change account, increased to INR69,65 0.29 crores on 30. 06.2023 as against INR55,341.65 crores as on 30. 06.2022. On the premium breakup, domestic Q1 FY 24 is INR5,547.35 crores and the international is INR3,370.36 crores. The percentage split is domestic 62% and international 38%. There i s a degrowth in the domestic premium by 33%, while the international book has increased by 21%.
We firmly believe that the current market conditions, which is going through a hardening cycle, combined with our prudent risk assessment , discipline d underwritin g practices and well - executed strategic initiatives will help us in achieving a more favorable risk profile and positioning us for sustained growth. We are optimistic about the future and confident in our ability to seize emerging market opportunities whil e navigating potential challenges. As we move forward, we remain committed to upholding our values, delivering exceptional service

and achieving sustainable growth.
Having given the highlights now, we will open the floor for questions from the interested parti es.
Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. First question is from the line of Sanketh Godha from Avendus Spark, please go ahead.
Sanketh Godha: Thank you for the opportunity. Sir, my first question on the growth. There is a significant drop in the crop insurance business. For example, last year, you did around INR2,700 crores of business in crop. And today , you did only INR650 crores in the second quarter. So it's more to give the timing difference of recognition of the premium or most part of the country has adopted a 80 -110 rule and the refore crop business has not come to reinsur er. So I just wanted to understand why it led to that shortfall ?
Devesh Srivastava: Sure. We are happy to ask our CFO to give this. This is, as we mentioned in the notes as well, largely due to an IRDA I circular in which there is a change in the way we have to estimate our premiums. And that is what led to this drop. So our CFO, Ms. Ranade will take you further on to this, where you can understand where it's coming from.
Jayashree Ranade: Good morning, Sanketh. This is Jayashree Ranade. Actually, if you see in our notes number 10 , we had mentioned that there is an overall -- we have modified our accrual policy, based on the

IRDAI circul ar. This circular mandate s that you can estimate only for a quarter. That mea ns nobody is permitted. And at the same time, it has to be equal for all the portfolios. I mean, portfolio -wise you cannot variate it.
Now crop being a different kind of insurance -- insurance business . We earlier used to take it on the basis of our estimated premium income in the treaties, etcetera. But now that even obli gatory, we have to consider certain benchmark figures given to the GI Council. So based on that, we calculated crop insurance premium for this particular quarter because SOA, the statement of accounts will be received later. There is a drop shown in this q uarter. I'm sure going forward, these figures will increase based on the f irming of these figures, which are the base for our accru ed premium calculations to match the IRDA I regulation. So this time, there is a drop which is shown, but roughly around INR800 crores -plus is -- because of this change in the methodology in the crop itself .
Sanketh Godha: Okay. So sir, you need to say that if you would have the whole method of accounting of crop, that number would have been closer to INR1,400 crores rather than be ing at around INR600-odd crores that you have reported. That's the way I should understand ma’am?
Jayashree Ranade: Yes. It could be slightly even more than that, but

we have made a conservative calculation of those numbers. And it will be in the range of INR1,500 crores, INR1,600 crores. But since we changed the methodology for crop, this is what it is. In fact, if you see in note number 10, we have told that we have given the disclosure also. Total impact of this change is INR1,660 crores across all the classes , mainly domestic. So hence, yes, going forward in the next quarter, this crop figures will percolate into GI Council figures. So my obligatory will also go up. Even our SOA will come, which will give me the 100% figures etcetera , these are the mod ality of our business, how the accounts are being like taken into the books. So going forward this figure will match up which is last yea r's figures .
Sanketh Godha: So, which means that from a full -year point of view, last year, we did around INR5,000 crores of crop business. So if a number you can expect to be continued for the FY '24, sir?
Hitesh Joshi : Sanketh, Hitesh here. I think as ma’a m explained , the major driver of the figure is premium estimation policy. The second important factor is the change in the market structure in terms of some of the states moving to alternate supply sharing models, shrinking premium . Apart from that, there is also a softening in the market.
I think part of the reason is the EOM circular encouraging some cedents to benefit from the way the U AM stipulation is to be reckoned by IRDA I. Given the softening and the size of the market shrinking , there is som e step back by G IC. So it is a summation of all these four factors together.
The first thing is the premium estimation. Second the movement of states . Third is the softening because of U AM. And fourth is , since the pricing has become less attractive , relat ive step back by G IC.
Sanketh Godha: Okay, got it. Perfect, sir. Which means that compared to last year, given the market is not conducive, and also the market size for the reinsurer has shrunk because states have adopted the 80-110 rule. Can we expect thi s number to be maybe decently lower compared to the last year?

Like if you have done INR5,000 crores last year, this year number could be, from a full year
point of view I am saying, this number could be as low as INR4,000 -odd crores or much lower
than tha t, sir?
Hitesh Joshi : I think what you have mentioned is a decent figure. It can be lower by 15% to 20%.
Sanketh Godha: Got it. Perfect, sir. And this accounting rule is not just only limited to crop. It is applicable to all products, right? Right, sir? That 's the reason we see decline in most of the products, except for
the motor business in the current quarter.
Jayashree Ranade: Yes, Sanketji, yes. It is applicable to across the portfolios, domestic as well as foreign. So, we've got modified methodology is applicable to all portfolios.
Sanketh Godha: And then, is there any reason, ma'am, like, motor has done such a strong growth, 35% year -on-year?
Jayashree Ranade: Motor, foreign is growing.
Sanketh Godha: Okay, it's more to do with the foreign business rather than the domestic business, right?
Jayashree Ranade: Yes.
Sanketh Godha: Okay, the second question which I had was, if you can quantify the combined ratio deterioration because of CAT events, I mean, in domestic we already had one CAT event . And then in
overseas also I see loss ratio -- combined ratio to be meaningfully higher compared to what we
had as a combined ratio in last year in the same quarter, around 119 becoming 131. And
domestic, it has marginally deteriorated from 108 to 111. So should I read it as more due to the
CAT event or if it is the case, then what is the quantum of loss, what you have booked?
Jayashree Ranade: Sanketji, one reason for foreign portfolios combined ratio increase is basically around INR400 crores of debt due to exchange loss. Of co

urse, it is notional. Last year there was an exchange
profit and this year there is an exchange loss of INR60 crores. This is one reason for domestic's
little worsening of that combined ratio, nearly INR400 crores.
As regards domes tic portfolios, domestic is, a small variation is there from 108 to 111.
Sanketh Godha: Okay, ye s ma'am. But the Gujarat floods, did it impact any numbers, Gujarat cyclone I meant to say, not floods, impact any impact you want to quantify which led to the deterioration in the
combined ?
Sateesh Bhat: Sateesh Bhat here. Not much because we have not yet received much of the information. There are two things, one was the Biparjoy cyclone and the Uttarakhand floods. So we have made an
implicit provision. So ma ybe in Q2 we will have a clearer picture as to how much is attributed
to that. But yes, to answer your question, we have slightly increased the loss ratios for property
portfolio. But that is not the main reason why the slightly higher, that could be one o f the reasons
why your incurred loss ratio is higher for domestic portfolio.

Sanketh Godha: Okay, but would it be okay to quantify the provision what you have made for CAT, already reported CAT in the quarter 1?
Sateesh Bhat: No, we have not done any expli cit provision. See, what happens is to make a provision, you need information that will be flowing from the cedants . So in the absence of any information what we
do is that the loss ratios that we consider for reserving, we do a markup on that, maybe 3 - 4
percentage markup on the loss ratios to ensure that we have made some provision in Q1 itself in
the absence of any information flowing from the cedants . So we will be able to quantify it only
in the next quarter.
Sanketh Godha: Okay, got it sir. Got it, perfect. And ma'am on the exchange loss, it's notional, right? It means if the currency behaves properly by the end of the year, then this combined ratio of 131 in the
overseas business will not remain to that extent, right?
Jayashree Ranade: Sanketji, ye s, this is one kind of factor for which the loss is increased, if you see the actual thing. Apart from that, motor and cargo has given little increased losses in foreign portfolio. Yes, but
going forward by end of the year if exchanges, there is a small di fference 82 point something
and 82 point something that is why this loss has come so because it is appreciated in a rupees
appreciated a bit.
Going forward if it is kind of again a little bit of this deprecation this will again exchange will
be taken care of with that calculation, ye s.
Sanketh Godha: The reason why I'm asking ma'am this question is that we have been highlighting that our
overseas book has seen a decent amount of pri ce hardening. We highlighted that point in the
first quarter too, sorry, las t quarter too. So, but the trend doesn't seem to be encouraging, at least
in the overseas business, from first quarter number. So that's the reason I was just trying to check.
It's only because of the currency or even we can see if a better combined ratio in the overseas
business eventually?
Hitesh Joshi : Sanket, the thing is that all the liabilities for the claims for all the period, total OSLR and IBNR

get tagged to the new exchange rate. So though we benefit for say, January renewal on the exchange inwar d business for the period, the cumulative liabilities get reassessed at a new exchange rate and it definitely creates a huge impact.
Second variation can be attributed to the fact that even a small variation, say, a 2% variation on a given quarter, given t he small premium base gets pronounced for the given quarter. I think we have to consistently maintain the stand that given the seasonal nature of the GIC book and certain seasonal bookings and catastrophes being seasonal, it is not desirable to look at qua rterly results. You ha

ve to look at quarterly results with certain caveats.
Sanketh Godha: Got it, sir. Perfect. And last two questions from my side. One, I just wanted to understand how do we read the current increase in the commission ratio in the quarte r. Relatively, it is much higher, around 22% as a percentage of net return premium. So I just wanted to understand why is it the case, is it because the overseas contribution has gone up compared to the last year, point number one. Or anything else we need to read into it?

And second question, just on a bookkeeping, just wanted to break down your investment book into capital gains and other income. Other income is dividend/interest income.
Hitesh Joshi : On the first one regarding the higher commission level , I think we have discussed this earlier, that on the US book, we have stepped back. But due to various legal aspects, certain bookings were delayed, and the contracts which we walked away from had a higher commission level. So because of delayed booking, those, there is a delayed impact , trailing impact of this particular contract which is impacting the current quarter. We hope that it should soon revert to the earlier commission level.
Sanketh Godha: Okay, sir. And lastly on that investment income breaku p?
Radhika Ravishekar : Sir, regarding interest income?
Sanketh Godha: Yes, yes. Breakup into capital gains and interest and dividend income, ma'am?
Radhika Ravishekar : Yes, so the interest income was INR1,255 crores as against INR1,069 crores of the previous year. Dividend is INR208 crores as against INR173 crores of the previous quarter, 30, June 2022. And profit o n sale is INR802 crores as against INR589 crores.
Moderator: Thank you. The next question is from the line of MW Kim from JPMorgan, please go ahead.
MW Kim: Thank you so much for this opportunity. So I have two questions. The first question is about the risk management. So I noticed that overall the underwriting looks not really at a good stage compared to the other global reinsure rs, so I just want to understand about your risk management practice. So in this years renewal, did you make that bigger the increase of the main excess overload the XOL, excess limit to make that the potential the tail risk the manage better, so that's the my fir st question.
And then the second question is about the overseas motor underwriting. So based on my understanding, the overseas motor if you consider the good underwriting strategy due to the low correlation with the natural catastrophe event in general . So I just want to understand a little bit more the big spike on the claim ratio and also the outlook on the overseas motor. Thank you.
Devesh Srivastava : See, on the risk management practice, what exactly are you wanting from us? We were not very clear on that.
MW Kim: Yes, sure. So I want to know that whether you increase the XO L, the excess overload of the point, in the case that the overall, in a big mega event you can make that you r underwritin g will not really have the big harmful. So that's my question.
Devesh Srivastava : Okay, no, on that count our deductible has remained the same from the previous year. There is no change at the point at which we purchase retro insurance. So that has remained the same. Does that answer your question?
MW Kim: Yes. In the case of the weather, it is a little bit different compared to the history. Maybe too hot and more frequent flooding, etcetera. I just want to understand that compared to the old that on the underwriting, do you have the more sophisticated on the wr iting to manage that tail risk

which may happen in every 100 year or every 250 year, or you have the other own internal model to manage the risk then?
Devesh Srivastava : So that of course,

you see our pricing strategies are at work and our pricing tools are used of course, but if you are talking about the change in the weather pattern that we are seeing, we had taken care of this in our previous quarter ending when we built up a catastrophic reserve, which was a healthy amount that we started with and that is goin g to hold us in good stead as we move forward.

So in the event of any vis a vis of nature that hits our book, we will have that reserve that will come to our rescue. Does that help?

MW Kim: Yes. Thank you so much, that's very clear.

Devesh Srivastava : And on the motor book, yes, motor does give you the diversification. So essentially it is just one contract that we are speaking about. I'll request Mr. Joshi to explain it further.

Hitesh Joshi : I think we had mentioned maybe two or three quarters back that given the experience of our US book, we decided to step back and we are re -evaluating our position and we will be again emphasizing the motor book and as you rightly pointed out it does offer a good diversification, but we are taking a pause for the moment in a part icular market.

Moderator: Thank you. The next question is from the line of Supratim Datta from Ambit Capital, please go ahead.

Supratim Datta: Thanks for the opportunity. So I'll start off with the product -wise line. So in life, I can see that on the domes tic side, the combined ratio has increased significantly from 82% last year to around 180% now. Just wanted to understand, what is driving this? And could this result in another cycle of hardening, when it comes to the reinsurance rate next year. That is q uestion number one.

Question two would be on the combined ratio outlook that you gave, that you expect combined ratio to improve at the company level from the next quarter onwards. Just wanted to understand what gives you the confidence given the losses th at we have seen due to floods in northern India and Telangana during this quarter, for the April and July. So what gives you this confidence? And currently, what kind of claims are under it and which categories are you seeing losses being developed due to these floods? So that would be question number two.

And question three would be that, given we have already seen two NATCAT events this year, do you see the reinsurance rates on the general insurance side hardening again next year? Those are the three ques tions. Thank you.

Hitesh Joshi : Let me start with life. There is a definite res erve strengthening that is impacting the higher combined ratio and the higher ICR. But we expect that over the period of time it will get fairly muted. Coming to the second point .

Supratim Datta: So this does not require any pricing action, I understand that, correctly?

Hitesh Joshi : Yes. Coming to the catastrophe, I think the entire world is watching in terms of what is happening on the climate change side and it is getting more -and-more headlines in different parts of the world. So the broad consensus presently is that climate change is here to stay. It is much nearer than we had thought and planned for. And presently, despite some additional capacity which has come forth, we expec t that the hardening of the reinsurance rates, particularly CAT rates will continue to be solid. The market discipline for July renewal continues to be there, despite some increase in appetite of the risk carriers, as also more attention by the ced ants. Market discipline is held up for July renewal and we expect it at least to continue for one more year.

Supratim Datta: And on your outlook for combined ratio for this year that you expected to improve, so could you say what gives you that confidence given the flood and if you could see, let us know that initially where you are seeing the impact on the floods?

Hitesh Joshi : I think we expect based on our various und

erwriting measures and discipline and process improvement that we have carried out that we will be improving in our underwriting performance year -to-year. This is of course subject to no major CAT event which is fully exposing our net, tweaking the results. So given the trajectory that we have charted out for ourselves, we do expect that year -on-year there will be improvement.

Moderator: Thank you. The next question is from Anirudh Agarwal from Valuequest Investment Advisors. Please go ahead.

Anirudh Agarwal: Thanks for the opportunity. My first question was on the international book again. So if you could share ex of the forex impact and the US book impact that you saw higher commission, what would the combined ratio have been in the foreign book?

Jayashree Ranade: Mr. Anirudh, if you see, in case of foreign book, our combined ratio is somewhere arou nd 131%. Of which approximately, from the last year if you see, last year there was a profit -- exchange profit of INR350 crores. This year there is a loss of INR59 crores. Okay. So this is a major change. So if you reduce INR59 crores, of course that will be a small impact. Apart from that, the claim ratios have increased a bit by 10%. And as explained by Hitesh sir, commissions for those contracts which have gone up, which has some impact. So these are the reasons for foreign

portfolios like increase in t he combined ratio?
Anirudh Agarwal: Right, ma'am. No. The question basically comes from we have been seeing that there has been a 20% to 40% hike in international prices in the January renewals. And that was expected to significantly bring down the combine d ratios from where we were operating earlier. But as I understand from your point, there is not a very significant impact of the forex loss or the old contracts in this 130%. So claims, of course, have gone up, but ideally shouldn't that price increase ha ve countered that benefit and the loss ratio should have remained where it is instead of going up.
Hitesh Joshi : The price increase that you are mentioning is essentially on the property CAT side, though it has had knock -on effect, domino effect on all classes, but then it is essentially on property side. Our result is presently majorly impacted by the motor foreign adversely impacting and motor foreign

has its own dynamics. It does have an influence of the wider market, reinsurance market trend, but then that is not impacted and it is not hardening to the same extent as what other classes have seen. So to see the imp rovement in our performance, the hardening of the rate at January, you need to look at property and not at motor. Motor is where what we explained about a particular contract and a particular tailing and what do you say, run off effect of the particular co ntract and delayed booking which I mentioned.
Anirudh Agarwal: If you could share the quantum of that impact -- of that contract?
Hitesh Joshi : I think it will be difficult.
Anirudh Agarwal: But broad number at INR100 crores to INR200 crores, INR300 crores, any sense you can give us?
Hitesh Joshi : If you can just superimpose motor figure for the current quarter over the previous quarter, you will get a good idea.
Anirudh Agarwal: Got it. Okay. Understood. And so on the domestic side, how are you looking at combined ratio improvement as we go ahead? Because obviously on the domestic side also, there is some amount of hardening that has already happened. And still, broadly, the combined ratio has only gone up versus last year, right? So what is the part that t akes us to 100% combined ratio in domestic? Obviously, now some parts of the weather changes and NATCATs are going to be an everyday occurrence, the way climate change is moving and so on. So how do we get to 100% combined ratio in domestic?
Hitesh Joshi : I think whatever we have been doing,

we have to continue on the same path. The only thing is that when the correction required was fairly huge, it could not have been done in a single year. And again, given the nature of the re insurance business, where when a decision is taken, almost it takes around eight quarters on a proportional treaty to get the changes in underwriting getti ng reflected in the financials.
So it is the same thing essentially that entire world market, all risk carriers, whether it is retro cession aires or whether it is reinsurers or insurers, I think every single player in the risk management market is alive to the challenge of climate change. If you have read the recent headlines, I think from 1 st April, there is an increase of 25% loading on the STFI rating. So market is alive and reacting to this. Though there was a relaxation on the main fire cover, there was a loading on the this CAT component of the premium by 25%. So I think market will be reviewing the position, all the carriers will be alive to the situation and will correct itself.
Devesh Srivastava : I want to add to what Mr. Joshi just said, if our '22 -'23 entire year results, our domestic combine 's are totally under control and within 100. Even in this quarter, we see that our combined for the domestic is below 100. So domestic is now totally under control. It is the foreign book that we are working on and as mentioned earlier, there have been these three contracts that are not recent, they are earlier contracts which are now coming to a certa in stage of maturity and those figures are what is playing the party pooper so to say.

Anirudh Agarwal: Got it. And sir, these contracts Q1, we have taken all the impact or there is more to come in the next one or two quarters?
Devesh Srivastava : I should remind you that largely the contracts were taken into account only that the bookings are now maturing and therefore there is a lag, there is a delay in the bookings of earlier years. That is why that is the number that is being reflected now.
Anirudh Agarwal: Right. And some amount of bookings you are seeing will happen over the next one or two quarters as well. That's how I should think about it?

Devesh Srivastava : Yes, because the tail is still carrying on.

Anirudh Agarwal: Understood. Okay, and any outlook on the inve stment income for this year given how equity markets have been performing?

Radhika Ravishekar: So this is, I'm the CIO. Yes, equity income is still, as the markets will be on the rise for some more time, we will be booking some profits from sale of securit ies. We'll definitely be there and we have a very stable fixed income portfolio also. 53.9% is in sovereign securities and so out of that 53%, 73% is in fixed income securities only. So there will be a stable investment income also. So interest income is a lso likely to go up.

Anirudh Agarwal: Right, understood. And finally, any update on the credit rating side?

Devesh Srivastava : So, Mr. Agarwal, we had our rating exercise, they had come in the second week of July and we had long discussions with them throughout t he day. So, let's see. The toing and froing of questions is going on and we should be getting to hear from them. We are optimistic because they also acknowledge the fact that a lot of work has been done and the numbers speak for themselves.

Moderator: Than k you very much. That was the last question in queue. I would now like to hand the conference back to the management team for closing comments.

Devesh Srivastava : Thanks everyone again for your time and we are on a very set about path where we had made our decisi ons and we are just adhering by them moving forward on a well thought of way forward and that is what is getting us the results. And this trend is going to continue because as we had earlier also mentioned that it is the trend that you have to set in motio n and then it takes time for it to a ctually translate into numbers. So whatever we did four quarters, five quarters, six quarters, seven quarters, eight quarters ago is now getting into action and those numbers are showing and we hope to continue this tre nd. We have made a lot of post correction even in this time on the 1st of April renewals, which will hold us in good stead as the year develops. So we look forward to continue to make our portfolio much healthier and deliver better results quarter -on-quart er. Thanks again for your time and wish all of you a very happy weekend.

Moderator: Thank you very much. On behalf of General Insurance Corporation of India, that concludes the conference. Thank you for joining us. Ladies and gentlemen, you may now disconnec t your lines.

Call: Nov 2023

(■■■■ ■■■■■ ■■ ■■■■■) '■■■¢■', ■■■, ■■. ■■■■■■■, ■■[■■■ , ■■■■■ ■■■■■■
General Insurance Corporation of India ''SURAKSHA'' , 170, J. Tata Road, Churchgate,
(Government of India Company) Mumbai 400020. INDIA Tel: 91-22-22867000
CIN: L67200MH1972GOI016133 IRDA REG NO.: 112 FAX Server: 91-22-229899600, www.gicofindia.com
E-mail: info@gicofindia.com

Ref. no.: GIC-HO/BOARD/SE-Q2-T/2023-24 Date: November 14, 2023

To,
The Manager The Manager
Listing Department Listing Department
BSE Limited The National Stock Exchange of India Ltd.
Phiroze Jeejeebhoy Tower Exchange Plaza, 5th Floor, Plot C/1,
Dalal Street G Block, Bandra Kurla Complex
Mumbai – 400001 Mumbai - 400051

Scrip Code: (BSE – 540755/ NSE – GICRE)

Dear Sir/Madam,

Sub: Transcript of conference call held with Investors and Analysts to discuss the financial results for the quarter ended 30th September 2023

In compliance with Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached herewith Transcript of the conference call held with Investors and Analysts on Friday, November 10, 2023, to discuss financial results for the quarter ended 30th September 2023.

The same is also available on the website of the Corporation at www.gicre.in .

Kindly take the above information on record.

Thanking You
Yours sincerely
For General Insurance Corporation of India

(Satheesh Kumar)
CS & Compliance Officer

"General Insurance Corporation of India Limited Q2 FY-24 Earnings Conference Call"

November 10, 2023

MANAGEMENT : MR. RAMASWAMY NARAYANAN – CHAIRMAN & MANAGING DIRECTOR .
MR. HITESH JOSHI – GENERAL MANAGER,
MS. JAYASHREE RANADE – CHIEF FINANCIAL OFFICER
MS. RADHIKA RAVISHEKAR – CHIEF INVESTMENT OFFICER

Moderator: Ladies and gentlemen, good day and welcome to General Insurance Corporation of India Limited Q2 FY24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Binay Sarda from E&Y. Thank you and over to you, sir.

Binay Sarda: Thanks, Arshiya. Good afternoon to all the participants on the call, and thanks for joining this Q2 FY24 Earnings Call for General Insurance Corporation of India. Please note that we have mailed out the press release to everyone, and you can also see the results on our website as well as it has been uploaded on the stock exchange. In case we have not received the same, you can write to us, and we’ll be happy to send it over.

Before we proceed with the call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. It must be due in conjunction with our business that could cause future result performance or achievement to differ significantly from what is expressed or implied by such forward-looking statements.

To take us through the results of this quarter and answer your questions, we have with us the management of GIC represented by Mr. Ramaswamy, Chairman and Managing Director and other top members of the management. We’ll be starting the call with a brief overview of the quarter gone past, which will then be followed with a Q&A session.

With that said, I’ll now hand over the call to Mr. Ramaswamy. Over to you, sir.

Ramaswamy Narayanan: Thank you Binay. Good afternoon, everybody. I’m pleased to announce the financial performance for the quarter ended September 30, 2023. We have been proactive in implementing strategic initiatives and maintaining a prudent approach which has resulted in gradual improvement in our overall performance. We recognize the importance of maintaining a healthy combined ratio. And I assure you, that all our efforts are directed towards achieving the same. This hardening cycle has allowed us to take full advantage of the market conditions. And our disciplined approach to underwriting has helped us in keeping the combined ratio under check reflecting the dedication and hard work of our entire team.

Let me now take you through some of the key highlights of the financial performance:

The gross premium income of the company was 10,762.14 crores for Q2 FY24 as compared to 8,100.62 crores for Q2 FY23. The investment income stood 3,100.97 crores in Q2 FY24 as compared to 3,206.32 in Q2 FY23. Incurred claims ratio stood at 98.4% in Q2 FY24 as compared

to 97.5% during the corresponding quarter of the previous year. Combined ratio in Q2 FY24 stood at 115.83% versus 117.89% during the corresponding quarter of the previous year. The adjusted combined ratio by taking into consideration the policyholders investment income works out to 95.11% for H1 FY24 as compared to 92.07% in H1 FY23.

Profit before tax stood at 1847.6 crores in Q2 FY24 as against Rs.2,461.36 crores in Q2 FY23 and profit after tax stood at 1,605.09 crore in Q2 FY24 compared to 1,859.92 crores in Q2 FY23. Solvency ratio stood at 2.82 as on 30.09.2023 as compared to 2.25 as on 30.09.2022. Net worth of the company without fair value change increased to 33,266.61 crores on 30.09.2023 as against 28,006.66 crores as on 30.09.22. Net worth of the company including fair value change increase to 71,376.53 crores on 30.09.2023 as against 60,585.14 crores as on 30.09.

2022.

On the premium breakup domestic premium for H1 FY24 is 13,087.98 crores and the international is 6591.86 crores. The percentage split is domestic 67% and international 33%. There is a de-growth in the domestic premium by 2% while the international book has grown by 16%. As we look ahead, we are confident in our ability to maintain this positive momentum.

Our company's robust foundation, coupled with the experience and expertise of our team gives us the confidence to continue, making strides in improving our overall performance and in especially reducing our combined ratio. We remain focused on seizing opportunities, mitigating challenges, and delivering consistent value to our stakeholders.
Having given the highlights now, we will open the floor for questions from the interested parties.
Moderator: Thank you sir. We will now begin the question-and-answer session. First question is from the line of Ms. Mahek from Emkay Global Financial Services Limited. Please go ahead, ma'am.
Mahek: So a couple of questions. So, in the backdrop of the flood related catastrophes that have caused more of the losses in the motor and commercial segment. So, there have been some articles around the reinsurers taking price hike for the domestic insurers. So, just wanted to understand in that context, what kind of price hike are we looking for the next renewal hike in, that would be the first question. Second one would be around the marine cargo premiums. So, there has been a significant increase around 120% of increase in marine cargo premiums. So, could you just give us some insight on whether this growth is being led by the value or the volume and has GIC taken any price hike on the same. The third question would be, in the international marine cargo segment, the combined ratio is around 592% and in the international marine hull combined ratio is at 255%. So could you explain if there has been no excess of loss retention cover taken by GIC and what kind of steps are being taken to heighten the risk management. That will be my three questions.
Ramaswamy Narayanan: Thanks Mahek. On the NAT CAT front, let me take this up. So, yes there have been losses in the past, internationally if you see last five, six years have been extremely difficult in terms of the number of CAT'S that have happened, the intensity with which it has happened. So, the severity and frequency of losses have been going up and all the reinsurers have suffered, because

of that. This year we have seen price hardening in all the markets, in fact terms and conditions have also changed significantly. So even though there have been losses in this year also a major part of the losses have been retained in the insurance market. So, we believe that going forward, the conditions will stay the same. The rate hikes across the world would be between maybe 2% risk adjusted change to maybe 5% to 10% depending on markets, depending on markets which have suffered losses, depending on companies where exposures have grown and chances of losses are bigger. So, it will not be as difficult as it was last year but then we do expect those price rates, price changes to happen. On the marine cargo and hull front I will request our General Manager underwriting to address that, Hitesh.
Hitesh Joshi: In regard to international cargo. Something similar to what has happened in the International motor has happened. There are some certain delayed bookings and there is a bunching of certain statements of account of previous quarters getting booked in this quarter. So that has resulted into jump in premium as well as jump in claims. Insofar as performance is concerned there is a particular contract which is not performing as expected and that contract is discontinued something like two years back, but there is a tail off which, which is developing. In regard to international hul

l, there is a particular energy loss in the international market, fairly major one of 100% value of $700 million, where we have exposure on our book of $30 million plus, we do have excess of loss protection for our marine book. But this is the loss that we are taking.
Moderator: Thank you. Next question is from the line of Mr. Karthikeyan an Individual Investor. Please go ahead sir.
Karthikeyan: I have three questions. The first is like the presentation that published on the 16th of October which is comprehensive is good. And there is a thing that the credit rating we are working towards improving that. So we have any timelines for that of how, when that can be improved?
Ramaswamy Narayanan: Okay, do I reply now or are you going to give all the three questions that you had?
Karthikeyan: I will ask the second, third questions as well. The second is, the income tax that we paid, which shows in the P&L is about 445 crores, but if you look at the cash flow statement that shows us 1400 crores, there seems to be some huge discrepancy there. I would like to understand why that is the difference. And the third item is like, the investment income it's been flat this quarter, of the last quarter, our investment book is growing for the last one year, whereas the income has been flat, in fact it is less than last year. So these are the three questions.
Ramaswamy Narayanan: Sure, thanks Karthikeyan. So, I'll take the first one, you wanted to know about the timelines for credit rating. So we have been in touch with the credit rating agencies for quite some time now they visited us in July, we gave them a detailed presentation, presented all our data to them. And it has been a constant endeavor to keep engaged with them to understand what their requirements are from us, and to ensure that they get the confidence from us. So that has continued. In fact, we met them as recently as last week in Singapore to understand and there we were given to understand that they will typically take another 15 days to publish our credit rating. So maybe

the week of Diwali that is next week, or maybe the week after that is when we would expect the credit rating to come in. As regards the IT part of ours, we have our CFO here with us, Mrs. Jayashree Ranade, I'll ask her to take this.
Jayashree Ranade: Yes, Mr. Karthikeyan. Income tax, if you see the provision for income tax is 445 crores, which is for, if you say that it is, we are opting for the turnover regime of tax that is 25% and in this last quarter, when we paid our dividend, we got the benefit of Section 80N to the extent of 242 crores, so that has been reduced to 700 and minus 242. And roughly some other adjustments like deferred tax assets have been created on the reversal of provisioning on that, if you see there is a miscellaneous income, there's a reversal of provisioning or to the extent of around 400 crores on that we got some deferred tax benefits. So with all these three components, the 445 figure has been arrived at. Now about the cash flow figure sir, cash flow we have paid advance tax and also the additional tax for the previous year's calculation if you see our previous year's calculation is to the extent of roughly 1400 provision for tax. So the balance amount of that worked out to be approximately 600, exactly I don't remember but this last two advance taxes total is that 1400 crores this is what is shown in the cash flow. Is it okay, this answer.
Ramaswamy Narayanan: On the investment front. We our Chief Investment Officer, Mrs. Radhika Ravishekar, I'll ask her to take that. Radhika.
Radhika Ravishekar: Regarding your query, that the income is actually more or less remained flat from first to second is because of profit on sale has been slightly lower in the second quarter because of the volatile stock markets. So the profit on sale of securities h

as been lower. Secondly, our investment in corporate bonds also reduced because corporate issuances also were very less the second quarter as compared to first. This is likely to improve in the second half the corporate bond issuances. So, we'll be investing more into the corporate bond which give a higher yield.
Karthikeyan: Ma'am can you please give us a break up like what's the trading income, interest income and the dividend income?
Radhika Ravishekar: For the second quarter, for the first half the interest is as on 30.09.23, the interest is 2578. Dividend was 776 that means income excluding profits 3354 crores, and profit was 1804 crores. When you compare with previous 30.09.22, it was 2103 crores the profit on sales. So that has come down.
Moderator: Thank you. The next question is from the line of Mr. Janish Shah, an Individual Investor. Please go ahead, sir.
Janish Shah: I have a few set of questions probably with regard to the earlier calls where the management has been alluding the improvement in combined ratio and had a target to reach about 100%. And we could see that till 23 numbers as well, where gradually that number has been improving. The markets globally have also seen an improvement in terms of the underwriting profits with many of the company. How do we read this with regard to our own journey when we look at first half

numbers, it's still much higher than what the last years number on a overall basis in terms of the combined ratio that we ended with. So how are we going to see the journey ahead in terms of improvement in the underwriting profits for us. Second, we were also talking about improving the share of the international business to more closer to like a 50% and we are still at 2/3, 1/3 kind or near about that numbers. So what are we, where are we in the thought process on that again and the third is we have a very healthy capital adequacy ratio in an environment where globally, the insurance companies are facing an issue of capital shortages. Is it going to create an opportunity for GIC to ride onto the capital adequacy ratio that it has over next few quarters, that's the three set of questions that I have. Thank you sir.
Ramaswamy Narayanan: Thank you, Janish. So, let me take up these questions one by one. From the underwriting profits and the combined ratio the question that you had. So, yes, it is very much a target for us and we are very clearly in our mind as a team, as an as an organization, we want to ensure that there are underwriting profits, we would ideally want to go as close to 100 as possible, but then yes, there is always a challenge that you can't do that in a year it will happen over a period of time. And we are essentially working towards that. If you look at it from a half year to half year, with regards to the previous year, there is one component there which is slightly skewed things which is the exchange gain that we had. So, last half we had something like 700 crores which has now come down this time to about 50 crores So, that kind of adds a bit of a buffer and this is essentially actually not a loss this is something that is just booked in the books based on the exchange, based on the way the business figures converted into Indian rupees. So, if you take that out and if you look at it from a pure underwriting perspective last half year, our combined was at around 117. And we are at this time also around 117. We've actually improved it by a

few basis points. And now also what we need to realize is on this particular thing you need to realize there is one component which has been added, which is the Sikkim losses. So, in Sikkim you would have seen from the newspapers, there was a cloudburst kind of an incident and losses have happened. And obviously, as one of the primary players in the Indian market, we are also part of that loss. So, as a ma

tter of utmost prudence, even though this event happened in October,
as a matter of utmost prudence, we have actually provided for those losses in the September quarter. Even though no bookings have happened from the accounting perspective, the IBNR has been loaded by the actuary keeping this loss in mind. So, if you look at that, that's close to 650 crores and that typically adds about 3%, 3.5% to our combined. Otherwise our combined would be ideally closer to 113%. There has been another event which is kind of given us a bit of a problem, which is what Hitesh earlier spoke about in one of the questions. One of the contracts that we wrote in the US, which contained both marine cargo as well as motor, it was not working for us and as part of the consolidation that we have done in the last three years. This was one contract which was identified as not working for us. So we came out of it. So, obviously there is a tail for marine and motor, and we are seeing that tail coming through now. So that has added a bit to our combined ratio. So just to answer to your question, we are very much ceased to the fact that we need to improve our combined ratio going forward. While that may not happen on a quarter-to-quarter basis, because being in the business of risk, there will be occasions where you will have some kind of an event which kind of increases the combined ratio in a given quarter. But overall, the thinking is very clear in the company that whatever we do must be done

to the benefit of our bottom line. So, whatever the management earlier had brought out in these kind of investor calls that we will be looking for underwriting profits that will continue, it is just that it will take some time before we really reach close to 100. Currently, when we closed last year, we were at a combined of close to 109. We will definitely be looking to improve on that year-on-year.
That's for the number first question you had second, of course on the international and domestic 50:50. Yes, that is something every reinsurer would want as part of the diversification that they look for in their books. And that is something we will be looking for. But what we need to understand is, we have to be very clear that how reality is work here. If you look at the Indian market, the Indian market typically grows year-on-year at anything between 15% to 20%. Even the regulator in spite of that has been pushing the companies to grow the market because we still are in a state of underrepresentation the penetration levels for non-life is at 1% which needs to go up substantially. So this is the market which is poised for big growth. And as one of the biggest reinsurer players in this market, obviously our share will also grow. But the rest of the market is not growing in the same way. In spite of inflation coming in the Western markets, we don't see this kind of growth happening elsewhere. So we will be looking at opportunities to grow our international book. Like one of the earlier speakers had asked what we were thinking about and what was the timeline for credit rating, that will be an important thing for us. Once we get our rating back. It opens up good quality international business to us, which we will obviously be looking to write. So as and when that happens, obviously our international to domestic ratios will improve. But as of now I see more opportunities in the Indian market. And we'll continue to look at those and to see how it, gives us benefit.
Coming to your third point. Yes, you are very right in saying that we have a very healthy capital adequacy ratio now, our solvency is at 2.82 which is much, much higher compared to the 1.5 that the regulator is mandating. So, we look at this as an opportunity that we have the buffer, we have the cushion of having a higher capital, and we look for opportunities to write business. In the

last three years, after the growth that we had in the last decade, the last three years we have been consolidating, we have been looking at, which part of the portfolio works for us and which does not. That consolidation has helped us in understanding what kind of business appetite we have. It has also helped us in ensuring that our bottom line is back in the black. And we will continue doing that, but now our days of pairing business, our days of de-growth is over. Now that we have got a very health bottom line, as well as a very healthy solvency, we'll look at growing this book, whether it will happen in domestic business or foreign is, at this point a bit difficult to say. But we will look for opportunities everywhere. And wherever we get opportunities that meets with our risk appetite we will definitely grow.
Janish Shah: With regard to the competition, the government is now also opening up the reinsurance business, or rather I would say making it little easier for the other players to enter. How do we see ourselves, I know that there's a 2% reinsurance which is mandatory with the general insurance companies to reinsure. But that business, we don't know like, what point it will be, till what

point it will be there or it will go. So, how do we strategize or look at our Indian business in that

scenario. Are we still dependent on or in your view, how much is the reinsurance requirement of beyond that 2% mandate will be there for the Indian general insurance companies which you can cater to?

Ramaswamy Narayanan: Right. So the first point is it is not 2% it is 4%. So the obligatory cession, as we call it, is 4%, which means 4% of each and every policy issued in this country on the non-Life side comes to us. So that is the obligatory part that typically gives me a top line of around 10,000 crores today, the rest of the business is actually the business that we write in the market. So are we confident, yes of course simply because we have a fantastic relationship with every cedant insurance company in this country. And we know what kind of business we can get from them, and what kind of business obviously which matches our risk appetite, we are more than confident of getting that. Are we worried about competition, not really, because if you look at it, this market was already, there was already competition in this market. All the reinsurance companies from around the world could write business in this market, right from the earlier days. At that time there was no requirement for them to even open an office here, they could sit wherever they were and write whatever business they wanted to write. And we were competing in that kind of a marketplace. Today, there are companies in this market, there are about 11 reinsurance companies who have opened offices because they are bullish about the growth and profitability of this market. But there are almost close to 300 reinsurers, who are sitting outside and writing this business, whom we call as cross border reinsurers. So, there is a competition, it's not as if people have to come into this country to be competitors for us, there is competition even today and we are managing to get the kind of business that we are looking for. Honestly, writing business is not the biggest challenge here. Because honestly, if we want to write we can easily double our turnover within two years. But the point is, to get the kind of business which gives us value which, improves our bottom line is something that we are looking for, we are extremely confident we have a great relationship with all the companies here. So, we are very confident that, whatever business we want to write, it will be available to us, what gives us confidence in the Indian market is the fact that, it is not just the traditional areas where there is growth, we are looking at new areas of growth, which is goin

g to come in this market. And that is where the insurance companies will look to reinsurers and partners like us to provide that kind of support and we will be there for them. So, we are extremely confident. Thank you.

Janish Shah: And just maybe a little dwelling more on the 100% combined ratio which you said it will happen over a period, is there an internal targets which you have set that by what time, or given the underwriting, which you have right now or you will be undertaking is there any kind of a ballpark timelines where we can expect these ratios to be improving to the targeted levels?

Ramaswamy Narayanan: Unfortunately, no I could give you figures but the reason I'm saying this is, you have to look at it from different angles. One is our domestic market, as a market we still continue to be close to a combined of 120%. So for us to kind of come closer to 100 will be quite a challenge year-on-year. Though we are very close to that, if you actually look at my figures today, my domestic is actually doing extremely well, in spite of the fact that the rest of the market are at 120. I continue to be at a combined of 102 today for the quarter 30.09.23 if you see the figures, my domestic

combined is at 102 which is a very remarkable thing. Now, what is happening is, it is the international business which is actually dragging us down. And that has been simply because the last few years it has been the catastrophic losses which have hit and which every reinsurer suffered, and unfortunately this quarter, it has been this quarter and this half, it has been some of the run offs, which business which have been running off, that has been hitting us a bit, and you have to take it with that understanding that honestly we had continued to write that program which we came out of, there would have been enough premium to actually give a better combined ratio. But then we understand that over a period of time, this will become very negative for us. So it was a very tough decision to take a couple of years back when we decided to come out of such a big US related program. But, so even though it is giving us a very difficult time now, I honestly believe going forward, it will ensure that our international book actually becomes healthier. We are already seeing a lot of rate strengthening happening on the property side because of the fact that last few years have been bad due to catastrophic events happening. And we expect to see the benefit of that coming through. So it's a question of, waiting and watching and being ready for opportunities as they come up, I would be very happy to give you a figure or a timeline, but at this stage it is too early. So, there are lot of ifs and buts here, how this market, how the domestic market will improve, what kind of changes will happen, on the international front what kind of business we are able to access simply because of the credit rating, if our credit rating improves very immediately obviously that will be something which will be fast forward. So, there are multiple ifs and buts at this stage, but what I can say for your confidence is that, that is something we are looking at very, very sharply. This is something that we are not willing to compromise on. Getting the underwriting profitability and to come to a combined ratio closer to 100 is something that all of us in the organization is totally committed for.

Moderator: Thank you. The next question is from the line of Ms. Aditi Joshi from JP Morgan. Please go ahead, ma'am.

Aditi Joshi: I have actually three questions. The first one is actually related to your Life portfolio. If I look at the underwriting profit and loss segment for the last quarter, I can see that the Life business had a good underwriting profit. But again, if we look at the previous quarter, it had a bit of loss. So can you please help me understand

why we have such volatile portfolio in the Life segment.

The second question is actually on the international and the overseas business. So given that we are aiming for a portfolio mix of 50%, 50% and an expansion in the overseas market. So what will be the key product mix going forward when you try to imagine the overseas portfolio. So, I actually wanted to understand will there be a difference or change in the mix or we are going to maintain the current mix that we have in the overseas portfolio. And my actually, second question is related to again the overseas market, just going forward within the overseas portfolio can you please help share your thoughts as in which particular business segments do you think we'll see pricing, price hardening going forward and up to what extent please. And just one last question if I may, it's related to the accounting of the Indian insurance companies, given that we might be adopting the IFRS standards pretty soon in next one or two years. So just want to understand from a management perspective what would be the key impact on the company's

key metrics such as the combined ratio reporting or the net profit baseline under the new IFRS accounting of nine and 17. Thank you very much.

Ramaswamy Narayanan: Thanks Aditi. On your first two questions, I will ask my General Manager underwriting Mr. Hitesh Joshi to take it up, on the IFRS side, we'll have our CFO replying to you. Thank you.

Hitesh Joshi: You pointed out, the volatility in Life results for the Q1. There were certain bookings, which were on the higher side and along with the IBNR provided that also higher bookings, there was a certain volatility in Q1, but it is fully ironed out in Q2. If you look at collectively Q1 and Q2, Life is on an even keel.

Ramaswamy Narayanan: And just a point there, Aditi is something that, we believe here, honestly looking at reinsurance companies results quarter-on-quarter, sometimes it's a bit of a problem, because there will be a quarter where you could be affected by something, and because of that the volatility happens. But over a period of time, especially over a period of a year or maybe more, you will see those things ironing out and becoming more normal and more stable. And these are feeling but I guess as analysts, as people in the finance market, you obviously want to see something moving very smoothly quarter-on-quarter, sometimes in certain portfolios, you might find a skew for instance, on the property side for instance, there is something that could happen because if a CAT hits, it hits a market in a particular quarter, and there are no catastrophic events in the next three quarters. Obviously, that one quarter, compared to the other three will look extremely bad. But, I guess over a period of time premiums will flow in and things will look much, much better this is my call, I just thought I'll add to that. On the international, wanted to know what is the product mix that we are targeting.

Hitesh Joshi: Our approach continues to be bottom up. So rather than, and given the thing there has been a discussion on this point earlier also, that if one notices the trend of reinsurance markets globally over the last 10 years, there is increase in segmentation and increasing refinement rather than the usual broad-based approach that okay market is happening by 20%, 30%, maybe 5%. Increase in each territory, each region say US, Europe, Africa, Australia, Indian subcontinent rest of Asia, Japan, China, each territory will have its own unique trend, within each country and region. Again, there will be segmentation in terms of the clients who have suffered losses, losses above average, losses in line with the market and the losses performance recovery is better than the market. So, we are increasingly of the view that we would not like to have a broad brush approach to the ma

rket or rather targeting any particular product or a segment. Essentially, reinsurers have a property as a major staple. So, that will continue to be the case, they will also be looking at opportunities in other classes. So, property will be the segment that will be driving. It also is a matter of the demand that is coming up from the clients. This is not a consumer product that I say company can target a particular consumer base. The buyers of reinsurance are cedants who are professionals they know, and they have a specific financial need, solvency need, protection need. So, it is not that I can sell a product to a cedant which doesn't need. So, we have to essentially react to the solvency requirements, capital requirements and the higher purchase because of inflation. So, to an extent this puts us in a reactive mode, but we have to accept that

reality. So, we will be actually engaging with the clients and be competitive and we will be looking at our pricing so that we deliver good performance. We will be targeting 50:50 to achieve a better balance, but then as sir earlier pointed out, the domestic market grows much better. So, it is not easy to change this balance. As sir earlier pointed out the rest of the global markets are growing at a much lesser rate. But that is a direction we are taking and it might take longer than we would like to budget for.

Ramaswamy Narayanan: Again, just to add to what he said. So, idea is to be nimble here to look at opportunities not necessarily just say that we will grow here or we will grow in that particular class or territory, idea is to be nimble as an organization and look for opportunities and be ready to accept that. So as an organization, which is small compared to rest of the entities we are just less than 500 people that gives us an opportunity to be quick to react to opportunities that we see in world markets and accordingly decide what meets our risk appetite and what adds value to us. On the third point that you had Aditi which is IFRS our CFO is here, she will be able to take you through.

Jayashree Ranade: IRDAI has mandated insurance companies and reinsurance company to go live on IFRS that is IndAS accounting from 01.04.2025. Yes, we are also in the preparation for that and started implementing this IndAS. Per se, the P&L working will be kind of undergo a sea change. Yes, that's true. However, we are assessing the impact of what it will have, one major positive point for us is since we are having most of the contracts which are general insurance related to each other a short term contract, we do not have a long term much of an impact. So, more or less our current position will not get affected too much by the change in the accounting, the profitability due to this accounting change. We just want to expect it but of course, we have not yet come out with entire working and that's why we cannot say so, but this is one positive thing which has been in the mind for the company to go ahead. Is it okay?

Aditi Joshi: Yes, sure. Just a one more follow up on that, I understood that because the liabilities and because of the general insurance contract and the short term in nature would not be affected much, but I've seen that there has a little bit impact on the premium side as well. So, is there a factor that the premium reporting something like that the top line will be affected a bit and also on the asset side will we be having any substantial fair value gains sort of things coming in from the asset side as well?

Jayashree Ranade: About the asset side, we have to devise our accounting policies to suit the current philosophy of the company. So whenever we say fair value gains are there in the books, we have to design our strategies or policies to suit that okay, how much we will take it under fair value through P&L and fair value through other in

come. So, we are in the process of doing that. So suitably it will be done. As regards premium roughly it is kind of estimation basis and since the premium is also when you see that it's a contract which is for short term, the premiums are also coming through in a short period. So this is where we feel that within a year we will be able to kind of record the premium with estimation methodologies and other accounting techniques.

Ramaswamy Narayanan: Its one area where you are right that there will be changes because currently if you see IRDAI, it doesn't allow too much of estimation to be done, it is all supposed to be on actual receipt of accounts from insurance companies. So with the result, if you see our figures, vis-à-vis the previous years, you will see a difference there in the way we are accounting for it now. But going forward, our understanding is IFRS will start with the assumption that premium would be estimated at the beginning and then it would be taken forward. So we are waiting and watching to see how it will affect our business. We are glad to have a very strong partner in E&Y who will be helping us do this they are already on board. Some gap assessment is being done now. And we are well on time compared to the time the IRDAI has given us to implement this thing.

Aditi Joshi: Thank you so much. Just one more question I had and it was like, regarding the pricing hardening outlook, let's say for the rest of the year and for the 2024 as well. Especially in the overseas business line, which are the particular business segments in which you are expecting further pricing hike, thank you.

Ramaswamy Narayanan: We are definitely expecting price hike in the property segment. That's where all the action seems to be because there have been huge losses in the past years. In the year gone by, which is the current year we have definitely seen price hikes as well as changes in terms and conditions of the contracts. We expect that to continue, maybe there will be steadiness in areas which have not suffered too much losses this year. But those areas which have suffered losses, we would continue to see risk adjusted rate changes happening.

Moderator: Thank you. The next question is from the line of Mr. Karthikeyan an Individual Investor. Please go ahead sir.

Karthikeyan: I have a follow up question. The management released a presentation on 16th of October, which is quite comprehensive and a lot of data points and all that. So can we see that coming out every quarter, sort of updated every quarter?

Ramaswamy Narayanan: So Karthikeyan, what happened was as part of our initiative in speaking to investors and analysts like yourselves, and trying to ensure that the market understands what we are doing. We had a kind of a roadshow in Mumbai a non-deal roadshow, where we met a few analysts and mutual funds and things like that, just to tell them what we are doing, and what to expect from us. So that is where this was done. Yes, going forward, we'll keep doing it. I'm not too sure whether we'll do it every quarter. But then we'll definitely ensure that we will, be in touch with investors and analysts because one of the feedbacks that we got, this time when we met the investors was that, not too many analysts seem to be tracking our stock. So that is why, there doesn't seem to be too much interest amongst people to have a relook at our stock. So, that is something that we will be doing going forward, we will meet as many analysts as possible, pitch our case, show what we are doing. And if that, causes interest to go up, we are more than happy to keep the market informed about whatever things we are doing either in the Indian market or abroad. Of course, we are also awaiting our credit rating to happen as and when it happens this month, we'll

definitely keep the market appraised of that. Going forward, you can definitely expect more information to come out of GIC about its business and what it is doing positive.

Karthikeyan: So I'll follow up on that. The reason why the analyst community is not sort of coming forward, say if a company of this size and caliber comes out results, we don't see any reports coming out of that, unless analyst writes about the company. So if you give data of that clarity that are being seen on the 16th October, then there'll be a lot of interest. So, the data has to be updated, if it gets changed every quarter or every half yearly. But if the data is not updated and presented, then how will people come, get curiosity and interest in the company.

Ramaswamy Narayanan: True. So yes, that's what I said there'll be more information coming out of us. We're still in the process of finalizing, kind of a calendar where we can do all this, but you can definitely expect more information coming out of GIC so that people can track us, can get the necessary information and the interest levels will go up.

Moderator: Thank you. Ladies and gentlemen that was the last question for this session. I now like to hand over the conference to the management for the closing comments.

Ramaswamy Narayanan: Thank you everyone. That was a good interaction and we hope to continue, like I said as a corporation, as a company. We are very clear in our mind that we should ensure that our stakeholders at all levels benefit from their interest in us. So whatever that needs to be done to ensure that we will continue to do, there'll be a lot more information coming out of GIC which will help you as a investors fraternity and the analyst fraternity to understand what we are doing, whether we are doing good or bad, and on that basis to give us the feedback and on that basis to ensure that the interest level from the stock goes up. We will continue to do as the management of the team, will continue to do the work that we have been doing in terms of ensuring that our bottom line improves, our combined ratio improves, and overall the business mix adds value to the bottom line and to the balance sheet. I thank you very much all of you for being here and to share your thoughts and take this opportunity to wish you and your family a very Happy Diwali and Prosperous New Year. Thank you.

Moderator: Thank you sir. On behalf of General Insurance Corporation of India Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

(■■■■ ■■■■■ ■■ ■■■■■) ‘■■■¢■’, ■■■, ■■. ■■■■■■■, ■■[■■■ , ■■■■■ ■■■■■■
General Insurance Corporation of India ‘‘SURAKSHA’’ , 170, J. Tata Road, Churchgate,
(Government of India Company) Mumbai 400020. INDIA Tel: 91-22-22867000
CIN: L67200MH1972GOI016133 IRDA REG NO.: 112 FAX Server: 91-22-229899600, www.gicofindia.com
E-mail: info@gicofindia.com

Ref. no.: GIC-HO/BOARD/SE-Q3-T/289/2023-24 February 12, 2024

To,
The Manager The Manager
Listing Department Listing Department
BSE Limited The National Stock Exchange of India Ltd.
Phiroze Jeejeebhoy Tower Exchange Plaza, 5th Floor, Plot C/1,
Dalal Street G Block, Bandra Kurla Complex
Mumbai – 400001 Mumbai - 400051

Scrip Code: (BSE – 540755/ NSE – GICRE)

Dear Sir/Madam,

Sub: Transcript of conference call held with Investors and Analysts to discuss the financial results for the quarter ended 31st December 2023

In compliance with Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached herewith Transcript of the conference call held with Investors and Analysts on Thursday, February 8, 2024 , to discuss financial results for the quarter ended 31st December 2023.
This is pursuant to and in compliance with the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and applicable laws.

Kindly take the above information on record.

Thanking You
Yours sincerely
For General Insurance Corporation of India

Suresh Savaliya
Company Secretary &
Compliance Officer

Page 1 of 22

“General Insurance Corporation of India Limited
Q3 FY24 Earnings Conference Call ”
February 08, 202 4

MANAGEMENT : MR. RAMASWAMY NARAYANAN - CHAIRMAN AND MANAGING DIRECTOR - GENERAL INSURANCE CORPORATION OF INDIA LIMITED
MS. JAYASHREE RANADE – CHIEF FINANCIAL OFFICER , GENERAL INSURANCE CORPORATION OF INDIA LIMITED
MS. RADHIKA RAVISHEKAR – CHIEF INVESTMENT

OFFICER , GENERAL INSURANCE CORPORATION OF INDIA LIMITED

MODERATOR : MR. BINAY SARDA - ERNST & YOUNG

Moderator : Ladies and gentlemen, good day, and welcome to Q3 FY24 General Insurance Corporation of India Earnings Conference Call. As a reminder, all participants' line will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar, then zero on a touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Binay Sarda from Ernst & Young. Thank you, and over to you, sir.
Binay Sarda: Thanks, Muskan. Good morning to all the participants on the call, and thanks for joining this Q3 FY24 earnings call for General Insurance Corporation of India. Please note that we have mailed out the press release to everyone, and you can also see the results on our website as well as it has been uploaded on the stock exchanges. In case if you have not received the same, you can write to us, and we'll b e happy to send it over to you.
Before we proceed with the call, let me remind you that the discussion may contain forward - looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with our businesses that could cause fu ture results performance or achievement to differ significantly from what is expressed or implied by such forward -looking statements.
To take us through the results of this quarter and answer our questions, we have with us the management of GIC represented by Mr. Ramaswamy, Chairman and Managing Director; and other top members of the management. We'll be starting the call with a deep ove rview of the quarter gone past, which will then be followed with a Q&A session.
With that said, I'll now hand over the call to Mr. Ramaswamy. Over to you, sir.
Ramaswamy Narayanan: Good morning, everybody, and thank you for joining us for this call. I'm pleased to announce the financial performance for the quarter ended 31st December 2023. As we have mentioned in the past calls that while achieving underwriting profits is paramount for us, we believe that this journey will un fold over time rather than in a single fiscal period.
Over the past three years, we have diligently focused on consolidating our portfolio, discerning where our strengths are, and refining our business appetite. This consolidation has not only helped us in improving our bottom line, but has also equipped us with a clearer understanding of our own risk appetite and the market dynamics.
Let me now take you through some of the key highlights of the financial performance. The gross premium income of the company was INR8,778.26 crores for Q3 FY24 as compared to INR10,099.4 crores for Q3 FY23. The investment income stood at INR3,093.01 crores in Q3

FY24, as compared to INR2,600.03 crores in Q3 FY23. The incurred claims ratio stood at 103.1% in Q3 FY24 as compared to 96.9% du ring the corresponding quarter.
Combined ratio in Q3 FY24 stood at 120.47% versus 116.22% during the corresponding quarter of the previous year. The adjusted combined ratio, by taking into consideration the policyholders' investors' investment income, works out to 94.43% for nine months ended FY24 as compared to 93.63% in nine months FY23.
Profit before tax stood at INR1,923.81 crores in Q3 FY24 as against INR1,295.1 crores in Q3 FY23. And profit after tax stood at INR1,517.95 crores in Q3 FY24 compared to INR1,199.01 crores in Q3 FY23. Solvency ratio stood at 2.94 as on 31/12/23 as compared to 2.38 as on 31/12/2022. Net worth of the company, without the fair value change account, increase d to INR35,031.89 crores on 31 -12-2023 as against INR29,761.8 crores as on 31/12/22. And the net

worth, including fair value change, increased to INR77,626 .89 crores as against INR63,556.21 crores as on 31 -12-022.
On the premium breakup, domestic premium for the nine months ended FY24 is INR19,579.91 crores, and the international book is INR8,878.20 crores. The percentage split is domestic is

69% and international is 31%. There is a de -growth in the domestic premium by 5%, while the international book has increased by 4%.

As we move forward, buoyed by a robust bottom line and a very healthy solvency, our focus shifts towards strategic growth. With the Indian treaty renewals around the corner, we are looking to actively engage with the Indian insurance market and grow our bo ok. We are prepared to capitalize on opportunities wherever they arrive and which are aligned with our risk appetite.

We shall continue our -- on our collective pursuit of underwriting profitability striving to achieve a combined ratio that reflects our c ommitment to excellence.

Having given the highlights, now we will open the floor for questions from interested parties.

Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Anirudh Agarwal from Valuequest Investment.

Anirudh Agarwal: Congratulations on a good set of numbers. Few questions from my side. First, sir, was on the marine losses. So if you can just explain what are these losses pertaining to and for how long we expect the losses on the marine segment to continue?

Ramaswamy Narayanan: Okay. Do you want me to take this question? Or are you...

Anirudh Agarwal: One-by-one, I think is...

Ramaswamy Narayanan: All right. Sure. Okay. So marine, yes, I think even in the last quarter, we had brought this out. This one particular treaty that we had written in the US market, which we have since discontinued, and obviously, there is no premium coming in there, just th e final accounting

figures. At the same time, the claims which are developed -- developing over the time, they are coming to us.

Especially in the last two quarters, there has been a bit of stress. And I believe definitely in the October to December quarter, what we are seeing is obviously -- when the year is ending for the U.S. market, obviously, some claims have come up for payments. And based on how the bo ok is developing, our actuaries have also decided to ensure that the reserving is robust. So to that extent, we have added about INR300 crores of IBNR for this quarter.

I believe we are adequately provided for this particular treaty and for this particular business. Obviously, the stress is seen because as you can make out, since it is a treaty that we have discontinued, there is no premium coming in and whereas the claim s for the previous periods are coming in. So that is where the stress is. We believe that we have provided for it, but we are not taking it easy, we are engaging with the company to ensure that we understand what is happening and we are able to ensure tha t this doesn't come back and stress our books anymore.

Anirudh Agarwal: Right. So fair to say that this is the worst of it on the marine side? Or is there something more incremental you feel could come in the...

Ramaswamy Narayanan: Anirudh, honestly, well, I wouldn't want to give a kind of a picture that makes people think that everything is hunky dory. The point is that we have provided for it -- so again just to give you a little bit of understanding on this. Typically, in the U.S. for us to write business, we have to provide letters of credit for the expected losses. So we've already provided that and based on that, we also ensured that on the business side we have provided for it in IBNR.

So I would tend to believe that kind of the downside is taken care of that we have provided robustly on this. But the way the last tw

o quarters have spun a few surprises, I wouldn't want to give you a very feel -good kind of story here. But what I would like to say is this is something that we are actively engaging in, and we would like to ensure that this doesn't come back to haunt us at any time.

So one of the reasons for coming out of this treaty three years back was also this that we didn't believe that it was quite adding value to us. So we continue to engage with the company to ensure that we understand what is happening. I would love to believe that the worst is behind us and that whatever we have pr ovided is adequate.

Anirudh Agarwal: Understood. Second question was on the Fire segment. So Fire is a segment that has pained us a bit in the last couple of years or so. This quarter, it seems that there is some turnaround there. Obviously, quarterly volatility will be there, I understand, b ut just in terms of your outlook on the Fire segment going ahead, especially the international side?

Ramaswamy Narayanan: Yes, indeed. Like we said in the previous analyst call as well, property and especially the CAT portion of the property business, has been difficult in the last 5, six years, especially internationally because of the kind of catastrophic events that have hit the market.

What has also happened is because of this CAT and -- we have now kind of affected all the reinsurance. The markets internationally have hardened, which we are seeing benefit of plus, touch wood, last year it has been a relatively benign year internationall y. So that is what you are seeing in the property side. The figures are really looking good.

Again, you must also take into account the fact that in the domestic market, there have been two CATs in this quarter. There has been the Sikkim event as well as towards the end of -- I mean, in December, there was also the Tamil Nadu floods. So we have actually provided for both of them. And in spite of that, the figures are looking good. So we are r atified with the way it is working out and kind of bolsters our belief that this is something that should do well in the future as well.

Anirudh Agarwal: Right. Understood. And in terms of the pricing environment internationally, so the Jan renewals would have happened by now, right? So how has the experience been this year for international pricing?

Ramaswamy Narayanan: I think, it has been more or less, I would say, as expiring with risk -adjusted changes as well because I think a great fee -- a lot of changes were done last year. When the prices really went up, some of the terms and conditions changed drastically. But th en, like I said, '23 has been a relatively benign year for reinsurers, not necessarily as a market because catastrophic events have been there. But then since the terms, conditions deductibles changed last year, I think reinsurers have all kind of done well. So this year, the renewal -- or for '24 the renewal was decent. I don't think prices went down anywhere, but I think we more or less saw a similar kind of pricing structures across.

Anirudh Agarwal: Understood. And sir, given that pricing has been broadly stable to better this year and hopefully, with some of these old treaty losses and all gradually coming off, so what is the outlook then on international underwriting front for next year?

Ramaswamy Narayanan: We should do well, Anirudh. Again, depending on how the year is catastrophe -wise, okay? So as a company, we have not greatly increased our writings internationally because even though AM Best gave us a credit boost this year in '23, it was still not enough for us to write the kind of businesses that we were looking for. So we have kind of gone ahead with expiring. There is not much of a change in what we have written. So we do believe that if everything remains the way it was in '23, it should do very wel

l -- the book should do very -- the international book should do very well.

But in case there are some catastrophic losses, obviously, that would spike the claim ratios a bit. We'll see and -- we'll see how it works. But overall, we are quite satisfied with the book that we have. And hopefully, once we get the credit rating to A m inus, that is the time we will look to focus on the international market to write businesses that currently we cannot write.

Anirudh Agarwal: Right. That is good to hear. Sir, for the credit rating upgrade or change, I mean, what is the key trigger, I mean, from the credit rating agency's perspective that they are waiting for -- to this?

Ramaswamy Narayanan: To a great extent from our interactions with them, what we understood is they are obviously looking for continuity, right? So on a stand -alone basis -- and this is purely our opinion on this. But purely on a stand -alone basis, our performance would have be en good enough to get an A minus. But then we are obviously trying to see that whatever we are doing, we do it on a continuous basis so that there is no up and down happening in our results in the way we write businesses.

So if you see, they've actually given us a double boost last year from a negative outlook, normally, you would go into a stable and then you would go into a positive outlook. They've actually given us a double jump. And the next way up is essentially an A minus.

So we are very hopeful. Like I said, what they would obviously be looking at us is to ensure that whatever we have been saying over the last three years, we continue doing the same thing, we continue showing the same results, and there are no further shocks to our balance sheet or our system that they do not want to see. So if we can do that, I do believe, I mean, this our strong belief, I'm not tryi ng to influence their thinking, but it's our strong belief that we should be able to get our rating this yea r.

Anirudh Agarwal: Perfect. Perfect. And just a last couple of questions. On the domestic side, sir, this combined ratio being slightly higher this quarter is a function of the two catastrophe events that you spoke of or anything else to lead into on the domestic side?

Ramaswamy Narayanan: No, it's basically that. It is basically that. There is a little bit of increase in motor and health as well, but that is normal. That is something which has happened in the market. If you see the entire insurance market, the motor loss ratios have gone up . So has the health. It's a normal function. And for us, motor and health are basically -- a major part of that comes from obligatory.

So we kind of reflect the market performance here. So they have gone up slightly, which has added to the combined ratios going up. But majorly, it is because of the two CAT events that have happened in this quarter.

Anirudh Agarwal: Right. On health, sir, I mean, we've seen all the players, including the SAHI 's, the loss ratios have been fairly elevated despite all the price hikes that those players have taken. So as the leading reinsurer, sir, is there anything that we can do to influence on the health side higher. Obviously, we had used that lever a couple of ye ars back, which had worked out well. But on health, is there anything as a reinsurer that we can do to influence?

Ramaswamy Narayanan: Not as a reinsurer, Anirudh, but as a market, I guess, and I think that is happening also. I guess, more and more people need to be insured now. So that gives us a better spread. What we have seen now -- till now is post -COVID -- obviously, COVID was a big event, losses went up. Post - COVID, I think what has happened is the ticket size has gone up.

What used to be earlier of INR1 lakh, INR2 lakh, INR3 lakh cover has typically gone up to INR5 lakh, INR10 lakh kind of cover, which people are buyin

g today, which is good. So you are really buying higher limits so higher premiums are coming in, so you can pay off the losses.

What is more important is that more people start buying so that you have a lot of people in the pool. Some of them get or make claims and that gets paid. I guess, as more and more people join the pool of insured, I think that is when the business will also look good.

Anirudh Agarwal: Got it. Got it. Sir, on the investment book, just wanted to try and understand our overall investment book and philosophy. So if you can just share what the total investment book is for us as of date, what percentage of that would be equity and any unreali zed -- what is the sort of unrealized yields that we could be sitting on?

Ramaswamy Narayanan: Sure, sir. So I'll get my investment team to discuss. Jayashree Ranade will be GM in -charge and Radhika Ravishekar, who is the Chief Investment Officer, they'll address this question, Anirudh.

Jayashree Ranade: Yes. Our CIO, Radhika, will just explain to you about the investment book value for the quarter.

Radhika Ravishekar: The investment total book value stands at INR93,108 crores, sir. Out of which fixed income securities is around 73.44%. Hello? And equity is 1 5.70%. That's a fair value -- at fair value of INR14,620 crores, and the market value stands at INR57,200 crores for the equity portfolio.

Anirudh Agarwal: Sorry. This INR14,000 crores of equity, is at cost and INR57,000 crores is the market value of the portfolio.

Radhika Ravishekar: INR57,200 crores is the market value. And INR14,620 is the fair value -- I mean book value.

Anirudh Agarwal: Okay, okay. So this INR43,000 crores of unrealized gains that you are sitting on. If we decide to book capital gain, then all that comes into the P&L over a period of time. I mean, that's correct or...

Jayashree Ranade: Yes. It's true to an extent, but yes, as per IRDA's format we had to show it as fair value change account. This is how it is. And of course, this is unrealized gain, as you are aware. And over the years, we are holding the stock. So like all other investor s GIC unrealized gain that amount shows .

Anirudh Agarwal: Okay, okay. But there is no thought process right now in terms of booking additional capital gains or taking some of this because obviously, I mean, the portfolio has done very well in the last 1 year or so?

Jayashree Ranade: That is a kind of strategic decision which we take each year, okay, when the market grows, like any other investors, even GIC manages its investment in the same lines kind of market movement, sectoral analysis, fundamental analysis. And based on that, the purchase and sale decisions are taken.

Yes, you're right. To an extent, yes, as and when market goes up and whatever based on the market movement, we will definitely take the gains into books of account. Together, will be a kind of a one -off kind of a case. That, I have my own doubts whether we can do that.

Anirudh Agarwal: No, of course, I understand. And final thing on this quarter, is there any substantial capital gains that you are seeing? Or is it largely dividend and interest income in the investment income for this quarter and nine months, if you can just share the split ?

Jayashree Ranade: Yes. Our...

Radhika Ravishekar: Dividen d income.

Jayashree Ranade: For this -- up to this quarter, roughly INR3,000 crores is our profit on sale of investment, right?

Radhika Ravishekar: INR4,809 crores is income, excluding the profit on sale of security.

Anirudh Agarwal: This is for nine months of FY24?
Radhika Ravishekar: Yes, yes.
Jayashree Ranade: Yes.
Anirudh Agarwal: And last year, same number for nine months would have been...
Radhika Ravishekar: INR4,081, e

xcluding profit. And profit was INR3,320. So it is INR7,401. And this quarter, it is INR7,915 crores.
Anirudh Agarwal: Okay. Got it. And outlook from here on, how do you look at investment income shaping up in terms of the portfolio duration and yield on the fixed income side?
Radhika Ravishekar: Yield, sir, is very good. It will remain up only because the interest rates and all are still not gone down. So last time, it was 6.74% on the fixed income. This time, it is 7.23% our yield on the fixed income, which is -- which will remain around 7.20% fo r the full year.
Moderator: The next question is from the line of Sumit Agrawal from Bandhan AMC.
Sumit Agrawal: Yes, am I audible?
Ramaswamy Narayanan: Yes, yes, you are.
Sumit Agrawal: So just taking from the investment question, you said 7.23% is the yield right now on the fixed income side. What would be the rough duration of the book, sir?
Radhika Ravishekar: Yes, 4.7.
Ramaswamy Narayanan: 4.7 is the duration.
Sumit Agrawal: Okay, sure. Secondly, if I look at the press release, this talks about net worth including fair value change and net worth excluding fair value change, the difference is about INR42,000 crores roughly.

Ramaswamy Narayanan: Yes.
Sumit Agrawal: And as explained earlier, the difference into book value of equity and the market value of equity, that number is somewhere around INR53,000 or INR54,000 -odd crores. So does the -- so where does the rest of the amount goes actually, the fair -- I mean, is there some part of equity which does not get accounted in the fair value change?
Jayashree Ranade: No. Actually, book value of our investment is INR14,620 crores for the quarter ended and market value INR57,000 crores. Correct. So the difference is around that -- no, no. So fair value change account is INR42,595 crores which we have calculated. Overall net worth including fair value is INR77,626 crores. So this is how the calculation is done. So...
Ramaswamy Narayanan: Fair value on equity -- the fair value that you see on the equity side, what has added up to the fair value of when you're calculating the net worth as well. It's the same figure.
Sumit Agrawal: Yes, I mean, If I can just recap, so my question is, what does this fair value represents in the net worth? So this is roughly INR42,000 -odd crores. What are the large component of this?
Jayashree Ranade: Fair value change account of equity.
Ramaswamy Narayanan: The fair value change account of equity is what is reflected here in the net worth as well.
Sumit Agrawal: Exactly. So the point is the difference between book value and market value, not -- that number is a larger number than INR42,000 -odd crores. That means not entire part of the INR53,000 crores is getting accounted in fair value. So is there some portion of the equity which generally is not getting classified in the fair value change account?
Ramaswamy Narayanan: No, no, no, I don't think. Let me come back with the figures again. Give these figures again.
Sumit Agrawal: Okay.
Jayashree Ranade: Fair value -- market is INR57,200 crores, right, for equity, and INR14,620 crores. So roughly, INR42,580 crores.
Sumit Agrawal: Okay. INR57,200 crores, okay. I thought you are saying INR67,200.
Radhika Ravishekar: Right.
Sumit Agrawal: Sure, sure. No, I get it, sir. I get it. Second question on solvency. So when solvency is getting calculated, does it take into account the fair value change when you...
Ramaswamy Narayanan: No, it does not, it does not. This is on book value.
Sumit Agrawal: Solvency is on book value. Okay.
Ramaswamy Narayanan: Yes. yes.

Sumit Agrawal: And -- sir, last question. So when you say -- I mean, we know about this. We have been trying to use the lower -marg

in business and make the balance sheet more healthy. But in your
assessment, what will be the time lag when the entire process takes place an d it ultimately starts reflecting in the combined ratios. Is it like a 1 -year process or a 2 -year process or being reinsurer it will take at least three to four years. I mean some time lines or some assessment you can give us, when would the lower -- reduction in lower margin business would result in slightly lower claims or healthy underwriting probably in terms of the reported numbers?

Ramaswamy Narayanan: I think that is already happening on a year -on-year basis. If you look at us from maybe the last four or five years, our margins have consistently kept on increasing, and that is something that we will do. It is not something that which will happen over a period of a year or two or three , that we'll -- so last March '23, we ended with a combined of close to 109%. Now obviously, the aim, if I may say, is to come below 100%.

Now 9% of combined ratio is something that may not happen, and I don't think it is very desirable to happen over a period of two or three years. It will happen over a period of time. The idea is to keep on improving, right?

So unfortunately, what is also happening is maybe when we are in the process of improving, there are some unfortunate pipes, which do come up. For instance, this year, there are two catastrophic events, which are -- while they are not large enough, but they are medium enough for us to have to provide for it, and it does come into our books, it does spike our claim ratios a bit.

What we are comfortable with is the kind of book that we are writing today, we believe that we should not be getting any kind of bad losses going forward. That is the comfort that we have. So to that extent, we have de -risked our book. As the markets improve, so obviously, the international market has improved because of the kind of losses that have happened over the past few years, we are getting the benefits of that.

If you see the property ratios internationally, they are quite good now. The same will happen for the Indian market, right? So as a market, we need to improve. What we need to also realize is GIC, as a reinsurer, as an Indian reinsurer writing 70% of its b ook in India. There is only so much we can do to ensure that we are doing a combined of 100% because unless the market also comes with us on that journey, it may not be workable.

So the market today typically works at a combined of anywhere between 1 15% to 120%. In that, GIC actually is doing much, much better. If you're -- today, if you're looking at my domestic combined, it is close to about 103%. So actually, I'm doing much better than the market. So that is something that we will continue to do. Wh en we write business in this market, we really try to discern the good underwriters from the bad, and try to write more business with the good underwriters, with the good companies. T hat is something that we have continued to do. We'll continue to do.

For us, honestly, this is not something that we are keeping a target of two years and saying that is where you need to reach. We're saying this is a journey. And we all need to understand that in this journey we need to continuously improve. And that is something we are committed to.

Sumit Agrawal: Okay. Very helpful, sir. And one more thing, last one from my side. The press release talks about combined ratio adjusted combined ratio. So can you please clarify how is it calculated?

Ramaswamy Narayanan: So the combined ratio is essentially the actual business figure, which is premium less, claims less acquisition costs, which is the combined ratio. What happens in the market like India is the premium comes upfront. I think I've spoken enough on this. The premium comes upfront, the claims happens late

r, a float gets created, and that float is essentially of policyholder funds as
we call it. And whatever investment income we generate out of that, we try to apportion it back to the busine ss that we are writing. So if that investment income is taken -- so the combined ratio with investment income is something similar to the combined ratio when we look at our operational profit.

Sumit Agrawal: Okay. Okay. Okay. But the book value of investments, which we referred to some time back, entire of that would be belonging to the shareholders, right? That would be...

Ramaswamy Narayanan: No, no, no. There will be -- there are -- there policyholders' funds and there is shareholders' funds. So shareholders' funds typically would be the net worth kind of a thing. That will be the amount. And the balance will be your policyholders'.

Essentially, the money that I'm holding because of the business that I'm doing, obviously, money comes upfront, the claims happen at a later stage. So the money that is with me during that course of time is what is giving me the investment benefit, which I 'm passing on to the benefit of the business.

Moderator: The next question is from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha: Sir, can you break down your 118 combined ratio for nine months into domestic and overseas? That's my first question.

Ramaswamy Narayanan: Okay. Just a moment. You want the combined ratio for domestic and...
Sanketh Godha: International.
Ramaswamy Narayanan: International separately. That should be okay. So domestic, the combined ratio is 104.67%, right, and the international 158%.
Sanketh Godha: Okay. Okay, sir. And sir, my second question is, basically, international business, if I look at it for many quarters -- since many quarters, I think more than 16 -odd quarters, there is no respite in that particular business. We always have a combined rati o somewhere between 120% to 140%, 150% kind of a number. So -- and this business in last many years, maybe 2, three years, has seen a lot of price hikes, too.

But I understand that we have the rating downgrade may be the quality of business what you used to do might not be available now, but -- was not available -- but it affected the number, but just wanted to understand, how do you see this number to play out? And in the previous participant question you said that this year was relatively benign with respect to overseas CA T event.
Despite that, we have 158% percentage. I Just wanted to understand that part a little better. And if I understood, you're right, January renewals are happening at the same price what you had last year, right? And you're not seeing any change in the price or increase in the price with respect to January month?
Ramaswamy Narayanan: Right. So two things. One, yes, I agree with you. If you look at GIC's books over the last few quarters, definitely the international book hasn't done well. Barring for 1 year, if you see the previous years internationally, I think most reinsurers' books have not done w ell because there have been -- I guess, some 2017 onwards, there have been a plethora of catastrophic events, which have hit. So obviously, books have not done well. I agree on that.
That has played out well because obviously, all reinsurers have decided that we can't take this anything more, and you see prices have strengthened. We are slightly behind on that, simply, yes, you got it absolutely spot on when you said because of our cre dit rating, we have not been able to kind of access some of the better -performing treaties in the market. But hopefully, going forward, we will do that.
In this particular year, in '23, that is, actually our books should have been very good. The international book should have really given us a good profit and works well for us. But unfortunately, th

is particular treaty that we had written in the U.S. kind of come and hit us. So if you see actually the property internationally is doing well, but it is the motor and marine, which is what the treaty was all about, is actually doing badly.
Like I said to the earlier person as well, why this is it looking so sharp today is because in both these portfolios, there is no new premium coming in because we have stopped that treaty. Now in case the premium was there and the losses were there, this w ould actually look decent. Yes, it would not look very great, but it will still be decent. But at this point, we've actually taken the call to come out of the treaty so there is no premium, but the losses are there, which we continue to pay, right?
I think from a long -term perspective, that is good because we have actually come out of a treaty which, going forward, would have been troublesome for us. So maybe the troubles we are taking today, going forward, this shouldn't trouble us. Once we get the rating back, we can also access some of the better -quality treaties that are available in the market and things should be better.
Sanketh Godha: Sir, this motor and marine, what you said have, completely runoff? Are you expecting still IBNR to be there in these two treaties and claims can come? Or you think everything -- most of the claims have been serviced and incrementally not see pain in these two treaties.

Ramaswamy Narayanan: So they are provided for. There is an IBNR component in this treaty. So not everything is paid for. Certain -- I would tend to believe that a significant portion of it is definitely. I'm just being very cautious here because I don't want you feel that tomorrow -- see after all it is a treaty, there could be -- because treaties typically stay alive about three to five years, especially these kind of treaties. So we are trying to just say that we have provided enough. Our actuaries have been completely going to be booked. We have spoken to the people concerned in the market as well to understand what we should expect fro m this.
Like I said, in the U.S. market for GIC, we have to provide letters of credit for the kind of claims that are expected, including IBNR. So we have already provided that. And keeping that in mind,

we have done our provisions in the book. So we believe we ar e good compared, but I do not know whether anything small can come up in the future as well. But at this point, we would tend to believe that we are safe.
Sanketh Godha: But sir, you've discontinued this treaty from mid last year. So which means that as you said treaty typically runs for three to five years. So if you are fully provided, incremental pain should not come, but if there are some negative surprises, which treaty can throw up some more pain going ahead. But that's the way I need to understand it, right, sir?
Ramaswamy Narayanan: Yes, yes. So we stopped the treaty in 2021. So typically you would expect that it would run till about '25 at least for all the claims and things like that to come in. Being motor and marine basically, we would expect that. Like I said, we've kind of provi ded for everything that we believe is the losses that can come in basically because cedents there would not want to take that on their balance sheet, they would want to ensure that we provided the LCs for, what they believe are, the cl aims that should come to us.
So we believe we are fine. Like I said, anything new coming up in the market in the next two years might come to hit us, but we believ e we are that much more safer as of now.
Sanketh Godha: Got it, sir. And the next question I had was, sir, that typically, if I look your FY22 and FY23 trend, your fourth quarter combined ratio is meaningfully superior compared to what you report in nine months. For example, in fourth quarter, you report

ed 74% combined of FY22. And last year, it was 89%. And it materially changes your full year number as you report this kind of a number.
So, sir, just wanted to understand that there is some kind of a provisioning reversal which happens in fourth quarter and that benefit gets reflected in the full year. And can we expect a similar trend to play out nine months number or 118%? But for full year, the overall combined could be materially better than 118% what you have reported in nine months.
Ramaswamy Narayanan: So coming back to your question, yes, normally, our fourth quarter figures are better than the other three quarters. There are a couple of reasons for this. One is, of course, if you typically see the fourth quarter is a relatively benign period of the year, both in India and internationally. So we don't expect normally any major catastrophic claim to come in. So that, of course, helps us very well.

Second is, again, from a perspective of accounting, a lot of accounting happens in the fourth quarter because that is when a lot of things also come in from the cedents themselves. A lot of accounting entries come in, then a lot of things get adjusted. Mos t of our -- so this year, if you see IRDA had also changed estimation policy. Because of which, the way we were estimating earlier has changed. So I would believe that in the fourth quarter we would actually show much better figures.
But let me also temper things. I mean, if you're really expecting that -- so last year, we closed at around 109. So if you are expecting we will come close to that, it might be a little difficult this year for the same reasons that I said, there have been two catastrophic -- medium -range catastrophic events, not huge, but still medium range for us, and the fact that the international marine and motor treaty have played out slightly negatively. We would still be maybe two or three points of what we were las t year. But you are right, I think fourth quarter will be much better than what we have seen in the first three quarters.
Sanketh Godha: Got it, sir. And sir, one thing, if you can quantify the CAT losses absolute rupees crores both from domestic and overseas if any in the current quarter, absolute amount how much you have taken a hit, if that it would have not come then what is the likely combined for this?
Ramaswamy Narayanan: So typically Sikkim. Yes Sikkim we have provided about INR850 crores -- INR838 crores to be very precise. Cyclone Michaung, which is the Tamil Nadu floods, we have -- I think we have -- yes, INR754 crores is what we have provided. So both put together is around INR1,600 crores of IBNR that we see in these two CAT events which have happened in this quarter. So that is the substantial figure I'm talking about.
Sanketh Godha: Both are provided in this quarter itself? Sikkim can actually happened last quarter I believe.
Ramaswamy Narayanan: No, it happened this quarter.
Sanketh Godha: Okay. Okay.
Ramaswamy Narayanan: It happened this quarter. Yes. And we've also added another close to INR300 crores of IBNR for marine, like I said, based on how the quarter three and four have worked out. So actually speaking, we have almost added about INR1,800 crores, INR1,900 crores of IBNR in this quarter. And I believe that is good because that makes our reserving very robust. Obviously, it means that we don't have any nasty shocks coming in at the end of the year.
Sanketh Godha: And nothing in the overseas CAT event, right, sir, in this current quarter?
Ramaswamy Narayanan: No, no, no. Nothing overseas. We have not added anything in this quarter. No.

Sanketh Godha: Okay. And just two more. One is, sir, I think crop, for the quarter, the growth is lower -- or it's declined is largely because of the accounting change you alluded to, right, sir, because you are now

recognizing not on estimation basis, but on actual basis.

Ramaswamy Narayanan: That yes. And of course, also, what we must realize is in the corresponding quarter last year, there was actual bookings of crops that got booked in the third quarter last year. That similar booking is not there. Some of them we have not written this year because we were not happy with the business the way it was priced. So we have actually cut down on our crop writings this year as you know. So that is showing up now.
Sanketh Godha: And one more thing. Your tax rate for nine months is 18%. So we should expect the tax rate to be around that number or it will go up to 25 points -- 25% by -- for the full year?
Ramaswamy Narayanan: I think yes -- one moment, yes.
Jayashree Ranade: During the quarter, this quarter, right, it will be around 25%. Some credits we could get because of our earlier adjustments of research . It was part of our books of account, but we had not brought it into P&L. So the amount is adjusted in this quarter. A nd hence, the slight reduction in the tax rate -- this tax percentage you can work out. But more or less, it will be 25% by year end. Of course, this credit will carry out around INR152 crores credit was taken this time.
Sanketh Godha: Okay. And in shareholders' account, other income, that number around INR419 crores seems to be much higher than the usual run rate what you report. What led to that jump, ma'am?
Jayashree Ranade: Yes, this is related to one provision which you have done during the year 2021, '22 for about INR1,500 crores in the respect of reduction in equity prices -- it's related to equity holding so far. So still the markets have come up slowly steadily. This calculation keeps on happening every quarter. And there is a reverse -- write -back of this provision to the extent of this amount. Most of the thing is that. Yes.
Sanketh Godha: How much is that amount, ma'am, write -back of provision.
Jayashree Ranade: Actually, as on 31st December, if you ask me, this amount is approximately INR797 crores. It's a provision. But the reversal is approximately...
Radhika Ravishekar: INR746 crores.
Jayashree Ranade: INR746 crores -- one minute. Yes, INR746 crores, right? Yes. No. The miscellaneous income of INR879 crores includes INR873 crores of reversal of provision ?
Sanketh Godha: Okay. Okay. Okay, ma'am.
Jayashree Ranade: Of that INR400 crores is for this quarter, the rest is for the prior previous two quarters.
Moderator: The next question is from the line of Aditi Joshi from JPMorgan.
Aditi Joshi: I have two questions. The first one is on the gross written premiums for the quarter -- in the third quarter. We saw that the premiums in both the domestic and the international lines were a declining trend. So the reasons for that, I understand in international that you have refrained

from renewing fee book. But what is the reason in the domestic business line? And if you can also comment on what sort of growth you are targeting in the next year as in full year 2025? And the second is on the health insurance. Just following up on your comment that a lot of it as you said is coming in from an obligatory book. But I'm just wondering because there was an underwriting loss in the last quarter. So do you think that there ar e certain ways in which we can improve the performance of this segment? Yes, that's all.
Ramaswamy Narayanan: Sure. So on the gross premium, Aditi, on the domestic side, like I said earlier also, we have actually cut down on our agriculture writing. So this year, the schemes have changed a bit. This year, when I say, '23 the schemes changed a bit. There were some loss caps that states had brought in, what is known as the 80110 scheme where any

thing beyond 110, the state would step in. So what we saw that some of the companies were not very good at pricing it properly. We saw a lot of aggression in the market. So we actually stepped back a little from some of the agriculture treaties that we saw in the market. So obviously, the reduction that you see in the gross premium is because of that.
Second, on what do we see as growth, like I said, so there are a few things that we need to understand. From an international perspective, we may not see much growth going forward for '24, '25 simply because a major part of the treaty -- I mean, major part of our business comes from treaty and the treaties get written on the 1st of Jan.

So 1st Jan 2024, we kind of went ahead with expiring which will be more or less written almost the same kind of business that we have written, so we don't see much growth there. Whatever change we need to do would happen possibly in the 2025 renewal, assum ing that we get our credit rating back to A minus this year from AM Best. So that is one part of it.
Second part is the domestic business, and that is where we are quite gung -ho about simply because of two reasons. One, we believe -- I mean you have seen our solvency ratio. We are in a very good position. So that allows us to look at opportunities in the Indian market. The Indian market, by itself, is growing well. There's a double -digit growth happening in the market. So obviously, as a very important reinsurer in this market, we get to see that growth in our books also. The Indian market renewals happen s on 1st April.
We have already engaged with the market participants, especially the bigger ones. And my team is already speaking to the reinsurance people to ensure that we understand what their reinsurance requirements are, and we are there to support them for that. So hopefully, that will turn into a good growth for us. Hopefully, say a 10% growth definitely in this market can be achieved. So that is what we'll be looking for from the -- from a growth perspective going forward for '24, '25.
On the Health front, I think, like I said, a major part of that for us comes from obligatory. So there is nothing much we can do in pushing the loss ratios lower. We are, of course, talking to industry participants to understand what is happening. And like I said, one of the things that came out was the fact that there's one good thing happening, which is that the ticket price is

going up. What used to be earlier INR2 lakh or INR3 lakh kind of a purchase of health cover is now changing where people are more interested in buying a INR5 lakh or INR10 lakh cover. The advantage of that is you are getting a higher premium not necessarily that claims would reach that level. So that is a good point. But more importantly, for this sector to work better and for it to be properly diversified, you need more people getting into the pool. I think that is what the market participants are doing. In multiple ways, they're trying to get more people to buy health covers. Once that happens, I think this book will look good.
Moderator: The next question is from the line of Avinash Singh from Emkay Global.
Avinash Singh: So the first question goes around the risk management. So if we were to say, I mean, two parts to it, one that, I mean, just not a matter of quarter or 1, two years, almost for the last 7, eight years, international business has been just in a pain point. Now from a reinsurance perspective, it's sort of obvious argument that you need to be geographically diversified. But it seems that this diversification is not working, like 7, eight years in a continuous row when the price hike has environment has hardened, there have been good, bad ugly year s, yet a very, very big loss. Now the next question that is on this, you're also following up on the risk m

anagement practices.
Particularly if we see around COVID times, you sort of had increased exposure in Life particularly in India, and you sort of had a big underwriting losses, al most INR1,000 crores plus from that Life line item. That's a small line item typically for you because you did not have a retrocession on the Life side.
Here, again, on the marine overseas, I mean, the book was sort of a stop -- the treaty was stopped in 2021. So of course, you would have IBNR at that time. But yet in FY24, you are seeing in two quarters -- around nine months, INR2,500 crores cost rather -- providing for those treaties and almost like your claims ratio are going. So now again, question here is that, wasn't there a sort of a retrocession cover for these kind of policies.
So the question here is that, okay, what kind of a retrocession policy do we have? Because it seems that, okay, in certain a smaller line item that claims ratios or claims -- absolute claims are going through the roof. And if that is sort of the case, I me an what are our sort of retrocession policies? And then also that what is our thought because it's not 1, two years, almost 7, eight years in a row and international has been just a pain point. So what is sort of our thought process there?
Ramaswamy Narayanan: Right. On the international side, I've already said, yes. It has been a pain for the last 7, eight years, but no, it's not really only been for GIC. It's been for across, all reinsurers have felt that pain. And that is where the change has happened. The change has happened particularly only last year. Otherwise, as a reinsurance fraternity, we have been very kind and we have been very tolerant about all the different losses happening.
Maybe these losses were happening across, so any one particular geography couldn't have been identified. So it has happened what we typically in this trade call as a soft market cycle. So that

market price will continue for a very long time. And now maybe from last year, it has slightly hardened. And I think that hardening is continuing, people have begun to realize. So I think the effects of that -- the results of that would ideally come going forward.

It should have come this year for the negativity was caused by marine and motor for us. Otherwise, honestly, this year, the foreign books should have turned and maybe even the combined would have been below 100% as well. So that, yes, the point well taken about retrocession. But again, retrocession is something that we very clearly make it a point to understand our exposures and take retrocessions where we believe it would come and hit our balance sheet.

Now if you see GIC with the kind of size that we have, that it has, both in the kind of business that we do and the kind of balance sheet strength that we have, honestly, for us to go into the market looking for retrocession is very low down, doesn't work for two reasons. One, there is a reputation risk here. When you try and buy a retrocession very low down, people get the feeling that you possibly don't understand the business that you're writing. So you're trying to pass it off to reinsurers. So that is something that we don't want markets to take from us, number one. Number two, more importantly is the cost. Now retrocession actually, if you look at the pricing, it is much higher than the normal pricing that reinsurers charge to their cedents. So somewhere we have to draw a line trying to figure out where we can get th e maximum value for the retrocession that we buy. So as a matter of principle, GIC normally buys retrocession to protect its balance sheet from a really bad loss. Otherwise, we normally are -- I mean, what we tell ourselves is that we should be in a posit ion to manage it from our day -to-day business, and that is what we do.

If you look at our business

also, in spite of these two CAT losses happening in India and this motor and marine binder working adversely, we still are showing decent profitability figures. So that is what we would like to see that the P&L shouldn't get affected very badly. It definitely shouldn't come and hit o ur balance sheet that our assets are affected badly. Those kind of losses, we will obviously try to protect with our retrocessions. Otherwise, honestly, from a pricing perspective and from a reputati on perspective, buying retrocession lowdown doesn't really work.

Avinash Singh: But again, here just two follow -ups. So one, again, on international, of c ourse, in these same seven , eight years barring maybe a few quarters, the global big like a Swiss, Munich or Hanover I mean, the top five ones, they have done kind of a 100% -- some 100% kind of combined in these seven , eight years, whereas our combined ratio international is almost like for the last seven , eight years, it's like 115% plus. So definitely there's a big gap. So I mean, we cannot sort of explain it with what is happening in those markets, that's one.

And of course, I'm not questioning about domestic, because domestic more or less, you have two advantages. But even if it's a higher combined ratio, your float income is pretty high in domestic. So domestic can operate it to a different. My question always has been overseas

because your investment returns are also poor generally in overseas book. And of course, so you have to operate in a different combined, but as a matter of fact that combined has been to other.

On retrocession my question was more again on the like, again, not just for this marine, of course, this marine anyway you're expertise still, but something like a Life going back during COVID times. Life is typically not having your expertise, but you had been increasing -- because the domestic market was growing in the Life primary being protection side. So you increased your share dramatically and of course, you saw big losses in COVID something like, okay.

It has wiped out your entire many years of maybe perhaps underwriting profit on the Life side. So when you are sort of venturing into an area that is not typically your forte, that was life. And actually you were not having a retrocession, but that was kin d of a reflection a bit poor on risk management.

Ramaswamy Narayanan: So basically, if you look at our Life portfolio, it is comparatively still very small and definitely during COVID period also it was small. So honestly, it we didn't justify a protection purchase.

Like again said, we go back to the fundamental thinking tha t -- is it something that will come and hit my balance sheet in a bad way is what we kind of look at when we decide to buy a retrocession. So honestly, yes, the portfolio itself was so small that there was no reason for us to look at b uying a retrocession. Again, we have to ensure that it is also cost effective for us to buy that.

COVID, as you can appreciate, was a black swan event. I mean, it's an event which nobody really predicted would happen. And to that extent, obviously, loss ratios went up. But again, over a period of time now, that book is looking decent for us. We are try ing to see how we can increase that book in this market. We have a good actuarial team in place who understand this business well, who are able to price this business well, understand risks that we are taking, the exposures that we a re taking.

And obviously, once we reach a certain critical mass where we feel that we need to buy a retrocession for this, we'll, of course, go ahead and look out for it. At this moment, we still believe that the kind of business that we write is something that is be st kept to our net, obviously. And once we grow it is the time will be for retrocession.

Avinash Singh: And lastly,

sir, what are the steps you are taking, particularly from all the public sectors of primary reinsurer to sort of show some discipline in group health market because eventually that mandatory cession comes to you and that book is still, I mean, despite whatever steps they take -- say that they have taken, the group health market or their policies still continue to sort of bleed. So any step that you can take on and ask them to sort of come up with som e pricing becaus e if mandatory 4%, 5% cession that comes to you even on that book, eventually yielding to losses? Anything on that?

Ramaswamy Narayanan: Yes, Avinash, so what we do is -- I mean, so we do engage with them actively to understand what they are writing and where we can help them there and whether we can price it for them and help them in claims management and things like that. I'll be very hon est to say that just

having a 4% share for us to push for any changes doesn't really work. If the company tomorrow decides to retain 96% to its net, just on the basis of the 4% that it is feeding to me, I cannot re ally push for changes in terms.

But typically, what happens in group health is it is comparatively bigger sum insured and premium. They normally look out for some kind of reinsurance support other than obligatory. So that is where we step in. And it's not necessarily that we write everyt hing, but there might be some other reinsurer would also go and support them.

So that is the area where we can push and try and ensure that rates become better, the kind of coverages that they are offering in groups are curtailed or it is ensured that it is priced for. It is not going free. So those kind of things we do, not so much as an obligatory underwriter, but more as a reinsurer in this market who understands how these group schemes have worked in the past, we are able to advise them on that, yes.

Moderator: The next question is from the line of Karthikeyan K, an individual investor.

Karthikeyan K: So I have a couple of questions. First is the credit rating . I mean congratulations that we got upgraded – so not just, that is good. And -- see that rating methodology has been changed. I mean, we never got a domestic rating and international rating in the last 20 years. Any reasons for the change? And how optimistic are we going to, I mean, to A plus -- A minus?

And second question is, see, we have been de -growing for the last, I mean, three years, right? So how -- I mean what kind of target we have for the next two, three years from the growth point of view?

Ramaswamy Narayanan: Right. Thanks, Karthikeyan. So first part on the rating, well, let me put it this way, something that they have offered additionally to us, okay? So till now they were essentially talking of rating us on an international basis. And we used to have our own credit rating by the Indian agencies, whether it is ICRA or CRISIL or whatever it is. So that used to anyway happen. So, I guess, they have now added this as another feature in their portfolio that apart from the international ratin g, they will also give us an Indian rating, which will kind of stand alongside the current ratings that we have with ICRA and others.

So I wouldn't say it is something different. It is just that they look at the Indian or the country rating slightly differently. Obviously, the things looked at are different. But on the international thing, they still go by the same kind of values and the same kind of things that they look for when they were rating us earlier as well. So we know what that is and we work alongside that. We are in constant touch with them to understand what is it that they feel we are lacking and what should we do different ly.

We also speak to experts in that field people who have been in the credit rating areas for some time, maybe it is S&P or AM

Best and try and understand from them how we should present our things, how we should de -risk ourselves, and how we should finally go to be credit rating agencies with our figures. So that is something that we do.

Coming back to your question about what do we feel about our rating? To be very honest, I mean, if you are asking me strictly my personal opinion, I would hope that this year we would get it, like I said, we have come to positive and the next step up is a A -minus rating. So w e don't see any rea son why we should not get that.
Like I said to an earlier investor as well. I think what AM Best looks for is clarity of thought in what we are doing. They want continuity. They want to see that whatever we have been doing for the last 2, three years, which have been successful, we should carry it forward. And that is what we propose to do.
So unless something very drastically bad happens in the next six months, I would want to believe that this year we should be hopefully able to get our A -minus rating back. And honestly, that -- once we get that, it opens up a lot of opportunities for us internationally to look at some good quality businesses, which unfo rtunately today, even with the good relationships that we have with customers worldwide, we are unable to write because we don't have the credit rating.
If I have to put somebody ahead of me, it costs me money, so it doesn't make sense. So that is one part. Just flowing down to your next question about what do we look at growth. So one part of growth, especially the international part, would depend on whether we are able to get our credit rating back this year. If we get it this year, obviously, you can look for some growth going forward in the 2025 renewals.
On the Indian market, we are very bullish. We believe we understand this market well. We have an exceptionally good business relationship with all the customers here. And with the kind of growth that this market has, they do need a lot of reinsurance, righ t? This market is also going into IFRS and risk -based capital in 2025. We again believe that's the time when on field or onshore reinsurers will play a big part in ensuring that insurance companies get the kind of reinsurance they want.
So we believe this is the time for us to grow in this market. But again, that is not to say that we are going to grow just haphazardly about just writing whatever comes to us. Our teams are looking at all the businesses that are happening in this business -- in this market. And we are already engaged with our customers to understand what kind of support they want and where we can fit in looking at our risk appetite.
So to give you a very short answer to your question, I believe growth will happen going forward in the next couple of years, both in the Indian market, and if we get the credit rating also in the international market.
Moderator: The next question is from the line of Ganesh Shah, an individual investor. If there is no response from the participant, we'll move to the next. That was the last question, I would now hand the conference over to management for closing comments.
Ramaswamy Narayanan: Thank you, everyone. So very grateful for you all taking time off and speaking to us. Hopefully, we would have been able to give you some confidence about how this management plans to take

this company going forward. We are totally committed to ensuring that our bottom line does not suffer and whatever business that we write should positively contribute to our bottom line. Risk management is something that is very close to our heart. Since w e also take the risks from other companies, we try and manage it to the best of our abilities.
Going forward, the message from the management is, we are looking for growth now since we do have a fantastic solvency ratio. We are confident about what we have done in the last three years. So we will take that forward, and we will grow our business, starting from the Indian renewals in April '24. And hopefully, with the credit rating coming our way in this year, we'll also grow our international book.
Thank you so much for all your questions, all your interest, and we look forward to meeting with you at some point. Thank you.
Moderator: Thank you. On behalf of General Insurance Corporation of India, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.
Ramaswamy Narayanan: Thank you.

Call: May 2024

(■■■■ ■■■■■ ■■ ■■■■■) '■■■¢■', ■■■, ■■. ■■■■■■■, ■■[■■■ , ■■■■■ ■■■■■■
General Insurance Corporation of India ''SURAKSHA'' , 170, J. Tata Road, Churchgate,
(Government of India Company) Mumbai 400020. INDIA Tel: 91-22-22867000
CIN: L67200MH1972GOI016133 IRDA REG NO.: 112 FAX Server: 91-22-229899600, www.gicofindia.com
E-mail: info@gicofindia.com

Ref. no.: GIC-HO/BOARD/SE-Q4-T/65/2024-25 May 31, 2024

To,
The Manager The Manager
Listing Department Listing Department
BSE Limited The National Stock Exchange of India Ltd.
Phiroze Jeejeebhoy Tower Exchange Plaza, 5th Floor, Plot C/1,
Dalal Street G Block, Bandra Kurla Complex
Mumbai – 400001 Mumbai - 400051

Scrip Code: (BSE – 540755/ NSE – GICRE)

Dear Sir/Madam,

Sub: Transcript of conference call held with Investors and Analysts to discuss the financial results for the year ended 31st March 2024

In compliance with Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached herewith Transcript of the conference call held with Investors and Analysts on Wednesday, May 29, 2024, to discuss financial results for the year ended 31st March 2024.

This is pursuant to and in compliance with the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and applicable laws.

Kindly take the above information on record.

Thanking You.

Yours Sincerely
For General Insurance Corporation of India

Suresh Savaliya
(Company Secretary &
Compliance Officer)

"General Insurance Corporation of India Limited
Q4 FY'24 Earnings Conference Call "
May 29, 202 4

MANAGEMENT : MR. RAMASWAMY NARAYANAN – CHAIRMAN AND
MANAGING DIRECTOR – GENERAL INSURANCE
CORPORATION OF INDIA LIMITED

MRS. RADHIKA RAVISHEKAR – DEPUTY GENERAL MANAGER & CHIEF INVESTMENT OFFICER – GENERAL INSURANCE CORPORATION OF INDIA LIMITED
MR. RAJESH LAHERI – DEPUTY GENERAL MANAGER – GENERAL INSURANCE CORPORATION OF INDIA LIMITED

MODERATOR : MR. BINAY SARDA – ERNST & YOUNG

Moderator: Ladies gentlemen, good day, and welcome to the General Insurance Corporation of India Q4 FY'24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after th e presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to over to Mr . Binay Sarda from Ernst & Young. Thank you, and over to you, sir.
Binay Sarda: Thanks, Susan . Good morning to all the participants on the call and thanks for joining this Q4 FY'24 Earnings Call for General Insurance Corporation of India. Please note that we have mailed out the press release to everyone, and you can now see the results on our website as well as it has been uploaded on the stock exchange. In case if you have not received the same, you can write to us, and we'll be happy to send it over to yo u.
Before we proceed with the call, let me remind you that the discussion may contain forward - looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with our businesses that could caus e future results, performance or achievement to differ significantly from what is expressed or implied by such forward -looking statements.
To take us through the results of this quarter and answer our questions, we have with us, the management of GIC repr esented by Mr. Ramaswamy, Chairman and Managing Director and other top members of the management. We will be starting the call with a brief overview of the quarter 1 part, which will then be followed with a Q&A session.
With that said, I'll now hand over the call to Mr. Ramaswamy. Over to you, sir.
Ramaswamy N .: Good morning, everybody, and thank you for joining us for this call. And I'm very pleased to announce the financial performance for the quarter and the full year ended March 31, 2024. As we reflect on the recent trajectory of our reinsurance company, it's imperative to acknowledge that the challenges we have navigated , particularly within the realm of property reinsurance and more prominently the catastrophe segment over the past six to seven years. The landscape, both domestically and internationally, has been marked by a series of catastrophic events that have reverberated across the market, inducing significant strain for all reinsurers alike.
Nevertheless, amidst all this adversity lies opportunity and it is heartening to witness the hardening of markets on the international level, yielding tangible benefit for our end hours.
While it is almost unrealistic to expect an immediate turnaround in our combined ratio dipping below 100%, we have managed to bring down our combined ratio to 89% for the quarter, the last quarter that is, on the back of our steadfast commitment to meticulous risk evaluation and underwriting practices.
Let me now take you through some of the key highlights of th e financial performance. The gross premium income of the company was INR8,723.65 crores for the last quarter of '24 as compared to INR7,369.74 crores for Q4 FY'23. The investment income stood at INR2,971.48 crores

compared to INR2,897.21 crores in Q4 FY'23 . Incurred claims ratio was at 68.9% in Q4 FY'24 as compared to 73.7% during the corresponding quarter of the previous year.
Combined ratio stood at 89.26% for Q4 FY'24 versus 89.15% during the corresponding quarter of the previous year. The adjusted comb ined ratio by taking into consideration the policyholders' investment income, works out to 88.02% for FY'24 as compared to 86.96% in FY'23. Profit before tax stood at INR3,

171.34 crores in Q4 FY'24 as against INR3,000 crores in Q4 FY'23,
and profit after t ax stood at INR2,642.48 crores in Q4 FY'24 compared to INR2,563.84 crores in Q4 FY'23.
Solvency ratio stood at 3.25 as on 31/03/24 as compared to 2.61 as on 31/03/2023. Net worth of the company without fair value change increased to INR37,581.78 crores as on 31/03/24 as against INR32,356.08 crores as on 31/03/23. Net worth of the company, including fair value change, increased to INR81,330.25 crores on 31/03/24 as against INR63,749.61 crores as on 31/03/'23.
On the premium breakup, domestic premium for FY '24 is INR25,804.02 crores and the international is INR11,377.73 crores. The percentage split is domestic 69% and international 31%. There is a growth in the domestic premium by 1.7%, and the international book has grown by 1.5%.
We remain resolutely devo ted to safeguarding our bottom line while targeting growth, ensuring that every facet of our business contributes positively to our overarching financial health. To that extent, we've already grown our domestic business as on 01/04/2024 by a significant ma rgin.
At the core of our operations lies an unwavering dedication to risk management, a principle that we hold close to our hearts. As stewards of risk for other entities, we bear a profound responsibility to manage these risks with utmost diligence and expertise, striving to mitigate adverse outcomes to the best of our abilities. As such, we are confident in improving our underwriting profitability on a consistent basis going forward. Having given the highlights now, we'll open the floor fo r questions from interested parties. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. T he first question is from the line of Aditi Joshi from JPMorgan.
Aditi Joshi: Yes. So just a couple of questions. Firstly, on the underwriting in the health reinsurance segment. So can you please help us understand as in what led to the improvement in the fourth quarter? Was it majorly attributed to the group Mediclaim side ? And the second is on the domestic on the fire segment. So can you just explain or help us understand like what led to such high deterioration in the underwriting in that segment?
And just last third question is on the fourth quarter acquisition costs. So the cos t ratios have gone up both quarter -on-quarter and year -on-year basis in the fourth quarter. So can you please help us understand the reason behind that? And also, what are your thoughts on outlook, especially on the acquisition cost for this full year 2025?

Ramaswamy N.: Thanks, Aditi. Yes, I'll take fire first. Fire, the combined ratios have deteriorated simply because of the catastrophic events. Now if you look at India, we have had about nine catastrophic events in the country during the last year, out o f which at least five were very significant where GIC's loss on each of these were at least INR150 crores.
Now if I look at the entire catastrophic events which happened in the country, they have typically added about INR3,350 crores to our overall losses coming out of these CAT events, which if you look at it from an overall perspective of the INR33,000 plus crores of earned premium that we have had for the year, it actually means that the 10% share of the losses. If it had been a benign year and if these losses have not been there, our combined would have come down by 10 percentage points.
So that is the kind of levels of catastrophic events that we've had in the previous year. So that obviously has had an effect on the combined ratio for fire. So that i s where the deterioration has happened. But this is something that we have known over the years because the losses have started from something like June and gone right up to -- these events have gone right up to December end. So tha

t is something that has happened in the last year, which have deteriorated the fire .
On health, well, you talked about two things. One is, of course, why things have improved. Well, I think the losses have improved simply because some of the treaties that we have written have been very profitable, and that honestly has also contributed to acquisition cost going up. Because then you do write profitable business, you end up giving a bigger portion of commission back to the company as acquisition costs.
So actually, these both are linked together. The health portfolio has improved because the quality of business written has been good, and these have been basically retail businesses that we have been writing. And obviously, since the costs involved on the direct side is also high fo r these kind of businesses, our acquisition cost has also gone up. Does that answer you?
Aditi Joshi: Yes. And if I can also just follow up on the motor as well as in -- this was also a pretty good performance. So given that a few primary insurers are not very much comfortable about the motor third party pricing hike, let's say, in the full year 2025. So if we were just to assume that the prices in the motor third -party segment for the primary insurer, they remain unchanged. So

what impact will that hav e on reinsurance business overall? Because I just wanted to understand as if the underwriting motor segment can be seen as improving in 2025?
Ramaswamy N.: So there are two aspects to this. When you look at motor, there is third party as well as own damage . I agree with what you said with regard to third party and there is something that, as an industry, we are taking up that the motor third -party rates have not changed for a long time now. And maybe with the way loss ratios are going up, maybe it's time to have a relook at third -party rates and it's time for a change there.
And we stand along with the rest of the primary insurance market in this, and we believe that pricing needs to be managed better. That is on the third -party thing. On the Motor OD, what happens is there are two problems in that class of business.

One is, of course, the losses which could happen due to catastrophic events like in India, the major part of the events are mainly floods, and they normally affect the motor cars -- motor vehic les first. So obviously, from a CAT perspective, losses could go up there. Secondly, I think the acquisition costs on the direct side for motor is also going up year -on-year.
So these two really do affect that class of business. We, of course, try and see that the kind of business that we write from the market are profitable to us. So we are looking at this business keenly. And if it works for us, we write. If it doesn't work, then obviously, we walk away from that. That is where we are. But I think on the whole, the motor needs to be managed better in terms of the cost and in terms of motor third -party pricing.
Moderator: The next question is from the line of Sanketh Godha from Avendus Spark.
Sanketh Godha: Sir, just last year, in domestic fire segment, we had price hardening environment. So few primary companies are saying that it has softened in the current year. I just wanted to understand how the April renewal have happened in fire segment in the domestic market in the current year? That's my first ques tion.
And given we already have one CAT even with cyclone in West Bengal region, when -- and then monsoon probably, one more will be there. If there is a softening market, do you think that the combined in the next year could be under pressure from a d omestic market point of view? That's the first question, sir. And second, on Sikkim dam l oss, are we fully provided or maybe the potential risk coming from that -- that's on domestic market. That's my first question.
Ramaswamy N.: Sur

e. So on the domestic m arket, yes, you are right that the market has softened a bit. The 1st April renewal s, I think it remained flat from a reinsurance perspective. But from what we understand, the direct insurers have -- are maybe in the process of cutting prices due to competition.
Now this is something that needs to be arrested and this is something that we are focusing on. We are totally clued in to this. Our message to the insurance companies have always been that they must learn to manage pricing and they must ensur e profitability for the treaties, which gives them the capacity to write these businesses .
Because if that doesn't happen, if there is no profitability, if losses are getting passed on to reinsurers, then these capacities will no longer remain and that will be to the detriment of this market. Because if you see, typically, insurance companies retain less to themselves and cede more to reinsurers, especially when it comes to classes like property.
So it makes sense to ensure that these capacities are m anaged well, are treated well and that there is profit left at the end of the day for reinsur ers. Otherwise, these capacities will go off. So that is something I think companies need to understand and leave the message that we have always been giving and w e'll continue to give. And this is something that we are managing, and we engage with the markets to understand how things are happening.
Sanketh Godha: Last year, how much price or price correction or price decline you have seen in the April renewals of o ur property price last year or is it flat year -on-year?

Ramaswamy N.: Yes, yes. So compared to last year, it was more or less flat. I'm talking about reinsurance rates here. But what will happen is there is also a direct rate that we have to worry about. A nd that is where we are seeing the softening happening because there is competition in the market and people are trying to increase their top line.
So obviously, there is softening there. And that is something that we are looking at very carefully to see whether our capacities are getting compromised in that. So that is on the softening part.
Secondly, you wanted to know about Sikkim. I think we are adequately provided for Sikkim

based on the surveyor report and based on what our act uaries think the loss wi ll be, we are completely provided for that. There is no under -provisioning in Sikkim.

Sanketh Godha: But sir, when the softening market is there and even the primary players are competing on price and given CAT events are not subsiding, already one is happ ening now as we speak. So how confident you are that, that the fire combined ratio will hold up for the next year?

Ramaswamy N.: So one part that we have to understand is in the reinsurance business, it is all about spreading your risks and managing your overall portfolio. And if we end up writing only portfolio -- only property business, then obviously, we are a t risk there because like you said, the catastrophes keep on increasing. Climate change is something that we have seen is a reality.

Plus, in case pricing goes down, then obviously, it is a pr oblem . But the way we have grown our business in financial year 2025 is, we have grown it kind of across different classes. A major part of our growth has come from health, especially retail health , which actually is a good spread for us against the catastrophic events that are happening on the property side. So that is something that we are managing. We are pretty confident that we'll be able to manage our combined ratios going forward.

Sanketh God ha: Got it, sir. And second on the overseas business, our combined ratio for the full year is 125 %. It's still higher, maybe improved compared to the last year. But you spoke about an initial remark about overseas rate hardening. So just if you can t

ell us how much rates have hardened in overseas market compared to the last year. And with the rate hardening, assuming similar claims payout, likely improvement in the combined ratio in the overseas business you expect in FY'25?

Ramaswamy N.: We do expect improv ements, and the reason is very simple. For us, the problem was not property. Propert y has actually worked very well for us internationally, because that way it has been a relatively benign year. I'm not saying that catastrophes did not happen, but at least, as reinsurers, we were a little away from those losses. For us, the problem was one particular contract, and I think I've spoken enough on this in previous calls as well, so one particular contract that we wrote in the U.S. in the years 2017 to 2020, prima rily focusing on marine and motor as classes and which we came out in 2020. But these are long -tail classes. So obviously, the losses have come now.

So in the year, we actually ended up paying close to $260 million as losses in this year on this contract. Now if you see $260 million close to INR2,100 crores, if I had not written this contract and if these losses had not happened, honestly, it would have taken off 20 percentage points from my international books combined. My combined would have been 105% fo r this year.

So really, it is just one contract, which has really skewed our book. So that is why we are confident that going forward, in the next year, we will not have a similar problem because we have already provided the worst -case scenarios in our bo oks our actuaries have taken into account how the losses have developed over the last several years. And based on that, the provisions have been done.

For these businesses, we also provide letters of credit because this is the business in U.S. and we don't have an office there, so we need to provide that. So we have ensured that our books are now ring -fence d. Our portfolio is now kind of in a better position as far as this particular contract is concerned, which is why we are pretty confident that going forward for this year, the international book will look better.

Sanketh Godha: Got it, sir. Perfect. So means just asking from maybe -- I know you don't give the guidance numbers. But given this INR2,100 crores is one -off, maybe INR3,200 crores kind of a domestic CAT event is also a little extreme. If year looks little benign, even if this INR2,100 crores don't repeat, then are you very confident that there will be more like 105%, 107% kinds of combined in the FY'25 compared to 102%, what you have reported?

Ramasw amy N.: That is our desire. So I'm glad you put the number yourself, but that is our desire because this is where we believe our book will probably work very well. And then we take the next step towards reaching closer to 100% kind of stuff.

But if you ac tually look at it, I think you put the figures rightly. If you take away these 2 things, we're actually doing much better than 105%. But I don't think we should take the point that we will not have catastrophic events. As a company, we understand that thes e risks we have to take, these will be there. And we are ready for that. But taking your point forward, yes, if these kind of one -off extreme events are not there, then we are very confident of making 105% to 107%.

Sanketh Godha: Got it, sir. And 2 more qu estions I had. One is on your rating change. Now you r solven cy is 3.25. I believe you should get reiterated to A+ or A at least. So just wanted to understand the timelines when you are expected to see rating change, one thing. And second, if that happens, a likely impact on the overseas business growth if it happens. That's point #1.

And second question I had was with respect to crop, sir. Crop has declined by 27% in FY'24. It is closer to INR3,600 crores, INR3,700 crores today. So this numb

er wil l further come off or
this is like a bottom number. Now states have concluded tender 3 -year contracts. So you're fairly confident that number might be flat going ahead or we can see a further thing in growth in this particular segment?
Ramaswamy N.: Yes. S o Sanketh, I just hope that apart from being an analyst and investor, you also are a rating person because we actually want people like you to think of our rating. Well, I think it's the layer on the head when you said that the kind of balance sheet streng th that we have, the solvency that we have and things that we have shown over the last 3 years, it's high time the ratings agencies realize that.
And I think even last year, we pushed a lot and we made these points to the rating agencies that when you com pare us with the rest of the people in the world, we're actually quite strong. And

this is not something that we say, this is what our clients say. So hopefully, yes, I think the rating agency will also look at us positively because last year, when they lo oked at us, we showed a good profit.
Our performance was good. Our solvency had gone up. They could always take the call that this is kind of a one -off. We will wait and see whether this will continue, right? So I think we have now proved it to them that this is something that will continue. And more importantly, in a year which has not been benign for us, there have been catastrophic events, there have been the stress that we have faced from the motor and marine portfolio.
So with all that, for our book to perform the way it has, for our profits to be at the level that it is. In fact, the INR6,500 crores net profit that we are talking about, these are record profit for GIC. We never have this kind of profit before.
So we've obviously shown to the world t hat as a company, we are going up. We are looking at ways to ensure that our book does not collapse in any way due to any event. And we have kind of ring -fenced our risks and managed our risks in a way that it will augur well for the company.
So hopefully, I don't see any reason why a rating agency should not look at it positively. We are meeting with them in July, and we will continue to push and get our rating back to A -.
Now the next part of your question is to whether -- once we get our rating, whether our international book will go up. My immediate reply to that would be, yes. because that makes sense as you become an A - rated company, you get access to better international businesses, which we are looking for.
But that doesn't mean that we are going to go complete hog on growing our book irrespective of the quality of the book just because we have got our rating back. The rating will only ensure that we get access to good quality international book, and once we are comfortable about the business , about what it will do for us, how it will work for us overall, we'll, of course, continue to write and increase our international book. That is for the future.
Sanketh Godha: Got it , sir. And lastly, on the crop one?
Ramaswamy N.: The crop, ye s, I think you gave the point yourself. So crop, what has happened is the tenders have changed. The way the crop business is being done. Earlier, it used to be individual years, now they are three -year businesses. So obviously, insurance companies have alrea dy done a three -year deal with the state governments. And changes will happen only in case there are huge differentials happening in the business.
So currently, we are more or less flat compared to last year, maybe slightly grown a little bit on the crop business compared to previous year -- for this year. But like you said, yes, it will more or less remain where it is. It will not go down in case we get to see some good opportunities because of some reinsurer moving away, then we might look at it. But at this poi

nt, it remains
flat.
Moderator: The next question is from the line of Karthikeyan K , an individual investor .

Karthikeyan K : So firstly, congratulations on the good set of numbers for this year. So I have like three questions.
The first question is like the commission ceded for this quarter specifically has gone up by 80% compared to last quarter. So you said that you are saying that the first question that it has gone up because of health retail participation increasing for us. Is that the only reas on or any other reason is there? Because it's almost 80% higher.

Ramaswamy N.: There are multiple reasons why it would go up. So one, the major part is the health treaty because we have written a few treaties which are very profitable. So obviously, what h appens is you tend to give back a higher share of the -- I mean, you tend to give back a higher share as commission. Again, obligatory is one area where the commissions have gone up. Not the commissions per se, but what happens is, obligatory has a provi sion where after 3 years, if the company is showing profits, there are profit commissions to be paid back. And if you see over the last 2, 3 years, companies have been making profits in the previous years. And so obviously, there are elements of profit com mission, which needs to be paid on obligatory.

So all these are combined together to ensure that commissions have gone up. But honestly, we don't worry too much about it simply because as long as your loss ratios are in control, I think you would expect t o pay more for good quality businesses to write.

Karthikeyan K : So that means that the health business going forward will do well for us. Is that the understanding, sir?

Ramaswamy N.: Yes, yes. Some of the business that we wrote last year as well as what we have written on 1st April this year have been very good quality retail businesses in health. And as you would have seen from statistics as well, health in this market is growing very fast, whether it is the health done by GI companies or done by SAHI companies, they are growing very fast simply because I think post -COVID, most people have realized that they need to buy insurance and those who are already buying, they need to buy more. So health as a class has been growing fast. Retail health has been profitable, and we are glad to be a part of that.

Karthikeyan K : Okay. Got it. From the growth perspective, so you have been taking in some of the interviews, you are giving for the business channels. You said that there's a chance of 30% of the domestic business for this current financial year. So the 30%, what you said is in the obligatory or non - obligatory or combined -- both combined?

Ramaswamy N.: So the earlier one that I talked about wa s 30% on the non -obligatory. And not just non - obligatory, it was a comment on the business that we wrote on 1st April. What happens, if you take non -obligatory in total, there is some business that we write as treaty business on 1st April. And there is som e business that is written throughout the year. It could be other fac ultative , it could be some small treaties that start at a different date.

So all these have not been calculated. Overall, if I look at the book today, what we wrote for financial year '24 and what we expect to write for financial year '25, we expect an overall growth of about 15% to 16%. I'm talking about this one for the total portfolio.

So we did about INR37,500 crores last year, that is FY'24 we expect a 15% to 16% growth. This will come from d omestic non -obligatory. This will come from obligatory. And more or less, at this juncture, I think the international business will be flat. The call on international business will be taken once we get our credit rating back. And mos

t of those renewals wil l happen on 1st of Jan. So obviously, at that time, we'll take a further call on how our total overall growth is going to happen.

Karthikeyan K : Got it, sir. So another question I have with -- we have accrued cash balances almost close to INR25,000 crores. Now if you see the kind of the past, so we -- now we went to INR50,000 crores of premium and then we have come back to almost close to INR37,000 crores. Do we need to hold that much of cash in the balance sheet? Or can we deploy productivity like investing in government securities or equities? Just a question on that?

Ramaswamy N.: So it actually includes two things , Karthikeyan . These cash and bank balances include our foreign balances as well as our domestic. So in the domestic, if you see in our overall investment, we have an internal benchmark where we keep about 7% to 8%, 7% to 9% as our -- as a margin, liquidity margin because we need to pay claims.

And currently, touch wood, some of these things are paying well for us also because these money market instruments are paying quite well because bank deposits are quite good. Internationally, we do not do equity or bonds or anything. We normally k eep it as FDs because that is what RBI told us earlier. Again, touch wood, because of the war and inflation in the international markets, we have been able to get a much better rate of interest.

But this is something that we look at very closely. Our inve stment department and our accounts department are in regular touch to see that wherever possible, if you see some opportunities we'll obviously look at putting money into that.

But currently, this works well for us. Again, from an equity perspective, we w ill more or less remain where we are because we really don't want to go beyond 17% or 18% on a book value basis in equity. That is something that we will retain. Of course, the fair value is something substantially higher is simply because our investment d epartment is doing a good job, and we are able to get much better returns and much better value for our investments. I think currently,

we are very comfortable with the way we are investing our money .
Karthikeyan K : Okay. Sir, one final question I have. We have been trying to hire like a CFO and you have tried to hire actuary for General Insurance . Both the candidates kind of didn't join the company. So any specific reason for them not joining the company?
Ramaswamy N.: I wouldn't know. Unfortunately, they never came back to us saying what is the reason that they didn't want to join. Honestly, and I would say that this is their loss because they would have had a chance to be in a very good professionally managed company, which is doing we ll.
And honestly, from a business perspective, they would have got to see some businesses, which I don't think any of the insurance or reinsurance company today in India will be able to sh ow.
But anyway we do not have an issue with that. We were looking a t trying to see whether we can get people from the market because we wanted to manage our internal processes.

Currently, we do have good people. Sateesh Bhat, who's our actuary on the non -life side continues and is doing well for us. On the CFO side, we h ave managed to find a candidate. He was already there. He was with us, but then we wanted to give him other responsibilities, which is why we looked at CFO from outside. But he's there with us. And I'm sure in other calls, he will definitely be in touch wi th you and give you details. So that is an internal candidate, Balkrishna Variar. He's been with GIC for over 36 years now. He's been a GIC loyalist who understands finance very well.
So we're very happy with our candidates that we have. We're also happy with the candidates who joined us. So we essentially went out to look for 4 candidates on a lateral basis: CF

O, CS
and 2 actuaries. The CS and the life actuary have joined, and I'm hoping that they are happy with the kind of environment that we have given them. So these things happen. I mean there's no point in worrying about why a person didn't join.
I would be more worried if a person joined and he is unhappy. So that is where we try to provide the best possible facilities and best possible environ ment for people to work and grow in this organization. Whether they join laterally at scale 7 level or they join at scale 1 level, we want people to join us. We want people to work with us. We want people to grow with us and be happy with us.
Moderator: The next question is from the line of Aditi Joshi from JPMorgan.
Aditi J oshi: Okay. Just a quick one. So first one, I'm sorry, if I missed. But on the credit rating timeline, just can you provide -- some of your guidance as in by when, if at all it happen s, it will happen? And second is on the fourth quarter. We previously discussed that the reinsurance pricing in the fire in the outlook is about to be flat. But can you please share your thoughts? As in why the growth in the fourth quarter and the fire pre mium was very high?
And just lastly, on your strategy on to contain the natural catastrophic losses. Now it seems like it's going to be a business as usual. So what are your loss limiting strategy over there? Because it seems like you have significant los ses coming in recently.
Ramaswamy N.: So on the credit rating timelines, normally, what happens is once we close our annual accounts, we send our data to them. They normally study it and they come and meet us. They come and meet us to understand the qualit ative features that we have done during the year.
They have already been in touch with us, and they've said that they will be coming and meeting us in the month of July. So typically, what would happen is the data would go to the end of this month. They would study that. They would come to us in the month of July. We will discuss. And there will be few to and fros after that, depending on the kind of questions they have, the data requirements they have.
Hopefully, we would want them to come back with the rating at least by September end because that gives us then 3 months to really target international business growth. Because most of the treaty renewals happen on 1st Jan of every year. So that is what we would look to.

And previous years, they have norm ally done that either end of September or beginning of October, we have got our rating. Last year, which is '23, we actually got that pretty late. We got it towards the end of November, actually. So even though they have given us 2 pushes within week, we r eally couldn't use it much because the time was not enough.
So we would prefer that, and that's what we would be telling them that we would prefer to get the rating by end of September, beginning of October because that is when a lot of conferences -- international reinsurance conferences also happen, where we can target our customers, talk to

them about what we have done. And hopefully, with the rating upgrade, we can convince them to show in their books which we can write.
So that is the timeline that w e're looking at on the credit rating timelines. As regards the business for this year, so what I essentially said was there are 2 things happening. One is on the reinsurance side. Obviously, the rates were flat, maybe slightly higher in some cases, slightl y lower in some cases. But overall, the market was flat. That is on the reinsurance pricing side.
On the direct pricing side, while last year, it was quite okay, the beginning of this year, which is hardly now 1.5, 2 months, there have been some instances where people have pushed down prices. So that is the initial part. We still have 10 months to go. So obviously, like I sai

d earlier,
these are messages we will continue to give to the markets that they must learn to protect the treaty capacities. They mus t learn to price properly, and they must not drastically reduce prices just to grow their top line.
Then these are som e thing s that we'll continue to do. Now that our account closing is done, we'll be meeting our customers, understanding from them how the m arket is behaving and what their outlook is. And obviously, we will keep pushing our messages to all our clients. So that is where the pricing stands.
How do we look at the business? We look at the business positively. We believe the pricing is maintained well, this business should work for us. More importantly, like I said, what we have also done is we've tried to kind of de -risk our entire portfolio by ensuring that we write across classes. So even if 1 particular class behaves a little abnormal ly, we have money coming in from the other classes to kind of ensure that the overall book does not become bad. So that is something that we have done for this particular year, treaty renewals that we have done.
We have kind of grown across most of the classes. Some of the classes we have grown more, for instance, like I said, health retail is something that we have grown because we've seen the profitability, and we are happy to write there. But otherwise, finally we are doing what every reinsurer does, which is spreading the risk, either geographically or even within a geography across classes. So that is something that we continue to do, and we are very confident that our book will perform well.
Aditi Joshi: On the natural catastrophic losses, just from a retrocession perspective, do you have any changes in the strategy over there just to limit the losses. And on the premium reinsurance pricing, thank you for sharing your thoughts in the guidance. But I was actual ly trying to understand it more

from a fire insurance in particular. And for the fourth quarter, so I see that there's quite good growth in there in the fourth quarter. So if you can help us understand that as well.
Ramaswamy N.: Yes. I think the growth is more or less normal in that. I think I'll just ask Rajesh to speak on that. He handles our account.
Rajesh Laheri : Actually fourth quarter accounts are usually, there will be changes, actually, say, London office, they book 100% premium and then earned over the period. So the gross premium will look higher in the fourth quarter. Similar things happen -- it happens as the accounts we receive, basically. So this quarter accounts is higher compared to other quarters. It usually happen in the fourth quarter , yes.
Ramaswamy N.: Especially on the fourth quarter, what happens is even domestically, for instance, we push hard to ensure that all the insurance companies provide their information and their accounts for the quarter because we need to complete for the entire year.
Normally, otherwise, for earlier quarters, there could be an occasion where for some clients, we might end up estimating because they have not sent in their accounts. But otherwise, for the fourth quarter, normally, all the adjustments is we ll taken care of. And that is where the growth, so to say is seen . Does that answer you, Aditi?
Aditi Joshi: Yes. And on limiting your losses on the natural catastrophic side, any plans of change in the retrocession, etcetera, just so that it's spread out and you do not have any -- a lot of stress on yourself. And yes, something changes on that side.
Ramaswamy N.: Well, not much of a change. Because honestly, as a reinsurer, who's writing big shares in this market. So on the property, we have -- we typicall y buy 2 programs, one for the international, one for the domestic.
Typically, what we buy is more to protect our balance sheet. We don't really buy lower -level retro pr

otection simply because of 2 things. One, it is, from a cost perspective, pretty high.
Honestly, it doesn't leave much in terms of recovery for us because upfront, we are paying a very high cost there. We normally are of the opinion that reinsurers of our size, we should be able to manage the so -called attritional losses.

Now when I talk ab out attritional losses here, I'm also talking about what we call attritional CAT losses, which means small CAT losses, for instance. Now if you look at the year '23, '24, like I said, there were 9 catastrophic events which happened. Now this is not really small. Some of them were really big.
Now overall, if you see, it's added about INR3,350 crores to my overall lo ss. And maybe the biggest loss I got was from Sikkim, which was about INR1,000 crores. Cyclone Michaung was about INR1,000 crores. The North India floods was about INR650 crores, INR700 crores. Cyclone Biparjoy was about INR500 crores. So all these were reasonably big events in the market.

But then if you see the way our book has responded, we have managed to take each of these losses to our balance sheet. And we have managed it very well. So what I'm trying to say is, typically, that is what we would like to continue that lower level CAT's, we should be able to absorb in our books and manage it t hrough our premium. Whereas it is the really big ones which kind of go to more than INR2,000 cores, INR3,000 crores for GIC share, that is where we would be looking for retro protection.
And this is somet hing that we have been doing over the years, and it's worked well for us. I think our results also are well managed. There is another aspect here, which you would have also noticed in the last couple of years. We have introduced the catastrophic reserve in our books where from the profits in the revenue accounts, every year, we'll transfer some amount into this catastrophic reserve.
And the idea is then a really big catastrophic event hits us, either domestically or internationally, we'll be able to use th e reserves or use the amount in this reserve to kind of ensure that the results don't look too bad for a particular year. So I think from all angles, we have tried to ring -fence our book from potential bad events hitting the market.
Moderator: The next que stion is from the line of Sanketh Godha, Avendus Spark.
Sanke th Godha: Sir, 2 data keeping questions. Can you tell me the capital gains booked in full year and fourth quarter -- for the fourth quarter '24 and FY'24? And also the amount of retained income? That's my first question. And second question is the tax rate for the full year is around 18 percentage. So you expect the tax rate to be at the current level or it will inch back to 25.2% kind of a number?
Ramaswamy N.: Okay. So capital gain will be handl ed by Radhika, who's our Chief Investment Officer, and tax will be handled by Rajesh, who is our finance guy.
Rajesh Laheri : So, Sanketh , tax rate is same as last year, overall 25.168%. So 22% would be tax rate, 10% is surcharge and 4% education sales t hereon. This is on net basis becoming lower because of the INR152 crores we have pertaining to previous year is now we have received the order and accounted for in our books. So otherwise, tax rate will remain every year same as 25.168% as the government will announce.
Sanketh Godha: Got it. Perfect, sir. And capital gains, sir?
Radhika Ravishekhar: For the quarter, sir, the profit on sale is INR1,028 crores -- INR1,029 crores, as against the pre -- and for the full year, it is INR4,135 crores.
Sanketh Godha: INR4,135 crores. And can you tell me the corresponding numbers for last year now?
Ramaswamy N.: INR4,451 crores last year.
Sanketh Godha: Okay. Perfect. Perfect . That's it. And lastly, if you're okay, sir, to give a growth guidance for FY'25, what GWP grow

th you are expecting and the 2 split between domestic and overseas?

Ramaswamy N.: So the growth will be, as I said, it should be around 15%, 16% based on the gr owth that we have done on the 1st April renewals. So it doesn't really take into account what we will do during the year. This also doesn't take into account what we will do during 1st Jan renewals for the international book. Because the 1st Jan renewals w ill depend on our getting the credit rating. If we get a credit rating, we might end up writing a bigger book simply because of the better quality business that we are able to see. So whatever growth projections we have said, we said -- so I told that we' ll grow about 15%, 16% year -on-year for this year, that is FY'25.
It is based on what we have grown on 1st April. It is based on the obligatory increase that we expect. Now like I said, this would all depend on how the market grows. Again, in India, major part of the treaties that we write are proportional. So when it is proportional, it is also dependent on the insurance companies.

So overall, we have looked at the market growing maybe about 10% to 12% year -on-year. And on that, we have based on how much of that would pass on to us in terms of business. On that basis, our growth will be about 15% to 16%.
Sanketh Godha: Sir, when you say 15% to 16% , it's only domestic or are you including both domestic and international?
Ramaswamy N.: I'm talking about total figures. So we finished FY'24 with INR37,500 crores, right? So about 15%, 16% on that will be about INR6,000 crores. So that is the growth we are looking at.
Moderator: Ladies and gentlemen, as that was the last question for the day, I now hand the conference over to the management for closing comments. Over to you, sir.
Ramaswamy N.: Thank you, everyone. So thank you for taking time off and listening to us and asking us about how we see the business. We look at it very positively. I think the year, in spite of all the challenges that we have had, we've done well. The combined ratios, even though it is higher compared to the previous period, is still well within what we wanted it to be.
So from a performance perspective, we're very happy with what we have done. Investment as a portfolio continues to do well. It is something that is running on well -oiled engines. The worry has always been the performance of the actual business, the reinsurance business because climate change is a reality, catastrophe s are increasing in terms of frequency and severity.
So I believe that the way we have managed our books, the way we have managed to spread our portfolio, the way we have managed to grow in the domestic market augurs well for this company. And going forward, we'll continue to do well. We will, of course, be in touch with you every quarter and even within that, if you have some questions, please feel free to speak to us or write to us, and we will be more tha n happy to provide you the information. We'll, of course, keep speaking to you and giving you details a bout how this company is performing.
Thank you for taking interest in us, and have a great day. Thank you.

Moderator: On behalf of General Insurance Corporation of India, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

(■■■■ ■■■■■ ■■ ■■■■■) '■■■■■■■', ■■■, ■■. ■■■■■■■ , ■■■■■■ , ■ ■■■■ ■■■■■■
General Insurance Corporation of India ''SURAKSHA'' , 170, J . Tata Road, Churchgate,
(Government of India Company) Mumbai 400020 . INDIA Tel: 91 -22-22867000
CIN: L67200MH1972GOI016133 IRDA REG NO.: 112 FAX Server: 91-22-229899600 , www.gicofindia.com
E-mail: info@gicofindia.com

Ref. no.: GIC-HO/BOARD/SE -Q1-IMP/141/2024 -25 14th August 2024

To,
The Manager The Manager
Listing Department Listing Department
BSE Limited The National Stock Exchange of India Ltd.
Phiroze Jeejeebhoy Tower Exchange Plaza, 5th Floor, Plot C/1,
Dalal Street G Block, Bandra Kurla Complex
Mumbai – 400001 Mumbai - 400051

Scrip Code: (BSE – 540755/ NSE – GICRE)

Dear Sir/Madam,

Sub: Transcript of conference call held with Investors and Analysts to discuss the unaudited financial results for the quarter ended 30th June 2024

In compliance with Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached herewith Transcript of the conference call held with Investors and Analysts on Monday , 12th August 2024, to discuss unaudited financial results for the quarter ended 30th June 2024 .

This is pursuant to and in compliance with the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and applicable laws.

Kindly take the above information on record.

Thanking You .

Yours Sincerely
For General Insurance Corporation of India

Suresh Savaliya
(Company Secretary &
Compliance Officer)

General Insurance Corporation of India Limited
Q1 FY '2 5 Earnings Conference Call
August 12, 202 4

MANAGEMENT : MR. RAMASWAMY NARAYANAN – CHAIRMAN AND MANAGING DIRECTOR – GENERAL INSURANCE CORPORATION OF INDIA LIMITED
MR. RAJESH LAHERI – DEPUTY GENERAL MANAGER – GENERAL INSURANCE CORPORATION OF INDIA

LIMITED

MODERATOR : MR. BINAY SARDA – ERNST & YOUNG

Moderator: Ladies and gentlemen, good day, and welcome to the General Insurance Corporation of India Q1 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions aft er the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. B inay Sarda from EY investor relations. Thank you, and over to you, sir.
Binay Sarda Thanks, Neha. Good morning to all the participants on the call, and thanks for joining this Q1 FY '25 earnings call for General Insurance Corporation of India. Please note that we have mailed out the press release to everyone, and you can now see the results on our website. As well, it has been uploaded on the Stock Exchange . In case if you have not received the same, you can write to us, and we'll be happy to send it over t o you.
Before we proceed with the call, let me remind you that the discussion may contain forward - looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with our businesses that could cause future results, performance or achievements to differ significantly from what is expressed or implied by such forward - looking statements.
To take us through the results of this quarter and answer our questions, we have with us the management of GIC represented by Mr. Ramaswamy, Chairman and Managing Director; and other top members of the management. We'll be starting the call with a brief review of the quarter gone past, which will then be followed with a Q&A session.
I would now like to hand over t he call to Mr. Ramaswamy. Sir, over to you.
Ramaswamy Narayanan Good morning, everyone, and thank you for joining us in this call. I'm pleased to announce the financial performance for the first quarter ended June 30, 2024. While you would know the past year has been a period of unprecedented challenges for the reinsurance industry, a relentless barrage of catastrophic events had tested our resilience and expertise, yet within this turbulent landscape, opportunities have emerged.
And at GIC Re, we believe that the essence of the reinsurance business lies in spreading risks and effectively managing our overall portfolio. While we acknowledge the inevitability of catastrophic events, our focus remains on managing these risks prudently. To this end, we have made concerted efforts to derisk our portfolio by diversifying across various classes of business. This strategy ensures that, even if one particular class underperforms, the impact on our overall book is mitigated by the positive performance from other clas ses.
Our continuous focus on rigorous risk assessment and disciplined underwriting practices has resulted in maintaining a healthy combined ratio. This quarter, we achieved a combined ratio of 109.6%, reflecting our commitment to enhancing our operational efficiency and managing risks effectively.

Let me now take you through some of the key highlights of the financial performance. Gross premium income of the company was INR12,405.68 crores for Q1 FY '25 as compared to INR8,917.71 crores for Q1 FY '24. The investment income stood at INR2,758.99 crores in Q1 FY '25 as compared to INR2,559.31 crores in Q1 FY '24.
Incurred claims ratio stood at 89.8% in Q1 FY '25 as compared to 95.1% during the corresponding quarter of the previous year. Combined ratio in Q1 FY '25 stood at 109.6% versus 118.47% during the corresponding quarter of the previous year. The adjusted combined ratio by taking into consideration the pol

icyholders' investment income works out to 92.97% for Q1 FY '25 as compared to 95.97% in Q1 FY '24. Profit before tax stood at INR1,393.16 crores in Q1 FY '25 as against INR935.18 crores in Q1 FY '24. And profit after tax stood at INR1,036.36 crores in Q1 FY '25 compared to INR731.79 crores during the corresponding quarter of the previous year.

Solvency ratio stood at 3.36 as on 30/06/24, as compared to 2.88 as on 30/06/23. Net worth of the company without the fair value change account increased to INR38,635.23 crores on 30/06/24, as against INR32,984.27 crores as on 30/06/2023. Net worth of the company, including the fair value change account, increased to INR85,926.02 crores on 30/06/24 as against INR69,650.29 as on 30/06/23.
On the premium breakup. Domestic premium for Q1 FY '25 is INR10,360.63 crores, and the international book is INR2,045.04 crores. The percentage split is domestic 84% and international 16%. As you have seen, there is a growth in the domestic premium, while the international book has decreased.
It has been our constant endeavor to bring down the combined ratio of our book an d enhance our overall performance. We remain optimistic about our future, supported by an improving external environment and our disciplined approach to managing our books. Our broad portfolio diversification continues to position us well for sustained suc cess. As we look ahead, we remain committed to executing our strategy and delivering value to our stakeholders.
I also have the pleasure in informing you that since our last meeting, the company has two Executive Directors now: first one, Mr. Hitesh Joshi, whom you are aware, he was earlier GM in General Insurance. And we are also joined by Ms. Radhika, who was earlier General Manager, United India. GIC hopes to leverage on their experience and knowledge to further our business performances.
Having g iven the highlights, now we will open the floor for questions from interested parties. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session The first question is from the line of Sanketh Godha from Avendus Spark. Ple ase go ahead.
Sanketh Godha: Yes. Thank you for the opportunity. Sir, my first question is on your overseas combined ratio. Last year, you highlighted that you largely provided for the marine exposure, which was old book. But if you look at the numbers eve n today in the overseas business in marine line, which is cargo and hull put together, it is more than 500, 600 percentage, so still some provisioning

with respect to this business is left over, which is still haunting your overseas combined business? That is my first question.
Ramaswamy Narayanan: Okay. Do you want me to answer now or wait for your rest of the questions?
Sanketh Godha: Okay. I can -- and second question is on growth, sir. Sir, basically if I look at the numbers, the health and agri did mea ningfully very well. How to read the numbers? Is it just a recognition change that the crop was returned more in the first quarter itself and that's why you recognized more? Because last year, we wrote around INR10,000 crores of crop -- whether a similar t rend will happen or we have changed the strategy to take more crop exposure in the current quarter; and equally whether it is true with the health business? If you can answer these two questions, I have two more, then probably I will ask.
Ramaswamy Narayan an: Yes, sure. So the first question, Sanketh, and thank you for your interest. On the overseas combined ratio and how marine is still haunting that. Yes, we have made our provisions, but if you see, what has happened is, effectively the premium has come d own. Now we need to just understand this a bit. This after all is a contract that we stopped writing in 2021. But yes, it is long tail, so what has happened is the cla

ims have come later. But premiums have also been coming, though not in the range that whe n we were actually writing it. This year, the premium has completely stopped. At least in the first quarter, we have not seen any premium from that particular contract, so which has basically affected marine and motor.
If you see the marine and motor prem iums, you would see that it has shrunk -- both have shrunk. And basically the reason is premium which used to come from that one particular contract that we wrote in the US has completely stopped, at least in the first quarter. And the moment the premium b ecomes negative -- or the premium growth becomes negative and the claims continue at the same range, you would see that the combined would go up. And that is what we are seeing here. I think our provisions with respect to the contract is quite good, but we have paid some claims, which we have reflected in those accounts.
Second, on the growth, but I would like to essentially tell you that when you look at the growth this time, it essentially looks like a 40% growth, it's actually not, and I'll tell you why . Last year, around the same time during the first quarter, IRDAI has changed the estimation policy. This meant that we really had to adjust our book in the first quarter last year to take care of that, which meant the first quarter premium last year was q uite low compared to what it should have been, which is why when you look at the premium today that we have shown for the current year, it looks as if we have grown 40% year -on-year.
It's really not that, it is just because of the adjustment. And basically , to a great extent, that

adjustment was on account of agriculture where the estimation was slightly higher, which we needed to scale down last year. And that is why you see as if agri has grown. It's not really grown much. We continue to remain very cauti ous in agriculture. And we may possibly end up writing almost the same or maybe slightly more compared to last year. I don't see a major change there. Health different story , altogether. Health, we have grown. And like I said in my earlier talk also, and maybe I would have talked about this during the May earnings call also, that we really do

want to spread our books to ensure that we also move away from catastrophic business as much as we can. And health has been a good area for us to do. Typically, retail health is something that doesn't come much into the reinsurance market because insurance companies have the wherewithal and the capacity to retain it to themselves, but we've m anaged to get some good retail business this year which we wrote on 1st April. And you are seeing a part of that growth in the first quarter as well. So yes, there is growth in health, but I don't think there is as much growth in agri as you thought. It's more an accounting thing because of what we had to do last year.

Sanketh Godha: Got it. Sir, in the follow -up with respect to the marine thing. So we are taking a hit of almost INR750 -odd crores in the current quarter. So this is almost done away with. And incrementally, you will not see that kind of a pain, and therefore this Q1 come-in. Because all other lines have shown a kind of improvement in the overseas business. Only these two have been pain points. So is it fair to assume that now it is done away w ith, and subsequent quarters, we can expect a better number, assuming no significant cat losses?

Ramaswamy Narayanan: Yes. That is what we would love to believe. The way we have provided and the way -- I mean there have been very detailed discussions with stakeholders in the US with whom we are dealing in this, but I'm just hoping that things don't deteriorate further there because motor, unfortunately, is a bit of a long -tail class. We strongly believe that we have provided correctly for this book. U

nless things change dramatically in that market, I think we can safely say that the worst is behind us.

Sanketh Godha: Got it, sir. And the other questions which I had is that your international book has declined. This is largely because of motor you discontinui ng there or other line of business have done well, and that number optically looks weak. That's the case, sir?

Ramaswamy Narayanan: So basically, yes, the international book has declined because, like I said, the contract that we stopped in '21, I think, w hatever premium was left to come from there has stopped. At least in this quarter, we have not seen any premium. That's where we are seeing the decrease in the international book. Otherwise, every other business has kind of done the same thing that we did last year. Because honestly we didn't grow our international book in the current year, typically which would happen in the 1st of Jan of every year, in 1st Jan '24. We didn't grow our book much simply because we still are waiting for our international cred it rating to improve, because only then would we be able to attract and write good -quality business which we want in our books.

Sanketh Godha: Got it, sir. And lastly, two things: one, if you can quantify your domestic cat losses and overseas cat losses in the current year, if there are any? And you indirectly alluded to the point, but when we can hear about your rating change from AM Best?

Ramaswamy Narayanan: Right, okay. So, on the catastrophic losses, I don't think we have very significant pain figures currently, but then, yes, there are provisions that we have done. So one thing is on the foreign property, in this first quarter, there have been a few events which have been reported. We are still in touch with our business partners in those markets. So b asically to tell you the details, it is one is the Taiwan earthquake, second is the UAE floods, third is the Brazilian floods, fourth

is the German floods, and fifth is the Japan EQ which has happened recently. Now these are all very recent events, so we'r e still -- I mean the initial feedback is, the losses are not much. But in a very prudent way, we have provided for these losses based on the underwriting and the data that we have on our books. Currently, we don't have any pain figures for any of these ev ents.

Sanketh Godha: And how much you provided, sir, if you can quantify that number?

Ramaswamy Narayanan: I can give you two figures, the Taiwan EQ and UAE floods. Taiwan is INR73.68 crores and UAE floods is INR50.38 crores.

Sanketh Godha: Okay, perfect. And anything on domestic, sir?

Ramaswamy Narayanan: So domestic, nothing major, but what we have done is, in some of the CAT events that we had

last year, if you remember, I've talked about five major CAT events which had hit us last year, out of the nine CAT events that we had. So some of them, we have slightly increased the provisioning, so that is it. I mean -- so domestic is recently okay compared to foreign currently on the CAT front, but basically these next two quarters would be where we would expect some losses to come in from catastrophes. We are, of course, very carefully monitoring events that are happening across the country.
Sanketh Godha: And nothing negative surprise from Sikkim sir, right?
Ramaswamy Narayanan: Not yet, not yet, not yet.
Sanketh Godha: Okay. And if you can finally comment on that rating change thing? That's it from my side.
Ramaswamy Narayanan: So what has happened is, after our -- so typically the procedure followed is, once our year -end closing is done and our numbers ar e revealed, we send all the data over to the rating agency, where they can study the numbers, go through their models and understand how we are performing. And after that, they come to us on a personal visit to understand the qualitative matter

s. So that h appened on the 12th of July this year. So we have met them. We have given them all the details that they wanted. And of course, now as and when they ask us for incremental data, that is being provided to them. And we are hoping that they'll come back to us with our rating.
What we have requested -- so last year, if you remember, the rating happened in the month of November actually. So what we have -- and there we got a double jump, double boost compared to our earlier ratings. So what we have requested th em this time is to, hopefully, give us our rating by September, September end so that, that gives us two or three months where we can then work with our business partners and speak to them about writing better businesses and more businesses from there. Thi s is, of course, under the assumption that we would get a rating push this year. So we are in touch with AM Best on that. And we're also in touch with some of our business partners with whom we used to write quite a good amount of business so that we can tap into that business which is waiting.
Sanketh Godha: Got it, sir. Perfect. That's it from my side. Thank you.

Ramaswamy Narayanan: Thanks. Thanks, Sanketh.
Moderator: The next question is from the line of Aditi Joshi from JP Morgan. Please go ahead.
Adit i Joshi: Good morning. Thank you for t aking my question . Sir, I have a couple of questions. So just following up on the crop comment that you made that the growth looks higher because of the changes last year, but I am just wondering that those changes, th ey do not apply this year because, if so, if they do apply this year, then probably the growth looks high. The second is that, can you please comment on the April renewal cycle in terms of the reinsurance pricing trend in various segments such as health or motor or even crop? Have you seen any insurance pricing hike in this renewal? And also, what is your outlook of the pricing trend for this rest of the year and the next year? This is one question.
And just on health side, you mentioned that you would lik e to focus and you are focusing on the retail side of the business. But if we look at the jump in the premiums in the health insurance business, it's quite a lot. So I'm just wondering then, what is causing that jump? Is it also some portion of that growth is coming from the group side as well? And also, just on the health insurance underwriting, the primary insurance -- non-life insurance have reported somewhat elevated claims. So how is your experience in the health insurance -- health reinsurance underwr iting? Yes, these are my questions. Thank you.
Ramaswamy Narayanan: Okay. I was not quite able to understand your first question, but what I will do is I'll take the other two. So you wanted to know about the pricing outlook on the 1st April renewals. So, the pricing was flat, I mean. So if you're talking of the reinsurance pricing, that was pretty flat across, whether it was property or other classes. That is on the reinsurance pricing, typically the kind of non-crop pricing that we talk about. On the -- so basically again what happens is India is predominantly a proportional market where we support insurance companies proportionally. So basically a great deal of our time is taken up in trying to understand how the insurance market is performing.
So, the c ertain things that I would like to bring out here is so while on the 1st April renewal time underlines , the pricing was quite firm on the insurance side, I think, in this last one quarter, the April to June quarter, we were seeing a situation where, at lea st in property and maybe in group health, we were seeing quite a challenge in the pricing on the direct side. So insurance companies are being very, very competitive on the pricing, and so obviously that is a matter of concern for us. And we a

re interactin g with the companies and looking at the situation very, very carefully.
So that is on the pricing. Whether this pricing will remain like this on the direct side is something that we need to see. Like I said, all reinsurers are concerned about the way the p ricing is moving. And we are in touch with our business partners to ensure that the viability of the market is maintained.
Second, on the health side, you said it looked as if a major part of our growth is coming from group. No, it's not. Let me also be v ery candid here in saying that the business that we wrote on 1st April on health, a major growth that we did, was basically on retail health. So the treaties that we wrote on 1st April are something that look at retail health and not group. We don't have

a great appetite for writing group medical simply because of the way pricing happens there, about the way how competitive it is. And so, we're not very comfortable with that business.
Like I said earlier also to Sanketh, normally retail reinsurance is -- I mean, retail health is something that doesn't come into the reinsurance market simply because it is small ticket business, most companies are able to retain it. But then sometimes what happens is companies do look for reinsurance treaties to augment their capital to ensure that they are able to manage their capital better. So we've been able to spot a few opportunities in this and we've been able to write those treaties. And we're quite happy with that.
You talked about increased levels of claims ha ppening, which is fine. So, the way we create these treaties is where there is a combination of claims ratios and expense ratios adding up to a certain level. So even if the claims go up slightly, it gets adjusted with the acquisition costs. So I think we' re pretty comfortable in that business. And like I said, this is something that we've been targeting to do to ensure that, A, we get the chance to diversify our book, and B, we are able to look at profitable growth as well. So these are the two points I go t from you, Aditi. If there is another question that I'm missing, please ask me again.
Aditi Joshi: Yes. So, on the crop side, firstly, can you -- I'm sorry, but can you please explain very briefly what was the changes in the accounting probably which happ ened last year? This is one. And the second, just following up on the growth, so as we mentioned that retail health does not come to reinsurers very easy. So what is your outlook on the growth of this business line for the rest of the year?
Ramaswamy Naray anan: Okay. So, I'll take the retail health first. So, yes, so the point is it is a treaty that we have written which encompasses business that the insurance company would write across the year. It's a treaty that looks at retail health businesses written by a particular cedent throughout the year. So we do expect this growth to happen through the year. What will happen next year is something that we will look to before the renewals next year.
Coming to agriculture, I'll just give you a brief. So you wante d to know what is the accounting thing. Basically, like I said earlier as well, last year, around this time when IRDAI came out with very clear instructions as to how we should be estimating our premium, obviously we had to change the way we were doing fro m the earlier times. So that's obviously caused the premium to come down last quarter, that is the quarter of the last year. So which is why, when you look at it with this year, it actually looks as if the growth is substantial, which is not.
I'll ask my DGM, Accounts, to just give you the brief on this, Rajesh Laheri. Rajesh?
Rajesh Laheri: Good morning. This is mainly because of the estimation policy changes. So IRDAI has asked us to estimate only one quarter, which is the current quarter, in which accou

nts are happening. But
in case of agriculture, we do not get accounts for the one or -- previous one or two years also. So those figures we used to estimate till 31st March '23, in 30/06/2023, we have removed those estimations. That's why the premium, gros s premium, has gone down sharply. Around INR1,000 crores premium has gone down because of the changes in estimation policy. That's why it was

looking very low in 30/06/2023. And comparative figure, you can take it as INR1,618 crores.
Then this growth will not be that sharp as it's looking currently.
Aditi Joshi: Okay. And so, growth is changing in the estimation policies, they do not apply in this quarter of -- first quarter 2025.
Ramaswamy Narayanan: No, we are already doing that. So what happened last yea r was, like Rajesh explained, earlier years -- or earlier quarters' estimation was also carried forward. Wherever we didn't get any premium for businesses that we were doing, we had estimated that in our books, but then IRDAI said, you can now estimate onl y for this quarter. So what we have done this quarter is we're estimating only for this quarter. What we did for the quarter ending 31st March '24, we estimated

only for that one quarter.
So that is something that is carried forward, so you will not see an y difference now. But when you look at 30th June '23, obviously the first quarter in which this change was done, obviously there was a huge change in the way the estimation was done, which is why 30/06/23 showed a sharply lower premium compared to what it should have been, which is why I gave that message earlier that maybe you shouldn't look at this as actually a 40% growth, it is not. I still maintain that this would be closer to about 15%, 16% growth quarter -on-quarter.
Aditi Joshi: Got it. Thank you.
Ramaswamy Narayanan: Thanks, Aditi.
Moderator: The next question is from the line of Jainish Shah , an individual investor. Please go ahead.
Jainish Shah : Yes. Thank you, sir, for giving me this opportunity. I have a few questions around the domestic premium market. Basically you've just alluded that, leaving apart the regulatory changes which were enforced in the last year, on a comparable basis, the domestic premium -- or the premium growth for the quarter is 15% to 16%. And this happened in spite of the international premium going down. If we can give a little bit more clarity on to how the business domestically has grown on a like -to-like basis on a comparable basis, that will be helpful.
And second, there are -- in the last quarter, I thi nk there was a few guidance’s or a few directions which the company has given, that is, it expects to grow 15% to 16% in the business in the current year; and also expect the combined ratios to be more closer to 105%, 106%. Given the current situation, and I know it's been a hard work which you've done in last few years, do we think the fruits of that is likely to come through in this year onwards? Or I mean saying which -- any particular time when you expect this to change? I know there is an event which y ou are expecting for the rating upgrade, but I mean, if you can just take us through that journey as to how do we look the journey for next 1.5 years or a couple of years, that will be helpful. Thank you, sir.
Ramaswamy Narayanan: Yes. Thanks Jainish , So, come to your first question like you brought out. After our financial year '24 finalization in May, I had given a guidance that we would typically be growing at around 15%, 16% for the year. I think that guidance remains. Whatever growth we are seeing is m ore or less in that. And that guidance have taken into account the fact that the domestic premium --

the international premium could go down because of something not coming from e

arlier
contracts. So I think we are more or less on track with overall growth of about 15% for the year. Obviously the growth will come from domestic this year. It will not come from international, because assuming that we get our rating upgrade as well, what would happen is, the business that we plan to write would start from 1st of Jan. And even if we were able to write decent increase in premium on 1st of Jan, it would really not reflect too much in our books because that will come into our books, there's normally a lag of at least six months before it hits our books. So you wou ld possibly see that happening only in the next financial year, which is why this year, I think, whatever increase we are talking about would come from the domestic market.
The domestic -international skew will be higher. We are already seeing that, for th e quarter, it is 84% domestic and 16% international. It may become slightly better than that. But if you see, that was one of the reasons why we wanted to diversify our book within India as well. The reason to go into health retail was also that. Because a s a reinsurer, we normally look to diversify our books so that one particular event should not have any material impact on our overall performance. So when we realized that we may not be able to get the kind of diversification in geography, we have done th at diversification in class of business. So rather than writing more in property, we are now writing in health. So there is now diversification. If you see our bigger books, it is typically property. It is motor, of course, being in this market. Health is a major, now, class for us. And of course, agriculture also comes in somewhere there. So we are trying to diversify ourselves within the market so that overall our performance can be better.
So I think the guidance from our side continues whatever we did tell you in the last earnings call because, honestly, in this one quarter, nothing much has changed. I think, to a great extent, we will wait for the next two quarters to tell us very clearly how the book is looking and how the business is shaping up becau se these are the next two quarters where you would expect to see some catastrophic losses coming by, or if the rating goes up, then we would also look to write some business on 1st Jan, which would give some different flavour to what we expect to do.
Over the next couple of years, which is what you wanted, maybe two years or even three years, we would expect to grow our book reasonably, not necessarily only in domestic.
Like I said, in case we get our rating upgrade, we would also start growing internation ally, but the idea would be to write businesses in such a way that our profitability is not impacted. In fact, our combined ratio should keep coming down. And that, we see happening, hopefully -- without

any -- a very negative kind of CAT happening, I thin k we should be able to manage that going forward. In the next two, three years, yes, we would expect to bring our combined close to 105%, 106%.

Jainish Shah : So, this year, you think the combined ratio will be flat or it will be showing any improvement?

Ramaswamy Narayanan: It might be flat. We hope it will come with an improvement because I need to explain a bit here. Because the moment you grow your book, typica lly in a reinsurance business, what would happen is, in the first year, there could always be a strain on the combined. And there is a reason behind that. It depends on the kind of business that you're writing. It depends on the kind of books that you're w riting. If you're writing predominantly a proportional book like what we are

writing today and you grow your book, what would happen is, typically the reinsurance accounting is such that you would earn or you would recognize only 50% of the premium, right? And supposing you are w

riting a profitable book and the loss ratio is, say, 55% or thereabouts, then you would -- typically what would happen is you typically end up paying about 40% as acquisition cost, assuming that you write a book -- you write a trea ty at 5% profit. Now the problem with that is you are actually writing a profitable book, but the commission of 40% which you have to pay is paid upfront, right? So after that, even if assuming you book INR20 of loss as well, the problem is this. You have got a gross premium increase of INR100, on which you earn only INR50. You already paid out INR40 as commission. You booked INR20 as claims. On a good, profitable book of business, on year one, you still would be at INR60 vis -a-vis INR50 of earnings, so you r combined is 120%. I'm just giving you an example.

So, doing the way our reinsurance book would evolve. So when you grow, like we have grown this time after three or four years of continuous degrowth, of weeding out unprofitable businesses and making the portfolio strong, the day you decide to grow, that first year, there could be -- I'm saying there could be chances that your combined could worsen or remain flat simply because the earning doesn't happen 100%. The earning is only 50% of the increased book that you're writing. Now if it were more non -proportional, then it is fine because in non -proportional the commissions or the costs that you pay out is only about 10% or 15%. So you still have scope there. So we need to really study our book and understan d how losses would be booked in the year and then take a call. But I would say that we would more or less remain flat, as far as combined is concerned.

Jainish Shah : Okay. Thank you. And maybe one more, on a macro. Generally, I think, if we look at, the ma jor change on the macro environment which happened post 2022 was an increase in the interest rates. And the capital shortages were seen in the industry on a global basis. Now that the trend is likely to change, probably the interest rates are likely to eas e over next one year or so, how do we see the business shaping up? Or basically, the competition, do you think, is going to heat up that will have an impact on the margins? How is your expectation on the business environment, which is likely to be more evo lved in an interest rate raising environment? Thank you. I'm talking about the US environment, basically the global interest rate environment. Thank you.

Ramaswamy Narayanan: Yes. I mean we do appreciate that. Again, globally, the way I see it, a couple of years, pricing has been quite good, I would say, on the reinsurance front. Losses have been reasonably comfortable. So obviously there is always a pressure to bring down pricing, so obviously more capacity is coming into the market. And obviously that's h aving a competitive pressure on pricing. So globally, yes, I would expect that, but India is slightly different. And again, I am talking about India simply because a major part of our book is here. So obviously what happens here affects us a much, much big ger way. Here I would say that, while the way we are looking at -- the interest rates could be easing, we feel that it might remain constant this year. And maybe going forward, in the next year, it could ease.

The point is, I guess, to a great extent, it will be more regulatory interventions which could drive things here. So we are looking at two possible drivers. One is, of course, IFRS. And second is, more importantly, RBC, which is Risk-Based Capital . Now we believe -- again there's a lot of

things that are based on assumptions here. So we believe that, if R BC were to be implemented in this market, looking at the way pricing is happening -- and obviously, risk -based capital, you don't look at a very simplistic way of determining solvency. You look at exp osures and how it is priced

and how it could affect your book.
And with that thing in mind, I think quite a few companies would be strapped for capital, may not have a very good solvency ratio going forward. In such a situation, we believe that gives us opportunities to support, shall I say, better underwriting companies who need maybe some temporary reinsurance support. I think we should be in a good position to manage that and do well for ourselves. But like I said, it all depends on when these things ha ppen and how the market takes it. So I think we are quite sanguine about the way the market is moving. I think, more than anything else, we are worried about how it is getting priced and how insurance companies are looking at the whole thing.
Jainish Shah : Thank you, sir. Thank you very much for this elaborated explanations. Thank you.
Ramaswamy Narayanan: Thanks, Jaini sh.
Moderator: Thank you. The next question is from the line of Ritika from Bandhan Mutual Funds. Please go ahead.
Ritika: Thank you, sir. Sir, firstly, if you could just reiterate the point that you were mentioning for the previous person's question that you think that RBC would actually lead to better opportunities for growth for you. Because what we understood there when we spoke to -- obviously we speak to limited and listed players who think that actually capital would be better off in the RBC regime. So that's the first question.
And the second, sir, just -- obviously because you're a good representative of the overall market, but given that PSU general insurers are also still a reasonable share of the market, certain media articles suggest that they have been asked to be very careful of the incremental business or, I don't know, on the health side and on the motor side, to actually write lower businesses which are loss making for them. So how does this impact you? That's the second question.
Ramaswamy Narayanan: Right. On the first question, Ritika, I think -- I mean, there are different views, different ways people are looking at i t. And like I said, it all depends once we understand from the regulator how they are planning to implement risk -based capital. GIC has a lot of experience in handling RBC. So we have branches and subsidiary companies across the world where Solvency II is implemented. So we understand how these things work. We understand how -- what is looked at. What factors are looked at while determining solvency in a risk -based capital environment? So we believe that, and again -- so like I said earlier, there are assu mptions here. And our assumptions is based on the way pricing is done in this market, the way people take onboard liabilities. Today, it's a very simple solvency, factor -based solvency, where if you have a profitable book, your capital works well for you, but we believe that -- once it is based on the exposures taken onboard and whether those exposures are limited to a particular geography or is it well spread out, we believe that some of the companies could be strapped for capital. And

that is where we loo k to provide reinsurance solutions to these companies and that is where we look at opportunities.
Second, you talked about the advisory from the DFS to the insurance companies. Well, honestly it is meant for insurance companies. It has nothing to do with GIC. I guess, to a great extent -- again now I may not have 100% knowledge on this, but maybe to a great extent, the health portfolio that the PSU insurance companies are writing may not be profitable and which is why this advisory is given. Our share of h ealth business from the PSUs are very less simply because these are big companies.
They have very good capacities and so they don't take much of reinsurance. Where they would look for reinsurance is on the group health or the government health schemes, and that is something which comes on a

facultative basis. And GIC does not have much o f an appetite for these kind of businesses because we feel that normally these end up being not well priced. And so it doesn't really fit into our appetite. So their writing or not writing that business would have no impact on our business at all.
Ritika: And sir, just one clarification. I'm sorry if I didn't get you correctly. To the question -- to the RBC comment, you were mentioning your competitiveness as a reinsurer increases versus other reinsurer. Are you -- or were you saying that the other GI playe rs might have issue, and that's how you would look to maybe support more? I'm sorry. I just wanted that clarification.
Ramaswamy Narayanan: Yes, yes, indeed. So we feel that, some of the GI players, I'm talking of the insurance players here, they might fin d themselves in a bit of a difficulty in terms of capital because of the business that they are writing and where they are writing and how they are writing and how it is priced and all that stuff. So we believe that, in the short term, we could actually ha ve some advantages there in writing certain business which we may otherwise not see in the market at all.
Ritika: All right, sir. That's very useful. Thank you so much.
Ramaswamy Narayanan: Thank you.
Moderator: The next follow -up question is from the line of Aditi Joshi from JPMorgan. Please go ahead.

Aditi Joshi: Thank you for the opportunity again. Just a couple of quick questions. So, on this acquisition costs that we have mentioned, in the first year, we have a significant acquisition cost booking. So when we adopt this IFRS standard, in which the acquisition costs are likely to be deferred over a period of the contract, so -- how much of the impact from the deferment of acquisition costs and from the other factors as well. On a combined basis, how much of the, let's say, improvement in the combined ratio we can expect under the IFRS accounting?

And the second one is on the reinsurance distribution and broking segment. I know a couple of new distributors are entering into the reinsurance space, so I jus t wanted to understand the impact for you, does it give you a significant growth opportunity for you? Or how are you looking at it from a distribution perspective?

Ramaswamy Narayanan: Did you talk about reinsurance brokers entering the field?

Aditi Joshi: Yes, Yes. Reinsurance brokers, Yes.

Ramaswamy Narayanan: Okay. All right, all right. So on the IFRS, we are still studying, Aditi, but I'll ask Rajesh to explain to you what our understanding is. But as I said, we are still in talks with our partners to understand how this entire thing will work. Rajesh?

Rajesh Laheri: You're right, basically. So like we are doing earning for the premium, in IFRS, we'll be doing earning for the deferred -- commission expenses will be deferred. So that benefit will be there in IFRS. But as I told you, that we are still getting knowledge from the partners, and how it will impact. Typically that will come in later on, but yes, that -- and the commission will be deferred. Like in premium, we are earning premium we are providing.

Ramaswamy Narayanan: So, Yes, I hope that, I guess, going forward, we'll be able to address that further, but that is the initial understanding. On the reinsurance brokers coming in, we welcome them, Aditi, because, honestly, we deal and we do business with all the brokers in this market. We have no problems there as long as they are able to show us business that is to our appetite, that is priced well, that is managed well. And with the loss ratios, we can see that loss ratios can be kept wi thin a certain range. I think we are more than happy. So if the arrival of these reinsurance intermediaries broaden the market and bring more business into the market, more than happy to work with them.

Aditi Joshi:

Got it. Thank you so much.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Ramaswamy Narayanan: Thank you, everyone, for all the support, for the way you've been following our company and all your question s. Because honestly, it helps us to think differently, understand your viewpoints as investors and analysts, and allows us to take corrective actions as and when required. Like I said earlier as well, we are committed to ensuring that we make our portfolio much more stable, less prone to losses or sudden spurts in losses, ensure that there is diversification across the board to ensure that the returns to the stakeholders is meaningful.

Thank you once again for all the support. And I know that Monday mornin g, it's quite difficult to find time. Thank you that you're here, and wish you a great week ahead.

Moderator: Thank you. On behalf of General Insurance Corporation of India, that concludes this conference. Thank you for joining us and you may now disconnec t your lines. Thank you.

Call: Nov 2024

([redacted]) '[redacted]', [redacted], [redacted]. [redacted], [redacted], [redacted]
General Insurance Corporation of India ''SURAKSHA'' , 170, J . Tata Road, Churchgate,
(Government of India Company) Mumbai 400020. INDIA Tel: 91 -22-22867000
CIN: L67200MH1972GOI016133 IRDA REG NO.: 112 FAX Server: 91-22-229899600 , www.gic re.in
E-mail: info@gic re.in

Ref. N o.: GIC -HO/BOARD/SE -Q2-T/222/2024- 25 November 19, 2024

To,
The Manager The Manager
Listing Department Listing Department
BSE Limited The National Stock Exchange of India Ltd.
Phiroze Jeejeebhoy Tower Exchange Plaza, 5
th Floor, Plot C/1,
Dalal Street G Block, Bandra Kurla Complex
Mumbai – 400001 Mumbai - 400051
Scrip Code: (BSE – 540755/ NSE – GICRE)

Dear Sir/Madam,

Sub: Transcript of conference call held with Investors and Analysts to discuss the
unaudited financial results for the quarter ended 30th September 2024

In compliance with Regulation 30 of Securities and Exchange Board of India (Listing
Obligations and Disclosure Requirements) Regulations, 2015, please find attached herewith Transcript of the conference call held with Investors and Analysts on Wednes day, November
13, 2024, to discuss the unaudited financial results for the quarter ended 30
th September 2024.
This is pursuant to and in compliance with the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and applicable laws.

Kindly take the above information on record.

Thanking You.

Yours S incerely
For General Insurance Corporation of India

Suresh Savaliya
(Company Secretary &
Compliance Officer)

Encl.: As above

"General Insurance Corporation of India Limited
Q2 FY '25 Earnings Conference Call "
November 13, 202 4

MANAGEMENT : MR. RAMASWAMY NARAYANAN – CHAIRMAN AND
MANAGING DIRECTOR – GENERAL INSURANCE
CORPORATION OF INDIA LIMITED
MR. RAJESH LAHERI – DEPUTY GENERAL MANAGER –
GENERAL INSURANCE CORPORATION OF INDIA

LIMITED
MRS. RADHIKA RAVISHEKAR -- CHIEF INVESTMENT OFFICER -- GENERAL INSURANCE CORPORATION OF INDIA LIMITED

MODERATOR : MR. BINAY SARDA – ERNST & YOUNG

Moderator: Ladies and gentlemen, good day, and welcome to General Insurance Corporation of India Q2 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Binay Sarda from EY Investor Relations. Thank you, and over to you, sir.
Binay Sarda: Thank you. Good morning to all the participants on the call, and thanks for joining this Q2 FY '25 Earnings Conference Call for General Insurance Corporation of India. Please note that we have mailed out the press release to everyone and you can see the results on our website as well as it has been uploaded on the Stock Exchanges . In case if you have not received the same, you can write to us and we'll be happy to send it over.
Before we proceed with the call, let me remind you that the discussion may contain forward -looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with our business that could cause futu re results, performance or achievement to differ significantly from what is expressed or implied by such forward -looking statements.
To take us through the results of this quarter and answer our questions, we have with us the management of GIC represented by Mr. Ramaswamy, Chairman and Managing Director; and other top members of the management. We'll be starting the call with a brief ov erview of the quarter gone past, which will then be followed by Q&A session.
With that said, I'll now hand over the call to Mr. Ramaswamy, sir. Over to you, sir.
Ramaswamy Narayanan: Good morning, everybody, and thank you for joining us in this call. I'm pleased to announce the financial performance for the second quarter ended September 30, 2024. Our Q2 FY '25 performance reflects resilience and strategic discipline in a very challeng ing environment. Over the past few years, we have benefited from hardening rates across the reinsurance market, which have somewhat mitigated the negative impact due to catastrophic events.
While our reinsurance business has faced challenges, particularly as we navigate the realities of climate change with more frequent and severe events, we remain focused on reducing our combined ratio, aiming to bring it down lower by about 3, 4 percentage points. This progress is supported by our ongoing efforts to enhance the quality of our portfolio through prudent risk selection, weeding out unprofitable lines and focusing on business that positively contribute to our bottom line.
Let me now take you through some of the key highlights of the financial performance. The gross premium income of the company was INR8,413.49 crores for Q2 FY '25 as compared to INR10,762.14 crores for the previous quarter . The investment income stood at INR3,483.34 crores in Q2 FY '25 as compared to INR3,266 crores in Q2 FY '24. Incurred claims ratio stood at 93.6% in Q2 FY '25 as compared to 98.4% during the corresponding quarter of the previous year.

Combined ratio in Q2 FY '25 stood at 114.05% versus 115.83% during the corresponding quarter of the previous year. The adjusted combined ratio by taking into consideration the policyholders investment income works out to 88.86% for the half year ended Sept ember 30, 2024, as compared to 93.63% in half year FY '24.
Profit before tax stood at INR2,281.13 crores in Q2 FY '25 as against INR1,847.6 crores in Q2 FY '24. And profit after tax stood at INR1,860.76 crores in Q2 FY '25 compared t

o INR1,605.09
crores in Q2 FY '24. Solvency ratio stood at 3.42 as on 30/09/24 compared to 2.82 as on 30/09/23. Net worth of the company without fair value change increased to INR39,481.33 crores on 30/09/2024 as against INR33,266.61 crores as on 30/09/2023. Net worth of the company, including the fair value change, increased to INR90,917.7 crores on 30/09/24 as against INR71,376.53 as on 30/09/2023.

On the premium breakup side, domestic premium for H1 FY '25 is INR16,330.8 crores and the international is INR4,488.36 crores. The percentage split is domestic 78% and international 22%. There is a growth in the domestic premium by 24.8%, while the international book decreased by 31.9% in this half year.
As we have discussed in the past, GIC has been striving to get its A - rating from AM Best reinstated since that would have a positive impact on our international business. I'm very pleased to inform all of you that AM Best has upgraded GIC to A - Excellent with a stable outlook. And based on this upgrade, we are now looking to boost our international book going forward.
As we look ahead, our commitment to building a more stable, diversified and resilient portfolio remains steadfast. By strengthening our risk management practices and ensuring broad diversification, we aim to mitigate volatility and deliver meaningful return to our stakeholders.
Our disciplined approach, combined with the continuous growth in the domestic market, positions us well for sustainable success. We believe that the strategic steps we are taking will drive long -term stability and enhance shareholder value, reflecting our commitment to a balanced high -quality reinsurance portfolio.
Thank you once again, and I look forward to questions from your side.
Moderator: Thank you. We will now begin the question -and-answer session. The first question is from the line of Karthikeyan K, who's an individual investor. Please go ahead.
Karthikeyan K: I have few questions. The first one is like we have got the rating upgrade. And so what is the outlook for the growth -- premium growth for the H2 of this year?
Ramaswamy Narayanan: So you said -- do you want to reply now? Or do you want to put all your questions?
Karthikeyan K: No, I would like to ask the questions one by one.
Ramaswamy Narayanan: All right. So Karthikeyan, thanks for the question. The rating upgrade has happened. So now we'll be looking to enhance our international book. But honestly the effect will start coming in only in the next year because 1st Jan renewals is when we would be looking to write bigger lines or write -- again, the strategy is going to be immediately to bring back the accounts that we lost

during the rating downgrade, and of course, target some new businesses that are there in the market.
So the effect of that, you will get to see only starting maybe April 2025 because by the time we write the business and it is booked in our accounts, it will be the next year. So as of now, we are not really changing our outlook for H2 '25.
Karthikeyan K: So in the starting of the year what you had guided is like 15% revenue growth, I mean, premium growth...
Ramaswamy Narayanan: That will continue, yes.
Karthikeyan K: Okay. And sir, the losses whatever we are seeing in the fire and motor. I mean we have provided with all the losses that happened in the half of the year, like, say, the cyclone and the impact in the hurricane like Helene and Milton that happened in the US . So what's the impact on our H1 results?
Ramaswamy Narayanan: So normally we do provide for all the events which could affect us. So these are all initial provisions, of course, based on the initial discussions that we have had with our business partners. So there is a chance for us to get some release going forward because Helene and Milton, when we started talking abou

t it, in the initial stages, the losses that people thought it could hit was quite high.
But even last week, when we spoke to people, I think Milton which used -- I mean, people talked about it being close to $50 billion market loss, now seems to be more close to anywhere between $20 billion to $24 billion. So hopefully, going forward -- we have provided at the complete level. But hopefully, going forward, there will be some releases also happening by the end of this year.
Karthikeyan K: [inaudible] . Okay. So the third question I had is like, we had written a parametric based insurance in alignment with global reinsurer. Sir, do we have had experience in the past or are we doing it the first time, just to be clear?
Ramaswamy Narayanan: We have done it previously as well. But every -- what happens is typically covers do change every time you want to do something that works better. Now parametric is something that we have done with agriculture, for instance. We have done quite extensive bu siness on agriculture parametric business. The one that you are referring to is parametric business which is related to catastrophic events and that too for a particular state.
Now this is not something new. This happens abroad as well. And I think as a country, we start -- we will need these kind of covers going forward because if you see, typically, in any catastrophe events which happens in the country, the protection gap is h uge. The insured losses are only maybe 8% to 12% of the economic losses.
So obviously, this is something that we've been working with the government as well, and other governmental agencies to find a solution by which people who are not in a position to cover

themselves or buy protection, the state or the government comes forwa rd and takes these kind
of parametric covers.

The advantage of a parametric cover is that the claim settlement is very fast. You don't really need to have a lot of surveyors moving around, trying to get to the figures and things like that. These are kind of -- in case an event happens and depending on the kind of event at the level at which happens, the payout happens to be a customer. So I think it's a good way to cover a major portion of our country. So I think going forward you will see more such parametric covers happening in the country.

Karthikeyan: Okay. And sir, actually, what is being written in the media and all that, like, I mean, the tax for medical insurance or term insurance will be made nil, I don't know. I mean it may not happen or happen. So does that have an impact for us in terms of growt h? What kind of impact will we have that -- there is a relative tax reduction?

Ramaswamy Narayanan: Yes, I think the growth will be there. You are talking about the GST on medical insurance, which people are asking to bring it down. Now that's obviously something that the government is considering. We still do not know what will be their thoughts, so I w ouldn't want to speculate on that. But to come back to your point on the question, will it have an impact on growth? Yes, of course.

Because I think once the GST comes down and people are able to afford more, so normally you would see that people would end up buying for the same amount of money that they would have anyway paid. So in case I've been paying INR10,000 for a cover out of which INR8,000 is the actual premium and say, INR2,000 is the tax, you would still end up paying INR10,000 -- I mean, you'd still be happy paying that INR10,000, and since the tax is not there, you would actually end up buying more.

So yes, there will be growth even on the direct side. People are anticipating quite a bit of growth happening, new people coming into buy covers. So that will definitely impact our growth as well.

Karthikeyan: So last quarter you had mentioned that there is some impact on the p

roperty side like where people are reducing prices to gain market share. So what was the impact? I mean, in Q2, are you now facing similar situation or is there any improvement or anything what's happening there?

Ramaswamy Narayanan: So yes, there is an impact in the sense that pricing has come down on the direct side. So we've also kind of brought down our estimates for the growth in this market. So to that extent, you would see some impact in our gross premium estimates as well. Beca use the direct pricing has gone down, we are in touch with the market participants to understand how we can control this. But yes, there will be an impact on the premium.

Karthikeyan: The final question I have is with the rest of the P&L and cash flow statement, there's some change in way the cash flow statement is presented for the Q2 this year, where we are adhering to the Accounting Standard 3 that is prescribed by IRDA. But what hap pens to you like, see, the cash flow statement, see the lines which are saying that the income, what is dividend or the interest, whatever we are receiving, that is part of the operation side. That is part of the operations of the company, but that is characterized as investing activities. Is that confusing to the investors?

Ramaswamy Narayanan: I'll ask Rajesh Laheri, our accounts DGM to take this one.

Rajesh Laheri: Yes. So if you go by the format, which is provided by the IRDA for AS3 basically, specifically, they have provided that particular format, and we are going by that format. In their format, they have given specifically that investment income should be part of your investment activities. Accordingly, we have taken into investment activities.

Karthikeyan: Okay. So this is as per the accounting standards adapted ?.

Rajesh Laheri: This is as per Accounting Standard as well as IRDA format, which is prescribed by the IRDA.

Karthikeyan: Okay. So, if I go to the P&L, right, for this quarter, we have already provided for a dividend which we paid after the AGM, am I right?

Rajesh Laheri: No. So, in our final records, we have not provided for the dividend. So, dividend is -- final dividend is -- as per the payment whenever we are making that gets booked.

Karthikeyan: That will be accounted for the quarter 3.

Rajesh Laheri: No. Not quarter 3. When we are declaring basically, the quarter 2 was that case actually September we have declared that dividend and paid. So in that quarter only it gets accounted.

Karthikeyan: So that means it's already accounted for Q2. Am I right?

Rajesh Laheri: Yes.

Karthikeyan: But in the cash flow statement, that is not reflecting there, right?

Rajesh Laheri: Because if you see that our balance sheet, dividend wise it's still not paid. Dividend wide paid on 1st of October. So that's why dividend paid is coming 0. So in the next quarter 3, Q3...
Karthikeyan: Yes. But if I look on the P&L statement, right, I'm looking at the Page number 6...
Rajesh Laheri: If you see their balance sheet, in balance sheet you can see the dividend payable is outstanding in schedule 13. So that's why it's getting nullified basically. The actual payment is 0. Actual payment...
Karthikeyan: I understand, sir. Now my question here is, if I go to the Page number five of the Q2 FY '25 results, where the profit that is being carried to balance sheet is mentioned as INR106 crores, right, but the actual profit is INR1,860 -odd crores. So -- but the -- whatever is carried is -- it is showing it as after the reduction of dividends. There is a discrepancy between the P&L statement and the balance sheet.
Rajesh Laheri: Yes. So dividend is impacting our profit and loss carry forward basically to balance sheet, but dividend is still not paid, that is getting advantage in our Schedule 13 as dividends payable and cash flow is zero.
Moder

ator: The next question is from the line of Ganesh, who's an individual investor.

Janesh : This is Janesh here. Sir, congratulations for a good set of numbers, first of all. Just have -- and again, congratulations for the rating upgrades, which you have been waiting for such a long time. The question to -- I have a couple of questions with regard to the international business basically. How are we going to take this opportunity going ahead? When we are looking at, let's say, trading out on the international business, how are the risk metri cs, which are going to operate now with this ratin g upgrade, and what kind of a growth -- I mean what -- I mean we have shrunk this book quite substantially.
So for next couple of years, how do we see the book shaping up on the international side? And because you have a lot of capital which is also available, which you can utilize very efficiently in the market. That is the first question. Second, on the macro side, I mean, when you're looking at, there are so many moving parts which are there right now, especially the -- globally, the interest rates have been falling. But at the same time, there are also uncertainties getting created around the US dollar and many other currency movements which are there. In such scenario, how are we going to position ourselves?
And what are the risks you foresee including the geopolitical situations which are there? And how are we going to navigate through this? If you can just give some understanding about the company's philosophy on this?
Ramaswamy Narayanan: Thank you. So on the international business, yes, you are right in saying that we have a good solvency. There is availability of capital. So we need to grow. And yes, we are looking to grow. But then it is not going to be a full hope kind of a thing where we are just going to go and write what about business is available there. The underwriting discipline will continue -- the business that we are looking for must match our risk appetite.
And more importantly, more than anything else, we need the confidence that it will add to our bottom line. Otherwise, honestly, it doesn't make sense to write any business, which is only going to come and give losses to us. So that's number one. Going forward, we have some strategies about how we are planning to get into the international business back again. So like you said, yes, we did cut down quite a bit of business.
Some of them were forced on us because when we had our credit rating downgrade, we lost some of the good businesses where they wanted a specific kind of security. And since we didn't have that, we lost it. Some of the others, we purposely cut it out of our book because it is not adding value. When we analyzed it over a period of years, it was generally not adding value to our overall book. So those businesses will still continue to keep away from. The busine ss -- so the immediate action is to look at the business that we have lost due to the credit rating downgrade and try and get that back.
The advantage there is the company also knows you, you know them, you know what kind of business it is, the comfort is there, so it's easier to get that back. So we will start doing that. We'll also -- there's a lot of good business available in the market today. We'll continue to look at that. But then we also have to understand that -- and this kind of leads on to your second question, which is the biggest risk that we see today is the climate change.

There is so much happening which as a company, we need to understand, we need to take on board, and we need to be prepared for it. So climate change has changed so much. I mean we are really not talking of some kind of a slight change which is going to hit us. The frequ

ency has
gone up. Frequency of events have gone up, disability has gone up. More importantly, it is happening in places which are supposed to be not hot spots.
So if you look at the floods that happened in Dubai in April. Dubai is not supposed to be a cat prone country at all. I don't think the direct companies -- I don't think when they price the product, I don't think they really add up any margin for catastrophic events, but that was a big loss. And honestly, a lot of people have taken a hit out there.
Similarly, I mean, going forward, if you see there are areas where losses have happened where people have not -- people have had a very severe stat shock. Spain is another case in point where recent floods have happened, and they have been unprecedented. S o climate change according to me is our biggest risk. We need to factor for that. We need to understand it. So again, going internationally, that is something that we would look for. We would want to partner with people who understand specific geographies so that we don't end up making a big mistake there.
Again, geopolitical situations are changing. We need to be careful about how things work. What we thought was a very small war in Ukraine has continued over the last 3 years now. New areas are coming up where these kind of geopolitical tensions are there. So you don't want to get into a situation where you have invested as in you have taken business from somewhere and that suddenly changes because of the way the geopolitical situations are changing.
So we are very careful on that front, but the advantage is we have been in this market for a long time. On the international side, we have some great partnerships and great relationships. So we hope to leverage that and start writing businesses going forwa rd. Like I said, it will start from 1st Jan. Again, that effect will be seen only in '25/'26. But I think overall it will possibly take about 2 or 3 years before we reach a certain kind of the right mass for the international business that we are looking for.
Currently, the capital that we're having and the high solvency that we are having, we are essentially maintaining that because like you said, there are various other moving parts happening now. IFRS is coming in. RBC is coming in. I'm sure when RBC is implemented by the regulator here, the solvency, as we see here will come down a bit. More imp ortantly, the solvency of direct insurance market might come down, and that will give us opportunities to provide reinsurance solutions to players in this market.
So honestly, a lot of moving things happening. It's not a decision that we can take that today. We take a decision and it will pan out over 5 years. I think we need to look at our plannings, our budgets, our business parameters regularly and change accordi ng to the changing situations in the market.
Janesh : Okay. And is there any number like I'm saying you've already guided for 15% growth for FY '25. Is there something which we can expect for FY '26 in terms of the growth? And also the

more important number is the combined ratio, which we aspire to move more towards 100%. So where do we see that journey shaping up in next couple of years?
Ramaswamy Narayanan: Yes. So basically, the journey towards reaching 100% is something that will happen over maybe the next 3 to 5 years. It will not happen immediately over 1 year because like you called it, it's a journey. It's not about just going, touching that number and coming back to 108 or 109. We would like to do it in such a way that once we touch 100, we stay there rather than just touching it and coming back.
So it needs to be a journey that we need to do. It will take some time because the market that we are in also needs to improve. The Indian market where we write predominantly a big portion of our book. If it continues

to be in a 110, 115 kind of combined r atio, for us to reach 100
immediately will be a tough one. I think the market needs to change in that front. And of course, as we write more and more international business, we hope that we'll be able to reach there.
Already, if you see, that journey has started. So last year we ended with 112. This year for the half year ended 30th September, we are already at 111. There are, of course, 2 more quarters to go, and I'm hoping that we will not have any major catastrophes in the next 2 quarters. But then I think that is what we are trying, essentially to cut down the losses. And if you go through the figures, you will see that we've actually cut down the losses in this quarter as well. So that augurs well for us, and we a re moving, I think, in the right direction.
Janesh : And best of luck for the future of this company.
Ramaswamy Narayanan: Thank you so much.
Moderator: The next question is from the line of Aditi Joshi from JPMorgan.
Aditi Joshi: Sorry, I joined a little bit late, so please accept my apologies if I repeat the question. Sir, firstly, on the overseas portfolio, first of all, congratulations on the credit rating upgrade. Especially on the overseas portfolio, can you just provide a little bit of more detail as in which business line you think you will be more focusing on wit hin the overseas and which you think in your view will be easier for you to make negotiations first and make a deal in the fast manner? Like what

will b e your preferred portfolio to start with in the overseas line?
And just I guess that because overseas were also getting a bit competitive and because we have had some relationships in the past. So, I think what level of aggression can we see in the overseas business line as in -- are we trying to stay more competitive to secure more business there? Or we'll just also be focusing on the profitability and not have such level of aggression there?
And one more question that was related to the U.S. portfolio losses that was on the book, but you have stopped writing the portfolio. So just any update as -- did you see any more claims in this quarter? And how is the reserving so far for that particular risk portfolio?
And just one last question also if I can ask. You have flagged that the biggest risk for you will be the natural catastrophic losses, and I think because the severity frequency might continue. So what are the measures -- risk management measures in your vi ew will be best to take?

Ramaswamy Narayanan: Thanks, Aditi. That's quite comprehensive. So just to take a point by point. On the overseas portfolio, I had also said earlier. So yes, because of the international credit rating upgrade, we now get a chance to look at better quality business and are able to write that. So what we will do going forward is, of course, 1st Jan is when a major portion of this busine ss renews. So that is what we are targeting now.
So the immediate target is there are -- there was a lot of -- so if you look at our international book, the way it has panned over the last few years. When the credit rating downgrade happened, obviously, we lost some of the good businesses where we didn't have the necessary security to pitch for that. So we lost them, and these were basically long -standing relationships where the relationship continues even though we are not writing that business.
Second, of course, we also cut out a lot of business, which when we analyze didn't make quite sense to us, was not making the kind of money that we were looking for. So the first part of that business that we lost during the credit rating downgrade is what we would be attacking now. Well, attack is the wrong word. We'll be looking to get it back. It will be, I believe, comparatively easier because the relationship is there. The clients know us

. We know them. We know the
business. So it's much easier to look at those businesses. Apart from that, good businesses that is available in the market, we'll definitely look at it. So that's what we are going to do.
To come back to your point, yes, we are not going to be aggressive in the sense that we'll be aggressive in trying to look for businesses that work for us, but that doesn't mean that we'll be aggressive in poaching that business or trying to bring down the pricing just to get that business. We'll definitely not do that.
In the market, as it is, we have an advantage because our expense ratios are lower. So accordingly, we will work on that and ensure that we are able to write business at the right price.
Your second point was -- or rather your third point was -- since, like I said earlier, NatCat could be an issue. So what we are planning to do. Well, so this is the business we are planning to write anyway.
But even though the climate change has meant that the business becomes that much more difficult, but I think at the end of the day, it's all about ensuring that the pricing is right. Secondly, you write the business that matches your risk appetite and more importantly, you manage your exposure as well. If you're able to manage your exposures well and write it at the right price, I think this business will still make money.
Over the last 2, 3 years now, we have been seeing. Earlier, yes, 6, 7 years, international business was loss -making for all reinsurers. But I think over the last couple of years, now the business has become more profitable, definitely more manageable. So t hat is what we're planning to do.
On the U.S. portfolio that you talked about, the Marine motor book that we were writing, which caused the losses last year. So that continues to improve. We do end up -- so currently, there is no premium coming from that business. I think the -- even the r unoff of the premium has kind of stopped now, but the losses continue to come, but the provisioning is quite robust, and adequate and we don't believe there is going to be a shock.

In the third quarter, which is in the month of October, we've actually got some releases on the letter of credits that we have posted for this business. So that means it is quite a happy situation that the losses are coming down. We'll of course take actio n on that and we'll speak to them further. And based on that, we feel that the provisioning has come down at their level. Then from our side also, we will be able to take some releases on the provisioning.
But that will, of course, happen only in the third or fourth quarter. Currently, we don't -- I mean, in the second quarter, obviously, we have not taken cognizance of that. But as of now, it looks

okay. I don't expect any major shocks to come from that por tfolio anymore. I think our provisioning should take care of future losses.

Aditi Joshi: Got it. And just a couple of questions, if I can follow -up, please. On the natural catastrophic losses, we have not had that retrocession policy at the moment to manage the risk. But going forward, are you -- is this option under the consideration given we get the deal at the right pricing, et cetera?

And just one follow -up question. I mean, one more question, if I can ask. On the health side, we have had a very good growth. So is it right to understand that the majority of it is from the group health? And if it is, what is the type of that business? I'm assuming it's a treaty in nature and there might be a proportional one. So just some clarity will be helpful.

Ramaswamy Narayanan: Sure. So on the retrocession, you're right. So we didn't buy it simply because we are talking of the retrocession for our foreign book. We continue to buy our retro for the domestic one. On the foreign, as it is our book as strong, and when we looke

d at th e pricing that we got for the retrocession, it was actually not making sense. There was hardly any risk transfer that we were getting on that. This is why it was decided that we would not buy it this year.

You're absolutely right in understanding that this is not a decision that is etched in stone that we will not buy it anymore again. It just means that as we start writing more businesses, and when we look at the deal, when we look at the pricing that we get from our retrocessioners, then we'll definitely take a call. Yes, as we start writing more business , it will make sense to buy some kind of retro protection for our own book but that we will do depending on what is the business that we write on 1st January and what kind of deal we get from the retro partners.

On the health side, no, it's not a group health that we are writing. It is actually retail health. So retail, as you know, since it is a small ticket business, it normally doesn't come into the reinsurance market. But we were fortunate enough to get a coup le of treaties on the retail health side. And yes, you are right that it is a proportional quota share kind of a treaty that we are writing. Currently working well. We're, of course, looking at it very carefully to ensure that it doesn't bleed for us.

Aditi Joshi: Got it. And just very last question, if that is okay. Going forward, you think the health growth will be more from the -- continually coming from the retail or we can see more of the group health. Just your thoughts on that.

Ramaswamy Narayanan: Again, it would -- Aditi, it would depend on pricing. Let us be very honest here. I mean so we look at all these things. It's not as if we don't look at group health. It's not as if we don't look at

government health schemes. We look at all of them. Insurers do approach us with all these policies.

Wherever it makes sense for us, so I think we write only one government health scheme as of today. Wherever it makes sense for us, wherever we feel that the pricing is right, wherever we feel that the insurance company involved, has the wherewithal to mana ge the entire project in the state. As long as they can do that, they are in control of that. We don't mind supporting them.

So honestly, at this stage, I will not be able to tell you whether we will not grow in group and government. I don't know. If the pricing is right, if the overall scheme looks profitable, we'll definitely write, we'll definitely look at it.

Moderator: The next question is from the line of Deepak Gupta from SBI Pension Funds. Please go ahead.

Deepak Gupta: Sorry, I joined in late. So this question maybe a repetition. My first question was, there something called adjusted combined ratio which you've announced in your press release. If you could give us the nominal ratio for that, how exactly is that calculate d?

Ramaswamy Narayanan: So when you look at it, simple combined ratio is where you are the premium less claims, less expenses, and you arrive at the ratio, right? What also happens is when you look at our investment book, we have two sets of floats there. One is, of course, the equity holders' funds. Second is what we call as policyholder's funds. Now this is a fund that is created for multiple reasons.

One, in the Indian market, you have a situation where the premium gets paid upfront. Without that, the insurer is not on risk. So the premium comes up -front and the claims happens over a period of time. So the float gets created, number one. Number two, on some of the claims side, especially when you look at some of the long -tail classes like [inaudible]. Deepak, apologies for that. But yes, so just to explain, like I said, so 2 funds get created.

One is the shareholders' fund, we keep that aside. Then other is the policyholder's funds, one, which we get because the premium is

coming up -front and the claims has not happened. Second, even on the claims side, there's a lot of outstanding claims and IB NR that gets created, especially for classes like say, motor third -party or those kind of long -tail classes. So this is money that is

remaining with us, right?
And this money is with us because we are doing this business. But we internally is we obviously segregate both of these, the policyholders as well as the shareholders. The policyholder's fund, the investment income that we get, we flow it back to the busin ess results. And once we do that, whatever is the combined ratio we get with that, that is what we call as adjusted combined ratio. Just to show that the operations is profitable because the investment coming -- investment income coming from the policyhol der's funds obviously belongs to the business.
Deepak Gupta: Understand. Fair enough. Secondly, my question is you really targeted combined ratio that we're looking at for the international book because that keeps taking you over combined ratio down meaningfully. How do we look at that? And we've been hearing that s ince the waiting upgrade

you'll be getting better businesses. How will that impact the profitability in the international book? If you could give us some more clarity on that.
Ramaswamy Narayanan: Sure. So when we target, it will obviously be -- we'll be targeting businesses internationally, which will give us combined of less than 100, and that is obviously possible. Today, if you look at the combined ratio in our book, it is also, the stress is ma inly because of 1 contract that we wrote a few years back, and we have stopped also now, which is now the losses are coming. It's a slightly long tail classes. It has got motor and marine in that and that was written in the US . So obviously, those claims are what is actually affecting the combined ratio of the international book. Once we take that off, actually it looks quite good. And going forward, as we write more and more profitable property business internationally, I think our overall combined should come down for the international book as well.
That's what we are targeting anyway. Like I said earlier, the idea is not to just target top line growth in the international book. Idea is to write that kind of book, which would also profitably impact our bottom line.
Deepak Gupta: And thirdly, on your investment book, if you could give us a breakup between debt and equity and what are the investment yields on the debt side?
Ramaswamy Narayanan: Yes. I can ask my CIO to take this question. Radhika, can you?
Radhika Ravishekar Okay. The entire assets, the fixed income securities, that is on the debt side, we have 74.33% of our investment assets in fixed income. Equity is only 15.41% of our investment assets. There is INR15,509 crores. The market value of that is INR66,788 crores.
Deepak Gupta: Okay. And ma'am, do you have any NPAs on your debt side?
Radhika Ravishekar Yes. Gross NPA is only one point. But net NPA is NIL for us. And the gross NPA is 1.83%.
Deepak Gupta: Okay. So the recent downgrades of a PSU entity, no bonds of that is held by GIC, I suppose.
Ramaswamy Narayanan: No new NPAs, Deepak. These are all old ones that we have taken. Reliance Capital is there. ILFS is there. These are the bigger ones.
Deepak Gupta: Okay. But there will be no new downgrades which has happened this quarter for you?
Ramaswamy Narayanan: No, no.
Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for the closing comments.
Ramaswamy Narayanan: Thank you, everyone, for all your support, all your questions. It's always gratifying to listen to you and understand your view point also. Just want to say that with the international credit rating upgrade, we're now v

ery positively poised to actually diversify our book well, but we also remain committed to the Indian market. It's a growing market. And whatever we need to do to ensure that ap art from the growth, this market also remains viable for all market participants.

We'll continue to do whatever is required. Hopefully, going forward, as we meet every quarter, you will see better results from this company and more importantly, better controls over the businesses that we are writing. So we are constantly seized of the fact th at we need to improve the performance and more importantly also improve the environment that we are working in, ensuring that we're very strong in risk management features as well.
We'd be more than happy to interact with all of you again. Thank you so much. Take this opportunity to wish you a belated season greeting on account of Diwali. Please have a great day ahead.
Moderator: Thank you. On behalf of General Insurance Corporation of India, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

Ref. No.: GIC-HO/BOARD/SE -Q3-T/292/2024 -25 Date: 11th February 2025

To, To,
The Manager The Manager
Listing Department Listing Department
BSE Limited The National Stock Exchange of India Ltd.
25th Floor, Phiroze Jeejeebhoy Towers Exchange Plaza, 5th Floor, Plot C/1,
Dalal Street G Block, Bandra Kurla Complex
Mumbai – 400001 Mumbai - 400051

Scrip Code: (BSE – 540755/ NSE – GICRE)
Sub: Transcript of conference call held with Investors and Analysts to discuss the unaudited financial results for the quarter and nine months ended 3 1st December 2024
Dear Sir/Madam,
In compliance with Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached herewith Transcript of the conference call held with Investors and Analysts on Wednesday , 5th February 2025 , to discuss unaudited financial results for the quarter and nine months ended 3 1st December 2024.

This is pursuant to and in compliance with the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and applicable laws.

Kindly take the above information on record.

Thanking You
Yours sincerely

For General Insurance Corporation of India

(Suresh Savaliya)
CS & Compliance Officer

Encl.: A/A

“General Insurance Corporation of India Q3 2025
Earnings Call ”

February 05, 2025

MANAGEMENT : MR. RAMASWAMY NARAYANAN – CHAIRMAN AND
MANAGING DIRECTOR , GENERAL INSURANCE
CORPORATION OF INDIA
MR. RAJESH LAHERI – DEPUTY GENERAL MANAGER ,
GENERAL INSURANCE CORPORATION OF INDIA

Moderator: Ladies and gentlemen, good day, and welcome to GIC Re Q3 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Nikita from EY. Thank you, and over to you.
Nikita : Thank you. Good morning to all the participants on the call, and thanks for joining Q3 FY '25 earnings conference call for General Insurance Corporation of India.
Please note that we have mailed out the Press Release to everyone, and you can now see the Results on our Website , and it has been uploaded on the s tock Exchange as well. In case you have not received the same, you can write to us, and we will be happy to send it over to you.
Before we proceed with the call, let me remind you that the discussion may contain forward - looking statements that may involve known or unkno wn risks, uncertainties and other factors. It must be viewed in conjunction with our businesses that could cause future results, performance or achievements to differ significantly from what is expressed or implied by such forward - looking statements.
To ta ke us through the Results of the quarter and answer our questions, we have with us the Management of GIC , represented by Mr. Ramaswamy – Chairman and Managing Director and other top members of the Management .
We will be starting the call with a "Brief Over view " of the quarter gone by, which will then be followed by the Q&A session.
With that said, I'll now hand over the call to Mr. Ramaswamy. Over to you, sir.
Ramaswamy Narayanan: Thank you, Nikita. Good morning, everyone, and thank you for joining us in th is earnings call.
I am pleased to announce the financial performance for the third quarter ended December 31, 2024. Our Q3 FY '25 performance reflect our steady progress in building a resilient and agile reinsurance business amidst a complex and evolving m arket landscape.
The reinsurance industry continues to face challenges driven by an uptick in catastrophic events. While we acknowledge the inevitability of these catastrophic events, our focus remains on navigating these risks prudently as well as writing a diversified portfolio across different classes. As you would have seen from our business figures, this year, we have written more business in the Health Business , which is totally different from the Catastrophe business. Going forward, we intend to grow in emerging areas such as cyber , surety bonds, et cetera. As a result, despite

the external climate change challenges, our focus on disciplined underwriting and risk diversification has yielded tangible results th is quarter.
Our combined ratio for the quarter stood at 107. 83%, a marked improvement from our prior periods, underscoring our disciplined underwriting approach and prudent risk management. This progress is driven by our emphasis on optimizing portfolio qu ality, exiting underperforming segments and increasing focus on business lines that align with our risk appetite and profitability targets.
Let me now take you through some of the key "Highlights of the Financial Performance ":
Gross premium income for Q3 F Y '25 stood at INR 9,967.71 crores , compared to INR 8,778.26 crores in Q3 FY '24. Incurred claims ratio for the quarter declined to 87.8% as compared to 103.1% in Q3 FY '24. Combined ratio for Q3 FY '25 declined to 107.8% , compared to 120.5% in Q3 FY '24.
The adjusted combined ratio, factoring in policyholders' investment income, stood at 89.12% for the 9 months o

f FY '25 compared to 92.37% in the corresponding period last year. Investment income for Q3 FY '25 stood at INR 2,627.17 crores , compared to INR 3 ,361.54 crores in the corresponding quarter of the previous year. Profit before tax stood at INR 2,168.69 crores for Q3 FY '25 as compared to INR 1,923.81 crores in Q3 FY '24. Profit after tax increased to INR 1,621.35 crores compared to INR 1,517.95 crore s in the corresponding quarter of the previous year.
Solvency ratio improved to 3.52 as on 31/12/2024 , compared to 2.94 as on 31/12/2023 and compared to 1.5, which is mandated by the regulator. Net worth, excluding fair value change, stood at INR 40,745.48 crores as on 31/12/2024 as against INR 35,031.89 crores as on 31/12/2023, while net worth, including fair value change, stood at INR 85,803.69 crores as on 31/12/2024 compared to INR 77,626.89 crores as of the previous corresponding period.
On the premium breakup, domestic premium for 9 months ended 31/12/2024 stood at INR 23,657 crores and the internatio nal premium stood at INR 7,130 crores. The percentage split is

domestic 77% and international 23%. The domestic premium grew by 20.8% , while the International Business witnessed a 19.7% decline.
Looking ahead, we are optimistic about sustaining this moment um, driven by our strategic initiatives and our commitment to achieving long -term underwriting profitability. Having given the highlights now, we will open the floor for questions from interested parties. Thank you.
Moderator: Thank you. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press “*” and 1 on the touchtone telephone. If you wish to remove yourself from the question queue, you may press “*”and 2. Participants are requested to use handsets while

asking a q uestion. Ladies and gentlemen, we will wait for a moment while the question queue assembles.
The first question comes from the line of Aditi Joshi with JPMorgan. Please go ahead.
Aditi Joshi : A couple of questions. First of all, congratulations on a very good set of numbers. So, firstly, on the top line growth, it was quite a significant growth for the quarter. And when we look at across the business segment, it has been quite broad based acros s fire, Health and Motor . So, just wanted to understand your outlook of the top line growth for the next full year 2026?
And specifically, if we break it down across the segments, what is your outlook? For instance, I think we are seeing some price hardening trend in the Fire Insurance segment. So, is it what it is driving in the Fire segment? And with respect to the Health Insurance as well, you've said that you are trying to focus more on that. So , going forward, should we continue to expect that growth in that segment as well? That is my first question.
Ramaswamy Narayanan: Yes. Do you want me to answer now or wait for you r second one?
Aditi Joshi: Okay. I can actually go ahead with the rest of the questions as well. And second one is, on the investment side, I mean, it was quite an offsetting factor in the earnings growth. So, just the reason behind that, what actually led , is it because of the weaker equity market? Or are you seeing some slowdown in the interest income as well? And lastly, on the LA fires, do you have any exposure to that? And if so, what would be like the impact from that? Yes, these are my questions. Thank you.
Ramaswamy Narayanan: Thanks, Aditi, and thank you for the kind words about the performance. So, okay, the top line, yes, it is as per expectation, the growth. If you remember, at the beginning of FY '25, we had given a guidance that compared to the previous year, we would grow about 8% to 10%, and we would be somewhere close to anywhere between INR 40,000 crores to INR 41,000 crores. And that is what we are targeting. And as you can see, we are well o

n course for that.
As on 31/12/24, our premium ha s gone beyond INR 30,000 crores, and we expect another INR 10,000 crores to be added in the next quarter. So , we're well on target on that. So, what you would have also seen is, obviously, we are trying to now kind of ensure that the growth happens across different sectors. So, like you very rightly pointed out, there are essentially 4 sectors currently, which kind of dominate would be fire, Health , Motor and agriculture, right?
So, I think Health , we kind of focused this year , because if you see typically, fire, the own damage part of Motor and agri are more or less climate change -related, which could get affected by catastrophe. So, that was the reason for us to also focus on Health as one of the areas where we would like to g row.
So, idea is to diversify the book so that one loss or one set of losses don't really hurt your book.
So, that is what we have done this year. Going forward, next year, we will continue to do that.

Whether that will happen in Health, I am not sure at t his stage because we need to look at how these businesses work out. If it doesn't work for us, obviously, we will not write that. But going forward, the idea is also to see that we diversify.
So, like I said in my earlier opening remarks, there are areas w here we see traction happening , because the regulator is pushing, there is demand in the market. Surety bonds is one where that business is slowly moving from banks, which used to traditionally do that to now the insurance market.
Cyber, again, as an IT pr ogressive country, obviously, so when people adopt technology very well, cyber becomes a risk, which needs to be covered. We are seeing traction there. So, that's an area we could look at. So, similarly, the idea is to grow in areas, which are slightly dif ferent from the catastrophe things.
So, that is what we will do. So, in FY '26, hopefully, you will get to see a much more diversified book. We are just beginning the work on the 1st April renewal. So, maybe in the next earnings call, I might be able to gi ve you a much better understanding of what we are doing.

With regard to price hardening in Fire, yes, I am glad you have noticed that, that is something that we have been working very hard towards. The first 9 months of this year , the pricing was not great . Fortunately, I would say they were in many catastrophic events, which affected the property market. So , the performance looks good.

What you are seeing today in our books in terms of the fire premium is not because of the hardening. The hardening you will see possibly in the last quarter and in next year. So, that way, I think what you are seeing on the Fire portfolio is still the portfolio that w as there on the 9 - month thing, a slightly depressed portfolio. But I think overall, we have done well there. I think so this was your first question.

Second question on the investment side. Yes, I agree with you. The figures are lower than what we expected . But then the difference is not because of interest rates slowing down. I think our interest income, the way we had budgeted and planned , that is on track. Where we have come down, where our investment income has come down is in the profit on sale of secu rities.

Now on the equity side, we do sell our equity from time to time. And there, since the last quarter, the market has been pretty topsy turvy. We have not really sold as much as we would normally have , because honestly, the idea is not to just book pr ofits by selling. Idea, when we decide to sell something or buy something, it is based on the fundamentals of the market, and it is decided by our experts in the investment department.

So, we felt this is not the right time to sell, and that is why the pro fit on sale of equity has come down this year for this quarter and definitely up to

9 months, it is lower than what we planned.

We still have 2 months left. We are seeing how the market will behave, and we will see how to take advantage of that in case the market goes up.

The third question on the LA fire. Yes, we have a small exposure there. It's not major. Currently, we have provided about $25 million in our provisions. Now you should realize this is basically an event, which has happened in the fourth qu arter in January. But prudently, we have already provided for it in our third quarter results. It is currently provided at $25 million. My personal feel is this will come down , because these are very, very initial figures. We've still not received too many intimations from our clients. So, we will wait for that and revise it in the next quarter.

Aditi Joshi: Okay. Got it. Thanks for providing a clarification on that. Just one more follow -up. Given that we have had a renewal cycle already done in January, so what has been the trend in the overseas line?

And second, with respect to the upgrade in the credit rating, have you seen some progress in terms of winning the contracts over there? Or how is the progress going? If you are able to share some update of the business in the Overseas business line, then i t will be really helpful.

Ramaswamy Narayanan: Yes, Aditi, I got your question. I think you wanted to know about the Jan renewals, right? So, yes, so 2 points there. One, of course, this is the first renewal after getting our credit rating back to A minus. So, we got to see a lot of business. We were in touch with all our business partners, both brokers as well as insurance companies. So, we got to see a lot of business. We wrote about 25% to 26% more business. But what we also saw in the market was there was a lot of capacity available. There was a lot of interest from reinsurance companies. So, to that extent, not all our business writing was a ccepted. So , we finally got a signing of about 15%, 16%, which overall means that in 1st Jan, we have written about $80 million more, that works out to about INR 650 crores more. That's number one.

Market was quite range based. In fact, we did see softenin g of rates happening in certain markets, which did not have any catastrophic events. Markets, which did have catastrophic events saw some risk -adjusted rate changes going up. But overall, I thought there were a lot of capacities in the market , and it was a very soft market. But we got to write what we wanted. We're pretty happy with the situation. There were some businesses where we lost. So, even though, like I said, we wrote about $80 million more, we actually lost almost $20 million of business from our existing book. So, it essentially means we wrote almost $100 million more. So, that's a good space to be in. And going forward, I think we will continue to look at our International Business positively and grow when we see the opportunities. Again, 1st Apr il, there are a few renewals waiting for us. We will see how that progresses. Thank you.

Moderator: Thank you. A reminder to all the participants that you may press "*" and 1 to ask a question. Next question comes from the line of Janish Shah, an individua l investor. Please go ahead.

Janish Shah : Yes, sir. Thank you for being a part of this. And congratulations for a good set of numbers. Just to me get some more understanding on this International Business . Does it mean that the decline, which we have been seeing in the International Business , is going to be divested in the next year, and it will come on the growth trajectory from here on ? That is first question.

Second, if you can just give us some underst anding with regard to the rising interest rate scenario. You mentioned that there is capacit ies available in the global mar

ket. When we look at generally, the higher interest rate scenario would also mean invest capital or the capital getting shrunk from the international market that can happen , because the bond prices generally would see losses with many of the people or many of the competitors in their portfolio.

Again , give us some understanding in the scenario if the interest rates were to rise or I me an more specifically on a 10 -year bond where globally, we are seeing the pressure. If you can just give some understandings , how are we going to navigate through the situation. Will we be benefiting because of our capital capacity available? Thank you.

Ram aswamy Narayanan: Okay. So, on the first point, international growth. Yes, I would agree with what you said there would be growth going forward. In fact, this year, if you see, the reduction in premium was not because we didn't write any business that we w rote previously. There was only one contract, which I have previously talked about, we used to write a contract in the U.S., which was marine and Motor .

And basically, we stopped that in 2021. Till last year, we still got runoff premiums from that , because it's a long -tail class. So, premiums and claims used to come in, in that class till last year. So, the premium was there, which this year, we have not seen, which means that the contracts in that sense, the exposure is completely now over. So , the premium to that extent got reduced internationally because of that one contract. Otherwise, we more or less still wrote the same business that we wrote last year.

Going forward, yes, in '25, '26, you will get to see a higher premium in the international market. Like I said, we have already written about $80 million more, that's about INR 650 crores adding up. Plus, 1st April renewals are still pending. 1st July renewals are still pending. Plus, we also do write a lot of facultative business across the yea r, which I am hoping will increase because of our better credit rating that we have now. So, yes, a simple answer to your question would be the international book would increase going forward.

Second, on the interest rate increase side, I didn't quite unde rstand what you wanted to say, but I am assuming that you are saying that as interest rate increases in the world, there will be less capacity coming into the insurance market. Is that what you wanted to ask?

Janish Shah : Yes. Yes. That's what I wanted to ask.

Ramaswamy Narayanan: Right. So, what I would like to say is, so yes, that would happen in nontraditional reinsurance capacities like catastrophe bonds, index -linked securities , and those kind of things, where the capital market looks for opportunities to get better income for the capacity that they are giving. But I think traditional market really doesn't worry too much about those. What they will look for is the profitability, whether the markets in which they are participating gives them the exposure that fix their risk appetite, plus also gives them the income and the profitability and the loss ratios, which are manageable within their own books.

So, in that respect, I think to a great extent, the market needs to ensure that it is profitable. Like I said, this year, after 2 years of very hard market, as we call it, where the prices were really high in the international market. This year, we saw softening simply because not that catastrophic events did not happen. I think this year a lso, '24 is also, if you see almost $150 billion cat loss market.

But major part of those losses got retained by insurance companies. It did not flow as much into the reinsurance market. Three major events which really hit the reinsurance market, Helene, Milton, and this wildfire, but then this will now be seen more in 2025 rather than 2024.

Apart from that, there were a lot of catastrophic events locally in

Spain, in Italy, in the U.K. and around the world. So, the point is losses do happen, but as long as pricing is adequate, I think capacities will be interested. And that's what we saw early this year on 1st Jan renewals. There was much more capacity than last year available on the reinsurance market and that meant that the pricing was soft. I think going forward, this is what will dictate the capacity availability in the market.

Janish Shah : Okay. And one more question on profitability on the international side. We could understand the adjustments which were going on in the International Business in the l ast 3 to 4 years, where we are trying to book the losses on account of the old contract s. And now that those legacies are now behind, we are still seeing combined ratio in international at 132%.

Could we just get some understanding how is that going to loo k like? I understand predicting the events are very difficult. But I am saying, in general, if we're looking at the kind of underwriting or the quality, which you are saying it's going to be much better. How do we see that combined ratio or what's the expe ctation on the combined ratio on the international side that you think will be , and maybe if you can just give also colo ur onto what are the areas in which you would be exposing yourself in terms of risk management, how should we understand about the Inter national Business underwriting book?

Ramaswamy Narayanan: Okay. So, yes, internationally, if you see the figures, typically for the quarter, that is 31/12/23 , our combined was 158%, which has now come down to 122%. After the period, if you see for the 9 months, we were 145% last year. We are 130% this year. So, there is a market improvement. So, coming back to your question, what is our outlook on this. Our ou tlook is very

simple. We want to reach a situation where International Business ideally should be below 100%.

And that's what we are driving towards. It will take some time. It's a journey. We will need to go through that. What also happens is you need to have adequate premium before you really reach that kind of a combined ratio , simply because if your premiums are low, any one loss can really affect your profit and loss and your combined ratio badly. And that's what we are seeing here.

Overall, the book is good. We are still getting some losses from the previous contract that I talked about. So, that is now waning, but hopefully, next year, we will see the end of that. And that is when we would like to see the combined ratios coming down. Like I said, it is something that we have been constantly doing and combined ratios have come down. I think next year, you will see that this comes down much further.

As to which areas we would be writing in international? Typically, we don't write long -tail classes inter nationally. So, typically, you would find us not writing too much of Motor , not too much of liability, not too much of Health. What we would prefer and what we normally write is property, which is catastroph ic property and aviation, which is written out of our London office because that is the hub for aviation business. We also write marine because it's a worldwide business, so we get to see a lot of good businesses in marine and energy, so we write that as well. This is typically, how we write our business in international. Going forward, I don't see anything changing to this strategy.

Janish Shah : Okay. And lastly, on the domestic combined ratio, it's been more stabilizing , close to 100%, 105%, in that range. Is that the way this business will remain stable? Or there is a room for improvement in terms of this combined ratio. If you can just give some understanding or little guidance on how this book is going to behave? And your choices like how do you fix your businesses in the domestic market? That would have been helpful.

Ramaswamy Narayanan: Yes. So, if you see, we have been continuously improving here also. Over the last 2, 3 years, if you see our combined ratios have steadily come down in the domestic market. We've also, like I said earlier, we have broad -based our book so that we don't really get a shock from one class. This is something that we learned from 2020 , when we used to write a lot of Agriculture business. And when 1 bad year happened, we actually got into a loss -making position.

So, that is something that is very clear in our mind that we will ensure that there is diversification in our book , so that the losses from one can be managed by other. Over a period of time, we have come to a stage where the domestic market is doing very well. We should appreciate that GIC writes a lot of proportional business in the domestic market.

We provide a lot of support and capacity to the domestic market. Now when the domestic market itself i s writing , you are running at 120% combined sort of, for us to be even at this 102%, 103%

range means that we are doing a very good job of managing our risk exposures. You asked whether there is room for improvement, of course. Always there is room for imp rovement. We would always look to go below 100%. We will see how to manage that. Like I said earlier, it's a question of trying to look for opportunities in emerging areas , and being the first to take advantage of that. And since we have our office here, we are based here, we have such a wonderful relationship with all our customers, I think we are in a good position to do that. And going forward, yes, I would hope that you would get to see much better improvement in the combined ratios of the Domestic business also.

Janish Shah : Thank you, sir. Thank you very much.

Ramaswamy Narayanan: Thank you,

Moderator: Next question comes from the line of Sanketh Godha with Avendus Spar k. Please go ahead.

Sanketh Godha: Thank you for the opportunity. Sir, the primary companies are saying that the pricing environment in the domestic commercial lines, especially the Property and Fire segment is seeing a meaningful change compared to what i t was in current fiscal year. So , just wanted to understand the likely positive impact , first of all, whether you are witnessing that trend changing? And second, if it is true, then what is the likely positive impact you can expect to play out in our numbers?

Ramaswamy Narayanan: Okay. Thanks, Sanketh. Yes, you are right that there is a positive change happening in the property class. In that sense, I would say it is coming back to normalcy , because last 9 months, there was a lot of desire to cut prices and ramp up top line, which was done by the primary insurance c ompanies. And we have been in touch with them and guiding them and advising them , what is the best way to go forward.

So, I think from 1st Jan, we have seen prices holding up. There have been no discounts given compared to earlier times. So, in that respe ct, yes, I would say the book would look better. How much better, honestly, we would need to see. And to a great extent, it will also depend on what kind of events happen , because the property book has 2 loss scenarios. One is the risk losses, which comes because of a fire or because of machinery breaks down or things like that. Second and more important category is the catastrophe one where a flood or an earthquake or something like that happens and the losses come up. Like I said, this year, overall, I wo uld say the performance was okay , simply because catastrophic events were lesser in intensity. It affected Motor more than property.

Overall, the property book has shrunk only by about 2% from what I have seen in spite of prices falling by almost 25 -odd pe rcent. Now the reason for that is, I think when people had their budgets, and I a

m talking of the insureds, they had their budgets and when they saw the prices falling, I guess they took higher sum insureds just to kind of ensure that there is no shortage in

what they are buying. So, to that extent, I think premiums didn't fall down, but the overall exposures that we took on really went up, but obviously, the premium rates crashed.

Going forward, I would like to see how this pans out, whether people continue to take a higher sum insured and pay a higher price for it or they are kind of decided that they will pay what they are currently paying , even if it means taking a lower sum insured. This is something that we need to see. This is something that we are talking with companies to understand. But overall, with prices holding up, what would happen is the profitability of this class of business would definitely become better.

Sanketh Godha: Got it. Sir, you said that there is was a price discounting of c loser to 25 -odd percentage. So, when you say the pricing holding up, has it gone back to the previous level, which means there is a 25% price increase to a large extent in the current environment?

Ramaswamy Narayanan: Yes, I would say that. I would say tha t. So, what happens is there is typically a burning price that we look at. So, for a subsection within fire, for petrochemicals, for instance, for hotels or for a housing complex, obviously, rates are different depending on the kind of risks that you are taking on board. So , we typically, having been in this industry for a long time, insurance companies as well as us reinsurance companies, we have adequate data to understand what are the burning costs for each subclass of business.

Now what was happening wa s the price that was being charged was going down much below even the burning cost. Ideally, you should be charging some amount of pricing above the burning cost to take care of your expenses, have some profitability, things like that. That was not happeni ng now. But now at least the pricing is much more disciplined , and at least the burning cost prices are being maintained.

Sanketh Godha: Got it. Perfect. And sir, now given our rating change and kind of solvency we have, the international piece, if I look at 9 months data, we are at 23% of the total GWP. So, should we expect this number to go up incrementally , given the segment still has seen a decline in 9 months compared to last year. So, from a growth point of view, just wanted to understand that the pri ce hike in fire or overseas businesses, adding up together, can we see a mid -teen kind of a growth for FY '26 to come back?

Ramaswamy Narayanan: So, 2 points here. One is whether the skew in the international to domestic will change. So, currently, 77 -23, will that change? I don't think much significantly. And I'll tell you why. In actual numbers, you will see international premium figures going up, right? And that is because we are writing more business , because our credit rating has improved. But what is also happening, what we need to understand is the Indian economy is doing much, much better than the rest of the world. So , we, as reinsurers, get to see much more business in this market than what we can see abroad.

So, while we will continue to look for opportunities abroad, write businesses that we lost due to the rating upgrade, try and get it back and write new businesses there, I think we get to see much more opportunities in India. Now if you see the regulator has come out with that slogan, which says insurance for all by 2047. They are also trying to push penetration levels higher. They have different plans to do that.
All that means that GIC as a reinsurance company gets to see so much opportunity , because insurance companies would obviously write m ore business, a

nd since most of them are unlisted,
they would need capital by way of reinsurance, and we are there to provide that. So , I think in the short and maybe even the medium range, I would expect this percentage terms to remain where they are. But of course, the premium figures will definitely go up.
Sanketh Godha: So, is it fair to say that the growth will come back in teens at least compared to single -digit growth, what we see today?
Ramaswamy Narayanan: I am sorry, I didn't get that.
Sanketh Godha: Sir, I was asking whether the growth will come back to mid -teens kind of a figure , given the environment is a little better , compared to single -digit growth what we are experiencing now?
Ramaswamy Narayanan: I would say so. I would say so. I think long term, that is what we would be looking for mid-term, that's what we will be looking for. What you should also realize is even though there is a single -digit increase that we are seeing this year, this really come after years of degrowth. So, it also means that internally, there are a lot of changes that we have had to do to ensure that this growth happens.
But having done that growth, having shown the markets because initially, even other reinsurance companies would be wondering whether we are really serious about growing, whether we should be shown business. But today, I think we have gone past that challenge. Today, the market knows that GIC is there to support. GIC is hungry for business. So, obviously, going forward, yes, there is a chance , and if opportunities present themselves, we definitely could look at double -digit growth happening in the next few years.
Sanketh Godha: Got it, sir. And the third question, what I had was, sir, how much exposure we have in Domestic business to long -term plans. Sir, the reason why I am asking these questions is that because regulators or primary companies have asked to recognize premium on 1/n basis, especially the home dwelling and long -term Health plans and PA plans will get impacted. So , I think these all 3 products are heavily reinsured products. So, from that perspective, just wanted to understand how much is our long -term in Domestic b usiness, p oint number one ?
And second, whether the accounting treatment will also change given the premium will be recognized by the primary companies on deferred basis, whether when we pay reinsurance

commission back to these guys , will also be in a defer red way or you will choose to pay it upfront to the practice what you are doing today?
Ramaswamy Narayanan: Okay. So, the first one on the long -term policies. Actually, it's not a major part of our book. If you see long term would possibly be in Motor , in housing, and maybe some of the Health , Health , even not that much. So , if you look at our book, Motor typically comes a lot from Obligatory .
So, yes, there will be some differentiation there. We don't write too much of long -term housing as of now, sim ply because we were worried about how the exposures pan out , because initial period, you get the premium, the exposures are low. And then as the years pass by and you continue writing, the exposures go up, your protection costs go up, but actually, there i s no income.
So, keeping all this in mind, we ha d not written much of a long term. Now that IRDA is clarified, that's an area we could look at. But then since we are starting afresh, that wouldn't affect us much. I would say the same for long -term PA and Health , not much of an effect. So, overall, from our books, I don't see much of a problem. Compared to the companies, we may not have that kind of a problem.
Second, on the accounting side, yes, of course, we would follow what the insurance company is doing . And so, since the regulator has said it must be 1/n kind of accounting. We will also do the same thing.
Sanketh Godha: Got it.

Got it. And lastly, sir, your Health honestly has done phenomenally well in the current year. For 9 months, the growth is almos t 87-odd percentage in the Health . So, whether this INR 7,000 crores of business what you did in third quarter, this will sustain or it was a one -off opportunity, what you got and you did it? And how confident you are that these numbers will repeat in next year?

Ramaswamy Narayanan: Pretty confident because this is not just a one -off opportunity that we looked at. We started it this year. Like I said, this year, the focus was, again, last year having seen 9 catastrophic events in India, which took away almo st INR 3,300 crores, both in terms of paid as well as provided. We said that has really shaved off 10% of our combined. If those events had not been there, we would have been at 102% instead of 112%. But then we also know the inevitability of these catastr ophic events. We cannot say that we can avoid it.

Having said that, the next best thing to do was increase your premium in classes which are not cat related or which are not cat exposed. And that is what we did this year. So , we focused on Health . Normally, these are retail Health classes, which normally don't come out into the reinsurance market , because these are small -ticket businesses and these can be retained by the companies themselves.

But then we also spoke to companies, understood what th ey are doing, understood where they needed capital and capacity, and that is where we have engaged with them and written this business. So , I think we don't see a challenge in retaining this. But having said that, every business must be profitable. If we f ind that in the renewal stage, some of these businesses the way they structure it is not profitable, we will more than happily come out and look for other opportunities.

So, I think we're still at a very early stage this year because we have still not sta rted the renewal processes. We're still in discussions with companies. But what I can promise is that we will be positive. We will look for business opportunities and we will write the businesses that fit our risk appetite and add to our profitability. So, growth is something that we are looking for. And in case the Health business that we are currently writing match what we are looking for, we will , of course, continue writing that.

Sanketh Godha: Got it, sir. And maybe last one from my side. Sir, in fourt h quarter, typically, if I look that trend from FY '22 onwards fourth quarter, invariably, we have a provision reversal and the combined meaningfully goes below 100 percentage for the fourth quarter. So, given the trend, is it fair to assume that we might see a similar trend in fourth quarter. And so consequently, the 110% combined what you reported for the full year, might be maybe meaningfully lower compared to what you have reported for 9 months?

Ramaswamy Narayanan: It could. So, what you have said is a bsolutely right. Our fourth quarter is always our best, and this is internationally so. If you look at it, Jan, Feb, March is normally the quarter where you don't get any catastrophic losses. In our case, the advantage also is that it is the last quarter o f the year. So , all the premiums also come in. Otherwise, for previous years, if you see, for instance, we have got currently 9 months premium, but the claims we have provided 100%. So, that is the advantage we get when we have the fourth quarter, the prem ium comes in. So, the entire 100% premiums have come in, the losses we have already provided for. So, which is why the fourth quarter looks so good.

So, going by what we have seen in the past, how we look at the results, I would expect a meaningful reduction. At this stage, I will not be able to tell you how much we will need to wait and watch there. But then if you see the guidance that we

had given last year or early in April
was that the focus is not to reduce the combined ratio in one go and come to 102% in 1 year. No, that was never the focus. The focus has always been to reduce it meaningfully over the midrange. So, over maybe next 2, 3 years, reduce it by 2% each, come to about 105% , and then start with struggle to really come furth er down , because that will mean really putting in place a lot of risk management features to ensure that our book is well balanced. And that is what we are currently doing.

So, beginning of this year, we had said we were at 112% last year. We would want to come down below 110%, and I believe we are on track to do that. If we are able to do better than that,

great, we will, of course, accept that. But when the focus remains that w e want to reduce by about 2%, 2.5% year -on-year as long as something major in terms of catastrophe doesn't hit us. I think we should be on track to do that.

Sanketh Godha: Perfect. Perfect, sir. Thanks for your answers.

Ramaswamy Narayanan: Thanks Sanketh.

Moderator: Thank you. Next question comes from the line of Karthikeyan K, an individual investor. Please go ahead.

Karthikeyan K : Hi, everyone. Good morning. And thank you for the opportunity. So, I have 2 or 3 questions. So, government in the budget has announced that there will be a 100% FDI in the insurance

sector. So, what will be the impact for us? What kind of growth that will give us with 100% FDI in insurance?
And second one is, our employee cost has degrown for the 9 m onths, right? It has come by close to like more than 20%. Any reasons, our total employee strength has come down. What are the reasons for that? And the third one is?
Ramaswamy Narayanan: Yes, Karthikeyan, got your first question. What's your second one?
Karthikeyan K : So, second one is the employee strength, right, what's the employee strength currently? Because the cost has come down by like 20% in the 9 months.
Ramaswamy Narayanan: Okay.
Karthikeyan K : That is the second question. And the third one is, s ee, we have Obligation and Non-Obligation business, right? So, what's the percentage , how much is Obligatory and how much is Nonobligatory ?
Ramaswamy Narayanan: Obligatory and Nonobligatory . Okay. Okay. Okay. All right. Anything else?
Karthikeyan K : That's all, sir.
Ramaswamy Narayanan: Right. So, your first question or maybe I can take the Obligatory , Nonobligatory , that's simple. So, typically, overall book of INR 30,000 crores, 30% is Obligatory , 47% is Nonobligatory domestic s, and 2 3% is foreign. In terms of figures, INR 14,443 crores is Nonobligatory , INR 9,215 crores is Obligatory , right?
Now the next one was on the employee numbers. So, currently, so if you are looking at it from last year, I think when last year ended, we were at about 380 employees, right? So, we have already had one recruitment process. We are currently at 458 employees.

We have also started another recruitment process in January, where people would hopefully join in the next financial year. That is another 110. So , we are actually ramping up our employee forces , because some of the elderly , older employees are retiring as well. So , we are ramping up our employee numbers. That's number two.
And on the 100% FDI thing, well, to be honest, that's a very positive thing for us simply because if there is 100% FDI and if more insurance companies come into this market, then obviously, business will increase, penetration levels will increase. And the moment that happens, obviously, our reinsurance revenue will go up , because typically, no insurance company keeps everything to their net. They look for reinsurance, they ride on the shoulders of the reinsur ance, they write on the capital of the reinsurer

s. So, for us, it is positive.
Now having said that, I think w e need to be a little focused on what is really happening. If you go by past, then the FDI got increased from 49% to 74%. And now I am talking only about the nonlife insurance companies , because that is where most of the reinsurance premium comes from.
Now in nonlife companies, only 2 companies, the foreign partner increased their share beyond 50%. They didn't even touch 74%, but at least they went from 49% and they went beyond 50%, only in 2 companies. Rest stayed where they were. So , my point is, I am not still very sure that just this increase of FDI will bring in more players.
My take is that this market must look profitable. When insurance companies do their market study, they should have the feeling that when they enter this market, they will be able to make money. Otherwise, why would anybody put their capital here, number one.
Number two, I would expect that niche areas, and I have talked about this earlier also, maybe areas where new business is coming into this market , and people who have expe rience of that in other markets, yes, there is a big chance of that happening of those companies , opening up offices here and providing their expertise to the market. So, that is again positive.
Finally, I think at the end of the day, the market is growin g. If you see year -on-year, the nonlife market grows at 12% to 14%. But in spite of that, the penetration levels are really coming down or they are at least not going up. So, somewhere, I think there is a need for insurance companies to start expanding the ir horizon, start expanding their geographical area of business, ensure more people come into the ambit of insurance.
Whether you need new companies to do that, I don't think , even existing companies can do that. But yes, if there are more companies in thi s market and they try to look at different areas of business and manage to increase the penetration, I think it is positive for the market. And as reinsurers who have our focus in this market, it is positive for us.

Karthikeyan K : Okay. Got it, sir. See one basic question. The general insurance part, the premium ratio to GDP is close to 1%. But if you look at the developed markets, right, that is like more than 5% or 7% , and in the U.S. and all it is almost 10%. So, what's the reaso n for the low percentage of GDP? What's the reason basically?

Ramaswamy Narayanan: What it means, Karthikeyan, is that we take insurance for 2 reasons. One, if it is compulsory, if it has to be taken, we take. Two, if there is some tax benefits involved, w e take. Otherwise, we don't take. So, as a community, as a nation, we possibly don't look at what is our insurance requirements , and then buy for that. Only if we are pushed to a corner, either legally where we have to buy or typically, companies buy becau se somebody has taken a loan and the banks insist that they must have a cover, they buy a cover.

I think that has to change. As a country, we need to realize that there has to be a need or there has to be a need felt by individuals to transfer the risks th at they have in their lives to insurance companies.

Today, unfortunately, also what is happening is a major part of our population is not in a position to afford to pay the premium. They are still trying to ensure that their life works, they are able to do the basic of living their life rather than worrying about risks that come into their life, which is why you see that when a catastrophe happens in India, the protection gap is huge. The insured losses are hardly 8%, 8% to 10%. 92% is your protection gap.

And this is basically made up of people who cannot afford. Yes, there will be lot of people who can afford, but they don't buy. But majorly, this made up of people who cannot afford to buy insurance. And what all this leads to

is, and you've seen that happ ening. When a catastrophe happens, since people have suffered because of that, the government doles out money in form of grants and things like that to ensure that they are able to come back and live a decent life.

Now we are in touch with the government. We have been in touch with other stakeholders like NDMA, National Disaster Management Agency. We are trying to get into a situation where we are telling the government, you obviously are paying out money at the end of a n event. Rather than doing that, why don't you kind of cover the entire country by buying an insurance product? If you buy an insurance product, at least you know that you don't have to step in when the catastrophe has happened. The insurance companies will manage that.

The other good point i s once the insurance industry gets into this business, they will go in to find out how they can reduce the losses. Obviously, in a catastrophe, you cannot stop a catastrophe happening. But then once the insurance industry is involved, we will look at how w e can reduce these losses by putting up positive things on ground to ensure that losses , even if the event happens, the losses are not high enough.

So, I think these are things that we need to do. So, obviously, once this happens, instead of doling money o ut at the end of the event, if governments buy an insurance cover, obviously, your

penetration levels also go up. It means as a country, everybody is covered. I think this is more or less in sync with what the regulator has brought out as a slogan, which says insurance for all by 2047. So , I think every individual in this country must have either a cover, which p rotects them from catastrophes and tragedies. They must have something to protect their life. In case they own a Motor , they must have a compulsory Motor insurance. These are areas we need to work. And I think the insurance industry is working very well to wards that.

Today, even though Motor insurance is compulsory and obligatory for people to buy a third - party cover, there are many cars running on the roads, which are not insured. So, again, I think it's a case where the government plus the insurance indus try must work together, share data and ensure that every Motor vehicle is brought into the ambit of insurance.

So, I think it's a work -in-progress. Like I said, 2047 is the target, but you'll find a lot of work being done now because the regulator is also pushing to ensure that coverage is increased and penetration levels go up. So , I think it's a matter of time before you see these penetration levels going up.

Karthikeyan K : Sir, one follow -up question regarding to the employee addition, see you have added the 70 and you will be adding another 110. So, the number is almost going 50% up more than like last year. So, how are you training them and bringing up to speed in terms of productivity and all that?

Ramaswamy Narayanan: Yes, yes. So, we have an internal system to do that. We've already started HR initiative, which is about 1.5 years old , where we have looked at various things, better recruitment, better retention of people, ensuring that they are well trained, so that they understand the job, they get en thused with the job that they are doing. This is part of something that has been happening for the last 1.5 years.

So, I think going forward, you will see a much better workforce here. Like I said, these are all youngsters. So , we need to understand how to keep them active, how to keep them engaged, how to keep them interested in what they are doing. So, obviously, that is a challenge, of course, but that is something that we are working towards.

Karthikeyan K : Are these new joiners experienced with the ind ustry or like they are new to the industry?

Ramaswamy Narayanan: So, it depends, it depends. So , typically our recr

uitment process is such that anybody can apply.
So, we do have freshers who are applying straight from college. So, I have seen some of the new recruits who have joined recently. Some of them were working in insurance companies, some of them were probably working in banks, and they preferred to come to GIC looking at what we have to offer them in terms of a career.
So, yes, they could be totally different. But the good point is, Karthikeyan, if you look at it, compared to the times when I joined, 30, 35 years back, it used to be a selection where we all

used to be freshers. I can speak for myself, I didn't understand a word of insurance when I came into this company, right?
Compared to that, today, the people who are joining, these are all people who are very clear , they want to follow this career. So , I get people who have done risk management courses. I get people who have done their graduation in risk management. And that is good because they understand, I don't have to teach them the basics. They understand what risk management is all about. All we have t o teach them is how reinsurance is different from insurance , and how this company does things differently compared to some other reinsurance company.
And that I said, is part of the training and that part of the on -the-job training also that they get when they work with seniors who have been working in this industry for long. They understand how these things get worked out.
But I see this positively because now I see people don't come into this industry as a mistake, which used to happen 35, 40 years ago, w here people used to apply to banks, to us or they were probably trying their UPSC exams and they came here. But this doesn't happen now. Now these are people who are seriously looking at having a career in insurance and reinsurance.
Karthikeyan K : Sir, one final question. See, the combined for domestic has been was contained now, whereas the foreign portfolio is like almost like 130%. Now with the rating upgrade and our revenues growing from the financial year, what will be the combined going forward looks like, both for domestic and international business?
Ramaswamy Narayanan: So, like I said, domestic, we have been slowly creeping up, bettering our combined ratios. Currently, if you see for the quarter, the domestic combined is 102.76%, which is really good. Like I said, when the market is running at a combined close to 118% or 120%, for us to be doing 102% means that we have really managed our exposures well. We've really managed the kind of business that we are writing.
So, that we will continue to do. I am not saying this is the end, and we are satisfied. We will obviously want to do better, and we will do that every quarter, you will see some improvement happening. Yes, there will be some quarters when a catastrophic even hits some part of India. Yes, there could be some deviation. But otherwise, I think we are more or less on track to improve our combi ned.
On the foreign, like I said earlier, we obviously had our challenges for 2 reasons: one, because the credit rating was not there. So, the kind of business that we could attract was not the best. Number one.
Number two, because of the cascading effect of the U.S. contract, which even though we had stopped in '21, there was a run -off happening, which was it was long -tail classes of marine and Motor . So, honestly, that really upset our combined ratio there. Now that is in the process of

being slowly elim inated. Like I said, this year, we didn't see the premium coming in for the runoff, which means that the business really now the exposures have gone down. But yes, there are still some outstanding claims there, which we continue to see. But I think we are in a much better control of tha

t business today compared to earlier times.
Going forward, once this particular contract really goes away from our books, and since we have now got our credit rating back, we get to see and write much, much better businesses . The good point is we have fantastic relationships in the reinsurance market abroad, which even with the rating downgrade, we have managed to maintain. So , I think going forward, you will get to see us writing better and more business internationally , and also ensure that the combined ratio comes down.
Karthikeyan K : Sir, one last question, if I may. See, the aviation accidents that happened in the overseas, South Korea as well as in the U.S. So, what will be the impact of those incidents to our book? Are we having any impact or what will be the quantum of the impact?

Ramaswamy Narayanan: Yes, yes, there are impacts. There are impacts. I think both South Korea and the American Airlines, we have impact, but these are small ones. The U.S., we have already pro vided about $7 million for the U.S. event, slightly lower, but you can take it at about $7 million. Even on the South Korea, we have a very, very small share. But again, like I said, these are small losses. This will really not swing the needle in a big wa y at all.
We are one of the bigger aviation underwriters in the world. And even with the rating downgrade, we manage to write quite a bit of business. Going forward, of course, with the rating upgrade having happened, we will get to see much more business. Advantage is, if you look at it, aviation is that way quite a claim -free kind of a class to write, the safety factors are very high. But yes, there will be losses like what has happened here.
But overall, once you start writing a good book of business, on ce you get an optimum book of business, then taking care of such losses would be much easier. So, I think in the aviation, we are not in a very bad state , because of this particular losses. But the problem with aviation is that since it is perceived to be a very safe class in terms of number of accidents , compared to the number of flights taking off , what happens is the rates are very, very competitive. So, that is something we are looking at to see how we can maximize the rates and get better rates from the market, but this particular loss will not affect as much. Yes, Karthikeyan, anything else?
Karthikeyan K : That's all, sir. Thank you, and a ll the best.
Ramaswamy Narayanan: Thank you. Thanks a lot.
Moderator: Next question comes from the line of Aditi Joshi with JPMorgan. Please go ahead.
Aditi Joshi: Thanks for taking my question. I know we are up on time. Just a very quick one. On the Health side, if yo u are able to provide a little bit detail as in the growth was mainly driven by the Retail

segment or the Corporate segment? And the reason I am asking is that the Corporate segment at the moment in the primary market is undergoing a little bit of pricing pressure. So, if that is driven by the corporate, then how is your outlook on the underwriting on the profitability side of the business? Yes, that's all. Thanks so much.
Ram aswamy Narayanan: Yes. Thanks, Aditi. But yes, so the increased business that you are seeing in the Health side is basically because of retail. It's not because of the group , because group is something that we avoid. We do, of course, get the 4% Obligatory on that. But other than that, typically, there are no treaties for group, so to say. Most of the bigger groups normally come out in fact , and we do look at it, but then not many of them we write. So , in that respect, our book doesn't have much of group ba rring the Obligatory . The growth that you have seen in retail is basically the retail Health that we have written with stand -alone Health Insurance companies.
Aditi Joshi: Okay, that’s very clear. Thank you

so much.
Ramaswamy Narayanan: Thank you.
Moderator: Thank you. Next question comes from the line of Janish Shah, an individual investor.
Janish Shah : Yes, sir. Thank you for opportunity. Just a couple of questions. Just a couple of questions. One, on FX, basically, now that your exposure on the i nternational side probably will be increasing, how are you going to manage the currency risk? Basically, what's the policy laid down for managing the currency volatility? Because one is generally, you have been taking a risk on the insurance , the underlyin g event, that is one. But on the top of it, there is also a currency movement, which are very volatile in last 6 months to 1 year. And if this continues, how are you going to manage that?
And secondly, what would be the general tax rate we should go by? Like I am saying you have been in the range of around 18% on a consolidated basis. So , if you can just help us with to understand it.
Ramaswamy Narayanan: Yes. Thank you. So, on the currency one, so what happens, Janish, is we don't really bring the cash here and convert it into Indian rupees, okay? We typically maintain foreign accounts in London, where we have 3 different currencies, USD, Pound and Euros. And this is where th e entire foreign business premium goes and sits. So , we don't really convert it. So, there is no currency volatility that we are looking at.
It's also easier for us because then we don't have to actually convert it back into the currencies at the time of c laim payment because normally, when the claims come, we need to manage that very, very quickly.
So, with all that in mind, we have these bank accounts in London using which we manage our foreign currency. So , there is no volatility. What you see as currenc y loss or gain in our book is basically paper, just when we convert at the end of the quarter from the respective currency to

India, to INR. That is what you see. But it's purely on paper, there is actually no losses. On the tax rate, I'll ask my CFO to sp eak to you, Mr. Rajesh Laheri.

Rajesh Laheri : Yes. So, current tax rate is 25.06%. But you see from the profit and loss account, which is coming to around 21% , it is mainly because of … I will give you. Yes. So, effective tax rate, which is coming there is 22.7%. Tax risk is 25%. The difference is coming because we are getting ATM tax reduction benefit on dividend around INR 827 crores. Is this okay?

Janish Shah : Yes. So, the normal tax rate will be continuing to be in the range of 25%.

Ramaswamy Narayanan: Yes.

Rajesh Laheri: Yes.

Janish Shah : Okay. Thanks.

Moderator: Mr. Shah, are you done with the questions?

Janish Shah : Yes, I am done. Thank you very much.

Moderator: Thank you. Next question comes from the line of Dharamveer Santkumar Gupta , an individual investor.

Dharamveer S Gupta: Hello, sir. Just now I got the bifurcation from your side on the domestic as well as Obligatory and Overseas segment. Can you throw some light on the profitability or the margin on all these 3 segments?

Ramaswamy Narayanan: Yes. Okay. So, like I said, 30% Obligatory , 47% Nonobligatory Domestic , 23% Foreign . So, each are different businesses actually. So, Obligatory , what it means is, I get 4% of the entire market. So , I get to see businesses which normally doesn't come into the reinsurance market. Like I said earlier, retail Health , for instance, normally gets retained by the insurance companies. Retail Motor , for instance, normally gets retained by insurance companies. So , there are a lot of individual businesses, long-term housing also to a great extent, as long as they can manage it, they retain it. So , with all this, what happens is, typically, reinsurers like us, would end up reinsuring only corporate business, which is the big industries, the big shipping vess els, the big hotels and thi

ngs like that.

So, what would happen is, for a reinsurance company, typically, when we talk about getting the spread and the diversification to manage our business, a big part of the chunk of the business doesn't come to us. If you see, Health and Motor together makes up almost 80% of this domestic insurance market.

Now Obligatory , that way works very well for me , simply because it gives me a complete picture of the market, right? But again, the disadvantage there is it is Obligatory . So, obviously, I cannot pick and choos e from good insurers or bad insurers. I get the good, bad, ugly. The entire business comes into my book. But that is up to us to manage it properly so that overall, it works well for us. So, that is Obligatory .

Non-obligatory domestic, well, it's a busines s that we pick and choose. We know which businesses work well. We know which businesses are loss making. So, we always try and write only the profit -making business.

So, it is a business which should work well, which continues to work well for us , simply b ecause it is a business that we have chosen and written to our books. Similarly, with international. International, again, the business that we write is normally a good quality business, barring for couple of mistakes that we made in previous years, which happens. In every portfolio, these happen. So , if you look at it from a performance perspective, each of them have a different role to play, and that is why we continue to write each of them.

The profitability would vary from business to business. I would expect that the Obligatory profitability would be the lowest amongst them, simply because it kind of gives me a huge chunk of premium at one go, and it gives me businesses that I otherwise do not get to see. So, overall, that is how it would work. I think the Nonobligatory businesses, I would expect them to be more profitable. The Obligatory , at least it should breakeven for me.

Dharamveer S Gupta : Thank you, sir.

Ramaswamy Narayanan: Thank you.

Moderator : Thank you. Ladies and gentlemen, as there are no further questions, we have reached the end of question -and-answer session. I would now like to hand the conference over to the Management for closing comments.

Ramaswamy Narayanan: Thank you, everyone. Thank you for yo ur support, as always, and your questions , because these questions really make us think and make us do things differently , and rise to your expectations. We are very grateful for your support. And hopefully, we would have been able to allay your fears abou t how we are managing the business that we are writing , and how going forward, as a company, as a business, as a portfolio, we should be better than what we were earlier.

And hopefully, going forward, we will get to see much better profitability, much bett er combined ratios , and much better business. Thank you once again so much for coming in and spending

your time with us. Have a great day ahead.
Moderator: Thank you. On behalf of GIC, that concludes this conference. Thank you for joining us. You may now d isconnect your lines.

Call: Jun 2025

Ref. No.: GIC-HO/BOARD/SE -Q4-T/65/2025 -26 Date: 3rd June 2025

To, To,
The Manager The Manager
Listing Department Listing Department
BSE Limited The National Stock Exchange of India Ltd.
25th Floor, Phiroze Jeejeebhoy Towers Exchange Plaza, 5th Floor, Plot C/1,
Dalal Street G Block, Bandra Kurla Complex
Mumbai – 400001 Mumbai - 400051

Scrip Code: (BSE – 540755/ NSE – GICRE)

Sub: Transcript of conference call held with Investors and Analysts to discuss the audited financial results for the quarter and year ended 3 1st March 2025

Dear Sir/Madam,

In compliance with Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached herewith Transcript of the conference call held with Investors and Analysts on Wednesday, 28th May 2025, to discuss audited Standalone and Consolidated financial results for the quarter and year ended 31st March 2025.

Kindly take the above information on record.

Thanking You.

For General Insurance Corporation of India

(Satheesh Kumar)
Company Secretary & Compliance Officer

Encl.: A/A

"General Insurance Corporation of India Q4 & FY
'2025 Earnings Conference Call "

May 28, 2025

MANAGEMENT : MR. HITESH JOSHI – EXECUTIVE DIRECTOR ,
MR. S.K. RATH – GENERAL MANAGER
MR. SANJAY MOKASHI– GENERAL MANAGER &
CHIEF UNDERWRITING OFFICER
MS. RADHIKA RAVISHEKAR – DEPUTY GENERAL
MANAGER & CHIEF INVESTMENT OFFICER
MR. RAJESH LAHERI – DEPUTY GENERAL MANAGER

MR. SURESH SINDHI – APPOINTED ACTUARY , LIFE

Moderator: Ladies and gentlemen, good day and welcome to the General Insurance Corporation of India Q4 FY '2 5 Earnings Conference Call.
As a reminder, all participant s' lines will be in the listen -only mode . And there will be an opportunity for you to ask questions after the presentation conclude s. Should you need assistance during the conference call , please s ignal and operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded.
I now hand the conference over Ms. Nikita from E&Y . Thank you and over to you , ma'am.
Nikita: Thank you, Manav. Good morning to all the participants on the call . And thanks for joining Q4 FY '25 Earnings Call for General Insurance Corporation of India.
Please note that we have mai led out the Press Release to everyone and you can now see the Results on our Website , and it has been uploaded on the Stock Exchange as well. In case you have not received the same, you can write to us and we will be happy to send it over to you .
Before we proceed with the call, let me remind you that the discussion may contain forward -looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with the businesses that could cause fu ture results, performance or achievement to differ significantly from what is expressed or implied by such forward -looking statements.
To take us through the results of this quarter and answer our questions , we have with us the management of GIC represent ed by Mr. Hitesh Joshi – Executive Director , and other top members of the management. Please note that CMD is not available for call today due to unavoidable travel plans. We will be starting the call with a brief overview of the quarter gone by, which wil l be then followed by the Q&A session.
With that said, I now hand over the call to you , sir, Mr. Joshi and. Over to you , sir.
Hitesh Joshi: Good morning, ladies and gentlemen. Thank you for joining us today for the Earnings Call . I am pleased to present t o you GIC Re's financial performance for the 4th Quarter of FY 2 025.
In an environment marked by macroeconomic volatility and evolving industry dynamics , our performance stands as a reflection of GI C Re's enduring strength, strategic foresight and commitment to core reinsurance principles. As a global reinsurer, we recognize that our role is inherently tied to managing uncertainty, balancing risk with resilience , and opportunity with discipline . We remain steadfast in our belief that effective risk management, thoughtful diversification and discipline d underwriting forms the cornerstone of sustainable reinsurance practice.
While catastrophic events remain an inherent part of our business landscape, we cont inue to approach them with prudence, supported by risk assessment frameworks and the long-term

vision of value creation. Our consistent focus on improving portfolio quality, sharpening of our strategic direction and aligning our operations with market real ities have enabled us to navigate complex market conditions , without compromising on underwriting integrity. We strive to maintain a healthy combined ratio and outcome that stems from deliberate choices and an unwavering focus on operational excellence.
For FY '2 5, the combined ratio stood at 10 8.8%. This disciplined posture has not only fortified our financial position but has also deepened our understanding of market cycles and our own risk appetite. It is this clarity that positions us well to engage w ith both current challenges and future opportunities with confidence and purpose.
We now look at some of the key highlights of our financial performance :
Gross premium income for Q4 FY '25 stood at Rs. 10,367.08 crores

compared to Rs. 8,723.65
crores i n the corresponding period of the previous year. Investment income for the quarter stood at Rs. 3,903.02 crores vis -à-vis Rs. 3,036.52 crores for the corresponding period.
The income claim ratio for the quarter was 82.2% as against 68.9% of the corresponding quarter of the previous year. Combined ratio for the quarter stood at 103.56% compared to 89.26% for the corresponding period in the previous year. Adjusted combined ratio, factor ing in policyholders ' investment incomes stood at 85.79% for FY '2 5 as compared to 86.24% in the previous year.
Profit before tax stood at Rs. 2,922.66 crores for Q4 as compared to Rs. 3,171.33 crores in the corresponding period of previous year. Profit a fter tax was Rs. 2,182.88 crores as compared to Rs. 2,642.47 crores in the corresponding period.

The solvency ratio for the year end improved to 3.7 0 as compared to 3.25 for the previous year.
Net worth excluding fair value change was Rs. 43,106.52 crores on 31 /3/25 as against Rs.
37,581.78 crores in the previous year end . Net worth including fair value change stood at Rs.
83,224.33 crores as on year -end compared to Rs. 81,330.25 at the pr evious year end.
On the premium breakup :
Domestic premium for the year FY '2 5 is Rs. 30,662.44 crores and the international age Rs.
10,491.51 crores . The percentage split is domestic 75% and international 25%. The domestic
premium for the year grew by 18.8%, while international business witnessed decline of 7.8%
over previous year.
While underwriting profitability remains at the core of our strategic focus, our pursuit of
excellence combined with targeted initiatives and a prudent approach to risk has reinforced the
strength and stability of our overall performance. This positions us well to seize opportunities
that are not only aligned with our risk appetite but also support our long-term vision for
sustainable growth.

As we look to the future, our priorities remain clear , to uphold underwriting discipline, enhance
operational efficiencies , and deliver enduring value to all our stakeholders. I would like to take
this opportunity to express my sincere gratitude towards shareholders , clients and employees for
their continued confidence and support.
With this, I conclude the remarks and open the floor for Q&A. Thank you.
Moderator: Thank you very much , sir. We will now begin the question -and-answer session. We have a first
question f rom the line of Sanket Godha from Avendus Spark . Please go ahead.
Sanket Godha: Yes. Thank you for the opportunity . Sir, I have a few questions. The first question is on the
growth, especially on the international business in the 4th Quarter , if you look at the number's
year-on-year it has declined , but in the 4th Quarter the growth is around 35%. So just wanted to
understand this gr owth is sustainable and how much it is driven by any pricing environment
change in Jan renewals ? Or because of your rating change you probably will have more contracts
that contributed to the growth. So if you can split this growth basically led by price h ike, rating
change , and maybe volume growth, that will be useful sir.
S.K. Rath: Hello, this is S.K. Rath, GM Reinsurance. I would answer to the growth . The 4th Quarter growth
is mainly resulting from the rating upgrade of G IC wherein we got the rating upgrade in the
month of November '24. And that has been passed on to our insurance and reinsurance . And
based upon the information , we are able to write some of the new accounts in the January
renewal , and that has catered to th e growth in international business in the 4th Quarter .
Sanket Godha: And any benefit of pricing environment changing with respect to --
S.K. Rath: Pricing, I would say pricing international market what I saw in the 1st January renewal is quite
soft, so f

ar direct market is concerned . And both in domestic and foreign, it is quite soft . Except
for the accounts where there are some losses , and those treaties particularly , the non -proportional
treaties w ould attract some of the loadings ranging from 10 % to 15%. Otherwise the market has
gone a bit of soft in comparison to the previous year.
Sanket Godha: This is only with limit to international business you are saying , right, sir?
S.K. Rath: Yes.
Sanket Godha: Okay. And sir, then this 34% growth what you r eported in 4th Quarter , because of the rating
change can we assume this growth is sustainable for FY '2 6 fully?
S.K. Rath: Yes. Now that we got our rating back and the international market is aware of it , and no doubt
they are coming and offering the new accounts to us , or wherever we lost the accounts we are
trying to regain them. So naturally this process will continue going forward. And o ur
international branch, our branches are also likely to get the b enefit out of this rating upgrade .

Sanket Godha: Got it , sir. And sir, we still have a higher combined ratio in international business 121%, though
it is improving every year. So with this rating upgrade , any out look you want to give this 121 %
can improve to what extent in '26 because of you winning better contracts?
S.K. Rath: If you see , in comparison to last year our international business and the rating, I mean , the
combined ratio has actually come down in comparison to the March '23. If you look at March
'24, it was something 108% and now that has come down, incurred claims ratio has come down
to 100% this year. So naturally the combined is in addition to the normal claims , we add the
other expenses and commission. That's why it is slated at a higher level. B ut going forward, yes,
we will try to improve further and we would like to follow the underwriting , this means that we
have been following . And we will also look at the i mproved market and international markets

where we can improve the combined ratio.
Sanket Godha: Got it , sir. And second one more question which I had sir is that , there is a lot of news regarding that obligatory business could be further reduced from 4 %, because in the news there are many articles saying that the general insurance industry is making a representation to lower it for GI C Re, obligat ory business to be lowered . So if you have heard anything from government or I RDA on those lines, any waterf all what they have given that how gradually it will be reduced or it will be holding up at 4 % itself ?
Hitesh Joshi : We have no information or advice from either the regulator or the ministry. I think these are the usual efforts made by the industry, and particularly certain cedents , so which makes the news . But we have no information, no official news either from the regulator or from the ministry .
Sanket Godha: Okay , sir. And sir, if you if you can give your obligatory bu siness, probably combined ratio or loss ratio compared to the company average or domestic business average loss ratio or combined ratio, that will be useful , just to understand whether obligatory is much more profitable compared to overall company 's domest ic business.
Hitesh Joshi : Not really. See, the point is that obligatory would constitute say something like 30% o f our book. And there is always a risk return trade off , so it is not correct to say that this is more profitable . And given our focus on underwriting discipline, our rest of the book is also improving not only domestically but also for international. So , there should not be any concern on that count that profitable business will go away. We are continuing to improve th e quality of the rest of the portfolio.
Sanket Godha: Got it , sir. Sir, I was asking the breakup of domestic business and international business combined ratio i

nto loss ratio and expense ratio for the full year.
Sanjay Mokashi : Sanket, this is Sanjay Mokashi , General Manager Reinsurance department. The loss ratio for the domestic portfolio annually is at 8 5.3%. And for foreign business it is 98.9%.
Sanket Godha: 98.9% and 85.6 % you said, r ight, sir?

Sanjay M okashi : Yes. Sorry Sanket, I will correct myself. It is 96.5 % for foreign.
Sanket Godha: 96.5% for foreign for the full year , right, sir?
Sanjay Mokashi : Yes, yes, full year .
Sanket Godha: And domestic you said 85.6 %, right sir?
Rajesh Laheri : 85.33 %.
Sanket Godha: Okay , got it, sir. And sir, in the result I can again see that you made a catastroph ic reserve of almost Rs. 6,000 crores, which you also did almost similar number last year.
S.K. Rath: Rs. 600 crores.
Sanket Godha: Sorry, Rs. 600 crores. So just wondering , sir, suppose if a catastrophe event happens you will try to take the hit through reserves in the future ? Or you will continue to route it through P&L just to protect the P&L . I still want to understand the logic of creating so much of CAT reserves incrementally in in that sense.
Hitesh Joshi : So this reserve is being created in line with the CAT reserve policy as approved by the Board and we plan to build up this corpus to some thing like an amount of Rs. 5,000 crores . Till that corpus is built, we do not plan to recover or withdraw draw down from this reserve. It will be straight to the P&L.
Sanket Godha: Okay . And th ese cat reserves are used in solvency calculations , sir?
Rajesh Laheri : No, it is e xcluded for the purpose of available assets.
Sanket Godha: Okay , got it. And last one sir, if you can break down your investment income for the full year and the current quarter into capital gains and the regular dividend /interest income.
Radhika Ravishekar: Hello, this is Radhika Ravishekar here, the CIO . The breakup is, for the full year investment income stands at Rs. 11,204 crores . The income excluding profit , that is your interest , dividend stands at Rs. 7,096 crores ., which is a 10% increase from the previous year of Rs. 6,430 crores, profit on sale is Rs. 4,108 crores a s again Rs. 4,135 crores. D espite the challenging market conditions, we have been able to maintain this profit on sale of securit ies.
Sanket Godha: Got i t, ma'am. Perfect. This is useful if I have any questions , I will come back in the queue. Thank you very much.
Radhika Ravishekar: Yes, sure.

Moderator: Thank you. We have our next question from the line of Prayesh Jain from Motilal Oswal. Please go ahead.
Prayesh Jain: Yes, hi sir. Sir, just on this pricing in both domestic and international markets , on the fire piece in particular, we were hearing that the reinsurers have increased the pricing on the fire side. Any

comments there from your side?
S.K. Rath: Yes, Prayesh , this is S.K. Rath , GM Reinsurance, I would like to comment on that. See , this time renewal, we have asked all the insurance compani es operating in India , in view of reduction in their premium quarter by quarter we asked them how they are going to improve their claims and how they are going to achieve their business targets . So the companies themselves ha ve come to GIC with their busin ess plan and their growth plan, wherein they assured us that they will be adhering to the IIB rates prescribed by the IRDA . So, on the basis of that, they have been following the process and they are following their business plan. So , reinsurer has no role on that. As and when they come to GIC only for any FAC support , we just wanted to ensure that they follow the rates that they have given as assurance.
Prayesh Jain: But what have been the kind of renewal rate that would have happened on the same on the l

ike-
to-like basis?
S.K. Rath: They have been trying to adhere to the I RDA rates, particularly from 1st of January , '25, onwards . And there are aberrations as well, but there are few aberrations which some of the companies might have no t adhered to.
Prayesh Jain: Okay . And secondly sir, in terms of growth, for example, hypothetically if the obligatory business 4% goes away , and I understand the obligatory business is about 43% of your domestic business , do you see this kind of getting impacted because some of the like, for example, health insurers wouldn't want to kind of continue with the obligatory insurance or reinsurance. So would that be a growth restrictor for you?
Sanjay M okashi : Prayesh, in this situation, if obligatory goes away, yes, there could be a hit, a temporary setback to the top line . But on the flip side , it gives us greater control on our portfolio. T he entire risk selection is with our underwriting , will be based on our underwriting. Having said that, we have put in place a plan to overcome the short -term setbacks that we might have if obligatory goes away . And the approach generally would be to market the additional quota share treaty from the compa nies. So , there are companies who are willing to increase their reinsurance with us and we will take that opportunity. Currently we have been very conservative, very selective in that segment because we already have obligatory.
Having said that, there is a nother factor also that we have been in this market for more than 50 years now. There is established relationship with the market which will help us in leveraging the relationship . At the same time , we have the data , that data will also help us to strategi ze. And

these are the things we will implement if and when obligatory goes up . As Mr. Joshi said, as of now, there is no information either from ministry or IRDA in this regard.
Prayesh Jain: Got that. And in terms of growth, how would you look at growth in the international business?
S.K. Rath: Yes. Going forward, our impetus is that we look forward to the new markets where we have been moved out , or because of our rating down grade in the year '20, we are not able to renew our some of the accounts. Now we are trying to look into those territories where we can reenter them and to bring about or to renew those accounts , or to gain those accounts which are lost to us. So that way we can get into t hose markets . And similarly , we are also looking into the accounts where we have better opportunity or better control to increase our line. So that way we want to increase our foreign business going forward.
Prayesh Jain: And any guidance on combined ratio improvement trajectory which has been consistently improving for you guys over the last four years?
S.K. Rath: This year the foreign combined, particularly in this , Q4th Quarter , is a dampener because of some of the events that is California fire and some of the improvement of the losses like Dubai flood and Nepal flood . All those things are coming up . Then Taiwan Typhoon. Those figures are coming up or improved over the quarter . But we have been aware of the CAT events and we are following the CAT modelling also to take leverage of our position , and that is how we want to improve our underwriting as well as our business participation in the account so as to improve our foreign com bined ratio going forward.
Prayesh Jain: So overall, the combined ratio should be expected to further improve by --
S.K. Rath: Yes, c urrently it is at 121 % something , and we still want to improve , if it can be around 110 % or 115 % that will be an achievement by the year end.
Prayesh Jain: Okay . So overall, we can still expect the overall combined ratio at the company level is at 108.8% in FY '2 5 which can further improve to 106% level s?
S.K. Rath: Y

es, around 106%, 107% figure.
Prayesh Jain: Okay . Thank you so much. And wish you all the best .
Moderator: Thank you. We have our next question from the line of Karthikeyan, an individual investor . Please go ahead.

Karthikeyan: Hi, good morning to everyone. Thanks for the opportunity. So I have two or three questions. The first question, see , we always made underwriting profits in the Q4, the last quarter , and we haven't made any underwriting profit for this quarter. Any specific reasons for that?

S.K. Rath: See, if you look at the underwriting profit , we have made some profit this quarter as well. If you look at domestic profit this quarter , the combined ratio has come down, non-life domestic has come down to 70.34% as against 80% of Q4 of last year. And if you look at the December quarter, it was 83.72% whereas in Q4 it is 70.24 %. This is for domestic . And if you look at for foreign, the loss ratio is 110.29% in last quarter, whe reas it is 68.60 % for this quarter. And the main dampener here is the foreign Q4 and that is mainly, as I said before, it is mainly because of the California fire and then Taiwan Typhoon , and there are some flood losses of Dubai and Nepal that has added to the losses.
And in addition to that, there are some losses that has affected like Israel and Turkey losses, motor losses has added to that. That's why the losses, I mean , the Q4 profit has come down in comparison to last year. Otherwise, if you look at the overall performance of the organization , on a year -on-year basis it is quite improved. If you look at the entire year, we have made a profit of Rs. 8,700-odd crores as against Rs. 7,000 crores something last year. So as a reinsurer, we do not go by quarter -on-quarter , rather we look at the overall performance of the company for the annual period. So that is why, as a reinsurer, we look at it.
Karthikeyan: So the life, whatever losses we had in this quarter, right, it's all due to the catastrophic ev ents?
S.K. Rath: CAT events which has been reported for which we have made provisions , and there are some provisions also , additional provisions are made for life.
Karthikeyan: For the life part, I mean , it has actually increased , for the last year if you look at the losses, right, it has increased almost 2.5 x.
S.K. Rath: Yes, and I will ask my life actuary Mr Suresh Sindhi to address the query . He is here with me; he will be addressing that .
Suresh Sindhi: Hi, good morning , Karthikeyan . This is Suresh Sindhi, L ife Actuary . So if you just see that, yes, the losses are quite significant , mainly on account of two things. One is , the net claims paid , so we paid actually net claims which are much higher compared to last year , 1,887 claims we have paid this year, number one. Second thing is , obviously , there are lot of claims which have been reported but we have not yet settled those claims , so obviously we have to set aside reserves. So , because of setting aside the reserves and those claims which we have already paid , because of that obviously we have incurred , the claims have increased substantially compared to last year.
Karthikeyan: Because there is not much of an event , right , I mea n, in terms of life losses . Is it because of catastrophic event or , I mean , the increase is 2.5 x than last year. And suddenly how come the claims have increased so much in the one quarter? I mean , even quarterly if you l ook at the numbers , I mean , I am not able to make any sense out of the number s.
Suresh Sindhi : Yes. So maybe to be very specific , there are no big losses , obviously, but there are many claims as I told you. So if you really want the explanation , let's say , here we are talking about incurred

claims of say 2 ,904. So these inc

urred claims are made -up of three parts. One is how much claims you have paid till date, that is 1 ,887. The claims which we are supposed to pay that is the change in, we call this additionally things , which is around 158.1 compared to last time. A nd the reserves, we have to set aside reserves also, as you also know that life is a long-term business in nature. So we have set aside reserves that is coming around 859. That is a change in reserve also. So if you combine all those things , because of that your incurred claims have increased substantially compared to even last quarter and then the last year.
Karthikeyan: So this trend will continue or there will be improvements going forward ?
Suresh Sindhi : Yes, so we believe that , as you also know that Jan, Feb, March is the last quarter of the year for the insurance companies , so obviously we get lot of claim intimations and all those k inds of things . And we believe that if you just talk about coming quarters, obviously , we do not expect this kind of trend will continue. We hope that it will settle down. But yes, this time there is an increase because of this reason.
Karthikeyan: Okay . Another question we had, I mean , with regards to motor, I mean , foreign motor and marine which we had discontinued and we ha d like tail risks coming. So that has come to an end or how is it there ?
Sanjay M okashi : Sanjay M okashi here, Karthikeyan . I would not say it has come to an end. Obviously, such an arrangement has a tail. I can only say that the contract that we cancelled by the end of 2021 , the effect of it is waning. The tail continues. It has not come to an end, but it is certainly waning .

And more importantly, we have created enough reserves in our books of account as well .
Karthikeyan: So can we say that it will it will go away maybe by FY '26 or '27. How is that? And it seems to be a very long tail.
Sanjay Mokashi : It is, because the nature of that contract was treaties that were written in motor and cargo segment , so it will always approach the graph as in asymptotically , the axis asymptotically. And so the tail will be in future such that it will not hopefully impact our portfolio adversely.
Karthikeyan: Okay . Got it. Sir, another question , what would be the growth forecast for like the domestic and the for eign combined for the next two or three years?
Sanjay Mokashi : On an overall basis, we project growth in our reinsurance business, which will be measured growth of about 10% year -on-year for the next three years.
Karthikeyan: Okay . And final question, see the last quarter, I mean , it's a very tough quarter in terms of the investment part, but there is a substantial growth, right, I mean , almost 28% . I mean , what drove the growth of the investment income? Can you give us a breakup , I mean , for the Rs. 3,900 crores .
Radhika Ravishekar: Yes. Hello, this is Radhika Ravishekar , just repeat your question.

Karthikeyan: The question is what's the investment breakup, I mean , the gains of Rs. 3,900 crores , can you give me the breakup of interest income, dividend and as well as --
Radhika Ravishekar: Oh, you are asking for the quarter?
Karthikeyan: Yes. Specific for the quarter, that's correct.
Radhika Ravishekar: Yes. For the quarter the breakup will be say around Rs. 1,500 crores from profit on s ale and the balance will be interest income , so interest and dividend income.
Karthikeyan: Okay . Thank you.
Radhika Ravishekar: Because we focus more on the fixed income securit ies.
Karthikeyan: Okay . Yes, got it. Thank you. That's all I have. Thank you. And all the best.
Radhika Ravishekar: Thank you.
Moderator: Thank you. We have a follow -up question from the line of Sanket Godha from Avendus Sp ark. Please go ahead.
Sanket Godha: Sir, one more question I had on growth, see , heal

th business has seen a significant growth in the full year around 66 -odd-percentage. So on this big base, do you think this growth will be sustainable or you think that the numbers might potentially come down in next year? And on similar lines just want to understand your out look on crop incrementally , because it's been declining every year. So, now we do Rs. 3,200 odd crores of business in crop , so how do we see that playing out going ahead?
S.K. Rath: Hi Sanket , this is S .K. Rath again. As to the health portfolio, yes, we have seen fundamental growth, phenomenal growth this year in comparison to last year , and this is mainly the concentration was on retail health business that we have categorically chosen to write. And going forward, yes, th e achievement of this sort of gro wth will not be possible because all the SAHI companies tend to harp on higher commission levels , and whether we are able to meet their demands is a question going forward.
And particularly , currently wherever we have participated , the participation on standalone retail part is substantial , and then the group health also . Group health usually we participate with some participation terms to reduce the outgo in terms of losses. So , hopefully if the same trend is continued and if the companies are prepared to accept the same terms, then the growth would be in the range of say 5% to 10%, but the percentage of growth that we have seen this year is not likely to continue going forward .

Sanket Godha: Got it , sir. But sir, if the commission demand is higher, then is it fair to say that this Rs. 9,500 crores of business what you did in 4th Quarter might see a decline also because it might not be acceptable terms for you?
S.K. Rath: Yes, it may be. It may be possible, but the other way is that there are also new participants coming up who want to have their participation in health line of portfolio. New insurance companies are also coming up, so they are also interested in participating this retail line of business where the expenses are minimal and whereby, they can gain some mileage out of the expenses to keep their expenses within the limit of IRDA. So this and the crop are the two portfolios where the companies are more and more interested. So there we can extend our capacities with our terms as per our policy.
Sanket Godha: Sir, on crop any out look you want to give , Rs. 3,200 crores , will it be stable , grow ?
S.K. Rath: Yes, see, currently the crop portfolio has gone substantial changes. The SSM model which has

been now in comparison to the previous model of PM AY scheme where the liability was 250%, whereas in this SSM model the cap is at 110% or 130%, which is usually chosen by various states. So that is where the premium has come down and it has come down by more than 50 %, 60% because the exposure is less . The insurance companies try to pass on the benefit on the premium front to the state . So we have written some of the treaties this year and we hopefully going forward will try to improve participation in the S SM model and the excess stop loss model whereby we can maintain or slightly increase the participation.

Sanket Godha: Sir, are you seeing incrementally more states adopting that SSM model?

S.K. Rath: Yes, they are adopting this SSM model . For example, for a state like Maharashtra where the premium goes up to Rs. 10,000 crores to Rs. 12,000 crores, they have now opted for SSM m odel wherein the loss is capped at 110%. So naturally the premium will come down by 50 % to 60%.

Sanket Godha: Okay . Got it, sir. A nd sir lastly , if these two lines say remain subdued , then the price hike what you have experienced in fire segment will compensate for any growth , sir? Or what kind of growth you can expect in fi re segment because of the pricing being going up from January ?

S.K. Ra

th: The pricing, as I said, we are seeing the growth, particularly the companies are following up the IRDA rates, which itself will help the market to grow by 10 % to 20% in the fire segment. So that will naturally add to the growth of our premium. The other aspect that you are telling that health and crop , crop we are away from the crop portfolio because of the sam e increase in loss and the premium flow, cash flow is quite minimal . But off late w e have seen this SSM model wherein the companies and the states are prepared to pass on the premium as early as possible . And we do see that there are some prospects of participation in some of the specific agri insurance companies, whereby we can see some growth in the crop portfolio . Though health portfolio the growth will be incremental or minor , it may go down slightly.

Sanket Godha: Okay , sir, got it. Understood. That's it from my side. Thank you very much.

S.K. Rath: Thank you.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Hitesh Joshi: So the annual r esults and the quarterly results that we have presented are broadly in line with the earlier guidances we have been giving from time to time and the trajectory that we have chosen. We will continue to follow the underwriting discipline, the prudent risk ma nagement , and will continue to seek favorable risk return trade off. And w e remain committed to creating value for our stakeholders. Thank you all for joining us for this earnings call. Good day and bye.

Moderator: Thank you. On behalf of General Insurance Corporation of India, that concludes this conference. Thank you for joining us . And you may now disconnect your lines.

Call: Aug 2025

Ref. No.: GIC-HO/BOARD/SE -Q1-T/161/2025 -26 Date: 12th Augu st 2025

To, To,
The Manager The Manager
Listing Department Listing Department
BSE Limited The National Stock Exchange of India Ltd.
25th Floor, Phiroze Jeejeebhoy Towers Exchange Plaza, 5th Floor, Plot C/1,
Dalal Street G Block, Bandra Kurla Complex
Mumbai – 400001 Mumbai - 400051

Scrip Code: (BSE – 540755/ NSE – GICRE)

Sub: Transcript of conference call held with Investors and Analysts to discuss the unaudited financial results for the quarter ended 3 0th June 2025

Dear Sir/Madam,

In compliance with Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached herewith Transcript of the conference call held with Investors and Analysts on Friday , 8th August 2025, to discuss unaudited Standalone and Consolidated financial results for the quarter ended 3 0th June 2025.

Kindly take the above information on record.

Thanking You.

For General Insurance Corporation of India

(Satheesh Kumar)
Company Secretary & Compliance Officer

Encl.: A/A

"General Insurance Corporation of India Limited
Q1 FY '2 6 Earnings Conference Call "
August 08, 202 5

MANAGEMENT : MR. RAMASWAMY NARAYANAN – CHAIRMAN AND MANAGING DIRECTOR – GENERAL INSURANCE CORPORATION OF INDIA LIMITED

MODERATOR : MS. NIKITA – ERNST & YOUNG

Moderator: Ladies and gentlemen, good day, and welcome to General Insurance Corporation of India Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please no te that this conference is being recorded.
I now hand the conference over to Ms. Nikita from EY. Thank you, and over to you, Ms. Nikita.
Nikita: Thank you, Hamshad. Good morning to all the participants on the call and thanks for joining Q1 FY '26 Earnings Call for General Insurance Corporation of India. Please note that we have mailed out the press release and presentation to everyone and you can now see the results on our website, and it has been uploaded on the stock exchanges as well. In case you have no t received the same, you can write to us, and we'll be happy to send it over to you.
Before we proceed with the call, let me remind you that the discussion may contain forward -looking statements that may involve known or unknown risks, uncertainties and o ther factors. It must be viewed in conjunction with our businesses that could cause future results, performance or achievement to differ significantly from what is expressed or implied by such forward -looking statements.
To take us through the results for the quarter and answer our questions, we have with us the management of GIC represented by Mr. Ramaswamy, Chairman and Managing Director and other top members of the management. We will be starting the call with a brief overview of the quarter gone by, wh ich will then be followed by the Q&A session.
With that said, I now hand over the call to Mr. Ramaswamy, over to you, sir.
Ramaswamy Narayanan: Good morning. I'm Ramaswamy, and thank you all very much for joining today's call. I'll quickly provide an overview of our performance for this quarter, and then we will start the Q&A.
The past year has been characterized by persistent global uncertainty driven by inflati onary pressures, geopolitical complexities and escalating climate -related risks. These factors have contributed to heightened volatility across financial and insurance markets.
Nevertheless, the Indian economy exhibited notable resilience underpinned by r obust domestic demand and sustained policy impetus. In spite of these challenges, GICRE has delivered a robust performance. Our unwavering focus on underwriting discipline, portfolio optimization and strategic alignment, enabled us to adeptly navigate mark et headwinds while preserving operational integrity.
The performance of this quarter reaffirms the resilience of our business model and our steadfast adherence to core reinsurance tenants, rigorous risk management, prudent diversification and disciplined underwriting. While catastrophic events continue to post formidable challenges to the industry, we remain thoroughly prepared, supported by comprehensive risk frameworks and actuarial rigor, we have deepened our understanding of market cycles and refined o ur risk

appetite accordingly. Looking forward, we remain confident in our strategic direction. The clarity and discipline we have demonstrated position us well to confront emerging challenges and capitalize on future opportunities with resilience and convi ction.
We'll now proceed with a detailed review of our financial performance for the quarter. The gross premium income of the company was INR12,388.01 crores for the first quarter ended 30/6/25 as compared to INR12,405.68 crores for the previous quarter e nded 30/6/2024.
It needs to be noted that these 2 quarters are really not

very comparable since IRDAI has changed
the accounting of long - term policies in October 2024 to 1/n, which means that long -term policies, the premium would be apportioned over the n umber of years, for which the policy is taken. So because of which the premium for the current quarter is lower. And overall, we do see growth in this quarter.
Incurred claims for the quarter is 90.42% for the quarter ended 30/6/2025. It is more or less t he same as the previous quarter for the previous year, which is 89.77%. This is in spite of 2 large extraordinary losses, which have hit our books for the current quarter.
Jindal Poly Films, which is a fire loss, where the 100% loss figures are INR2,300 cr ores and GIC share is about INR925 crores, which is fully provided in our books. And of course, the unfortunate Air India aviation loss, which happened in Ahmedabad.
Both these losses are very adequately provided in our books. In spite of this, the underwr iting loss reduced by 30% to INR907.76 crores for the quarter ended 30/6/25 as compared to INR1,288.53 crores for the same quarter last year. Gross investment income has also increased by 18.37% to INR3,228.51 crores as compared to INR2,727.43 crores for t he corresponding quarter last year.
Profit before tax has increased by 61.04% to INR2,243.54 crores as compared to INR1,393.16 crores, for the quarter ended 30/6/24. And the profit after tax has increased by 70% to INR1,752.22 crores as compared to INR1,036.36 crores.
I would also like to inform that we have started the practice of providing for catastrophic reserve on a quarterly basis and not annually as done in the previous years. If this were not done, the

PBT and PAT figures would have been higher by INR143.47 crores.
The solvency ratio is very robust at 3.85% for the current quarter as compared to 3.36% as on 30/6/24. The total assets have increased by 5.89% to INR197,539.62 crores compared to INR186,552.46 crores for the previous quarter. Net worth of the company has increased by 17.19% to INR45,275.48 crores as on 30/6/25 as against INR38,635.23 crores for the previous quarter. Net worth of the company, including the fair value change account, has increased by 4.17% to INR89,512.55 crores as against INR85,926.02 crores.
The combined ratio has reduced by 2.66% to 106.94% for the quarter ended 30/6/25 as against 109.6% for the quarter ended 30/6/24 and as against 108.8% for the entire year 2024 -'25.
I would now like to thro w open this for questions that you may have. Thank you.

Moderator: The first question is from the line of Aditi Joshi from JPMorgan.
Aditi Joshi: I have a couple of questions. Firstly, on the top line growth. The growth in the international looks to be qui te impressive. So is it because of the changes in the credit rating that we have been seeing? Or is it mainly on the account of rates hardening. So if you could just provide some color on that as in how much growth is from the new contract, how much is fro m the rate hardening?
And on the domestic, it was slightly lower in the international, but going forward, given in the portfolio such as fire insurance, the pricing is getting better at least for the primary insurers. So what is your outlook of growth in the domestic business, including the fire insurance and Motor insurance? So this would be my first question.
Ramaswamy Narayanan: Yes. Thanks, Aditi. Yes, you're spot on. The top line growth on the international has grown because of our credit rating impro vement, which happened in October last year, which gave us a chance to look at really good businesses on the 1st Jan renewals, and we managed to write a substantial amount of increase there. So to quickly address your question, it's not because of rate hardening. It is because of new business that we have written on the 1st Jan renewals, which is now coming into our books for this year.
In fact, I would say that for 1st Jan, the market was pretty soft, and we did see rate softening. But then, like I said, because of our credit rating upgrade, we got to see some really good pieces of business both new as well as those that we had written earlier, which we had lost due to our credit rating downgrade, but we managed to get that back. So these are all basically new businesses in our books that you are seeing the increase.
Secondly, on the domestic side, yes, again, you're spot on in saying that the property premium today looks a little subdued simply because quarter -on-quarter when you compare, you're comparing 2 different quarters. In the last quarter, the premium of long -term policies were fully accounted for. Today, we have apportioned them across the different years for which the policy is taken. So to that extent, the property premium would be subdued.
Again, on the domestic front, we have been trying very hard to ensure that the primary insurance rates stay and it is more or less held on until now. So we are very confident that, that will continue to happen during the year.
We are in touch with the market about performance and especially the rates on the primary side is in a position where it is viable for the market to continue writing at those rates. And it gives a certain amount of positiveness to the entire portfolio. So yes, going forward, fire premium would go up, and I think it would be definitely higher than what it was for the entire year last year.
On the domestic side, we have de -grown a bit on the health. Like you would have seen last year, our growth on health wa s substantial. And it was on the retail health side. This year when we did the analysis of how it is progressing and how it is performing, some of the treaties we felt was not doing the way we wanted it to. There is obviously medical inflation that is comi ng up and some of the losses have really crept up during the year.

So we have not renewed a couple of treaties that we wrote last year. So to that extent, health will be slightly down. But overall, we are also writing in new clauses of business like suret y and cyber and trade credit, et cetera. So that gives us a diversification in our book as well as provides a growth.
So going forward, we would look at this year, maybe for the entire year, we expect the growth to be between 9% and 10% compared to last y ear.
Aditi Joshi: This 9% and 10% is in domestic or overall...

Ramaswamy Narayanan: Overall. Overall overall. So typically, international would grow about 17% to 20% year -on-year for this year and domestic would be about 6.5% or 7%.
Aditi Joshi: Okay, unde rstood. If I can also squeeze in 1 more on your expense ratio, was slightly better -- I mean, it was a lot better in this quarter as compared to the same quarter last year. So what would be the reason behind that?
Ramaswamy Narayanan: So 2 things. One on t he salaries on the employee compensation, what happens is we do provide for the pensions and gratuity for employees based on actuarial calculations. There has been a dip in that for the current quarter compared to last year's quarter. Plus, I think on the IT side, the spending that we have done last quarter compared to this quarter, it was more last quarter. So to that extent, we've got a deficit.
Aditi Joshi: Okay. So what I'm trying to understand is that the expense ratio outlook for the rest of the year and for the coming quarters. So I guess IT spending can be up and down maybe quarter -on-quarter. But it looks like the salary -- employee salary compensation can continue possibly.
Ramaswamy Narayanan: Yes, it will more or less carry at this rate because w hatever changes that is looked at, we've kind of already provided for it, right? So honestly, but Aditi, the point is if y

ou look at our expense ratio, it's less than 1%. Honestly, it's not something that is going to move the needle. It's not going to go u p from 1% to 5%. It will only change between maybe 0.9% to 1.1%. So honestly, it's not something that is going to move the needle as far as the combined ratios go.
Moderator: The next question is from the line of Shubham an individual investor.
Shubham : Congratulations on a fantastic set of numbers. I had a couple of questions. So one was on the expense ratio. You also see the commission going down from 19%, 20% to 16%. So what has led to this lower commission? And would this like normalize back to 19%, 2 0% for the entire year?
Ramaswamy Narayanan: Well, yes. So this is more a one -off, I would say, for this quarter. Basically, the initial commissions that we charge. And then depending on the profitability of the portfolio, the commissions would go up or do wn. That's how typically it works. So I would say this is a one -off. Going forward, we will see that it kind of settles down around 18%, 19% for the year.
Shubham : Okay. Because almost, I think, INR300 crores is like the savings from commission for this quarter?

Ramaswamy Narayanan: Yes, yes. So that's what I said. I mean typically, what would happen is as the quarters advance as we come closer to the end of the year, depending on the profitability of the treaties, the commissions would change. So it will a ll depend on how these treaties perform over the next 3 quarters. And then typically, the commissions, we would see how it settles.
Shubham : Got it. And second question was, in general, like what's the strategy for booking the investment income? Because ul timately, that is the one which is driving our bottom line. So do we have any specific strategy that every quarter or every year basis how much we have to keep booking to bring a certain level of PAT?
Ramaswamy Narayanan: No, Shubham. It's not like that. N ow let us understand our investment book over the 100%, about 74%, 75% is debt, right? And so there is no question of redeciding when to book and how to book. This typically means that for the 75% of our book, the interest would come in at the normal time it gets booked each quarter, right?
It also means that, to a great extent, our book is held to maturity. So we have kind of ensure that the higher rates at which we purchased these -- some of these debts, continues. So we end up getting a good amount of in terest on that.
What you're talking about in terms of is about profit on investment of -- I'm sorry, profit on sale of investment equity. So let me be very honest. We don't really try to sell investment just to prop up our bottom line. That is not what we do. When we do sell, it is just because we feel that a particular sector is kind of run up well and reach the end of where it should be. And then we decide to sell if a stock or a sector has become suddenly overheated, we would then kind of sell it and ma ybe wait and purchase it at a later time.
So these are strategies for which the investment department, there are analysts, there are officers who look at these things in detail and present their recommendation as to what we do. Honestly, we don't really s ell equity just to show profit on our books. That's not something that we do.
Again, we also need to understand that maybe 2 years down the line, IFRS is going to come in. So we need to be ready for that. So for that, whatever strategy we need to do, we wi ll do.
But at this stage, I think the investment book is in a very comfortable space. Like I said, a major part of that is debt where the interest keeps coming irrespective of how the stock market functions. So again, I have said this earlier also that wh atever risk appetite we have, whatever risk we want to take, we take it in our business. We don't take it in our investm

ent. Our
investment is normally very, very safe. We don't play around with that. And I think it's in a good space now.
Shubham : Got it. And finally, on our network, so the way we accounted in our books is at the book value that is excluding your fair value changes. Is this in line with what, let's say, the other private insurers could be general or life insurers follow? Or this is somethin g which we are following separately?
Ramaswamy Narayanan: So this is how typically every insurer would be asked to follow by IRDAI. So IRDAI says that everything should be accounted for in book value. We also show it in fair value because when our internat ional rating agencies look at us, they look at us from a market value perspective,

which is why we provide you with both flavors. Of course, going forward, as I said, again, once IndAS comes in, everything would be on market value. So at that time, obvious ly, we will see everything on market value. But currently, everything is on book value.
Shubham : Got it. And the ROE, which we are showing now it's in the range of 18%, 20% because your net worth is on the lower side because of the exclusion of fair value changes. Once the IFRS and all comes in, would your ROE continue to be in that level or it would automatically drop because of higher net worth?
Ramaswamy Narayanan: We will still need to find that, Shubham. We are still working on it. So IFRS is something that our team is working on. Hopefully, we will not even wait for the dates that IRDAI has given for implementation. We'll actually start doing that much earlier. An d we will be in a position to hopefully give you both the figures, the IGAAP as well as the IndAS figures, maybe from the third quarter of this year.
So you as an investor or as an analyst may actually get to see how the books would look once IFRS comes i nto play. We are still working on it. So I may not be able to give you a 100% answer now as to whether the ROE will change because, honestly, it's not dependent only on the investment fair value. It depends also on how the overall underwriting looks. So th ere will be multiple factors there.
Moderator: The next question is from the line of Ritika Dua.
Ritika Dua: While, sir, I heard you on the IFRS , that we are going to share from third quarter, not sharing any numbers, but sir, generally, could you maybe hi ghlight some of the changes that we are going to see when we move to IFRS. So with some of the other general insurance, obviously, we have some understanding as to at least the broad changes that are expected as to once we move to rather IFRS. Could you ju st give us a broad understanding then without any numbers?
Ramaswamy Narayanan: So essentially, it will affect us both in terms of the business performance, which is our core activity, which is reinsurance as well as on the investment side. On the core business side, we do believe that it will be beneficial for us. IFRS will be beneficial the way the business will be shown.
We've seen how other companies have done it in markets where we are present. And once IFRS comes in, the results actually look bette r on the underwriting side. So we believe the same should happen for us. Like I said, we are still in the process of working that out, understanding our book and putting in the data.
On the investment side, what would happen is, like I said, it will be ta ken on market value basis. So it would mean that any dip in the market would actually get reflected negatively for us in case we are showing depreciation in our values. Today, that doesn't happen because to an extent, what happens is only the book value is seen, any change in the fair value doesn't really come and hit our books currently.

So to that extent, we'll need t

o manage our investment in a different way. I guess we'll have to start working like a mutual fund managing the NAVs on a day -to-day basis, ensuring that the churn happens in a way that we are able to kind of roll over the negativity of the market.
So that is again something that we are working on. There are strategies in place to manage that. But the way I see it is, in case IndAS comes in, it should definitely be beneficial to us in the long run.
Moderator: The next question is from the line of Karthikeyan K , an Individual Investor.
Karthikeyan K : So I have a few questions regarding our foreign portfolio . We have sort of stopped writing Foreign portfolio with respect to Motor and Marine, but still we are incurring losses there, right? So how is it going to look going forward from this financial year?

Ramaswamy Narayanan: So yes. I mean I wouldn't say we have stopped completely Motor and Marin e, but then we are careful about the kind of business that we write. So we do continue to write Motor and Marine.
Marine is a worldwide book anyway.
And Motor also, there are specific markets from where we write business. Having said that, there was a part icular contract in the U.S., which was for Marine and Motor, which we had stopped in '21. The runoff of that continues to come in.
Karthik, sorry about that. So what I was saying is Marine and Motor, we do continue to write since these are books that we g et to see from different markets. But a particular contract from the U.S., which we have stopped in 2021, the runoff continues to come in terms of -- so earlier, both the premium and claims used to come, now the premium is stopped .
Now it's only the claims . But then these are adequately provided in our books. What you get to see is the payments that we are doing for these classes.
Karthikeyan K : Okay. So that's still continuing, right? The runoff and declines are coming still. So how long do you think that' s going to happen? How long? I mean any time line? Or it is not possible to provide any time line?
Ramaswamy Narayanan: I guess, Marine is kind of done now. And if you see it reflects in the loss ratios as well. Motor is where we would expect -- I mean, ty pically, Motor third party is a long -tailed class. We would possibly expect this to go on for another 2 to 3 years. It's actually come down. The actual amounts if you see, have really come down. But over the next 2 to 3 years, we'll still see some claims c oming in from Motor, yes.
Karthikeyan K : Sir, another question is , like you said that there is some major impact with the aviation. But there is a line item, which says other miscellaneous where the underwriting loss is almost INR400 crores. Is that also related to aviation or something else?
Ramaswamy Narayanan: There will be. To an extent, Karthikeyan, it would be. Let me also clarify. So when we talk about the aviation loss, per se, so there are multiple classes that are involved in this loss. I'm talking of the Air India -- unfortunate Air India crash that happened in Ahmedabad , now there are multiple

classes, which get involved because this was an international flight, so people would have taken travel policies, that will trigger. There'll be loss es paid there.
PA policies that people would have taken that would trigger. Life insurance policies that are taken that would trigger, there will be some losses coming out of Marine. And then over and above all this would be the fleet policy, which Air In dia has taken through which the hull loss will be paid, which is almost $125 million, 100%.
And there will be liability losses for the passengers who lost their lives. Plus, since unfortunately, the plane crashed in a building where there were doctors, obv iously, the third -party liability will also be high. So there are multiple areas from where losses would come for

this particular loss
that we are talking about.
Karthikeyan K : Collectively put, what will be the quantum of the loss?
Ramaswamy Narayanan: Again, the market is coming to terms. There are different views about it. There are people who are saying it could be $200 million to $250 million. We believe it could be closer to $400 million to $450 million because, again, like I said, there are multiple classes getting involved.
Again, the liability could be higher than what people are thinking because even though the Montreal Convention specifies what should be paid, we could have a situation where people might get higher payouts than that.
Again, the third -party loss should work out to be higher because these are all professionals who have lost their lives. So obviously, to that extent, the award could be higher. So the market is still coming to terms with it. Maybe going forward, we will r each a landing on the actual figures.
Karthikeyan K : Okay, sir. With regards to obligatory business, what will be the combined ratio there, sir, for us? I mean, over the years, I mean what it has been? I mean, like how it has progressed from currently what is the combined ratio in the obligatory business?
Ramaswamy Narayanan: So it will be more or less reflecting the combined of our domestic business, okay? So if you look at our domestic business, it currently is at around 104%. For the last couple of years , it's kind of hovering around that figure. And obligatory would also be around that because even though the market today -- the insurance market today is at a combined of maybe 118% or something, I think as a company, we have managed to do better than the market, which reflects in our overall domestic book and the same would be true for obligatory as well.
Karthikeyan K : Okay. Sir, if Life business is an obligatory or, I mean, major part is obligatory or nonbligatory?
Ramaswamy Narayanan: Life, there is no obligatory. It's only for non -life. Life is purely the business that we write voluntarily. There is no obligatory there, yes.
Karthikeyan K : But why is that we are seeing now losses continuously for several quarters, the underwriting part.

Ramaswamy Naray anan: So it's more about the company ramping up its reserves. So what happens is Life is a long -tailed policy, long -tailed class. Normally, policy is taken out in the range of 25, 30 years. So for some

of the treaties that we have written in the past years , maybe 10, 12 years back, if we see that the performance is not as we wanted it to be, then we would provide reserves to ensure that there is no shock coming in the later years. And that is what we have done.

Typically, after COVID, we did expect some ki nd of stability to happen in the portfolio, which did not seem to be there. The losses seem to be coming more than what we expected. And that is where we have kind of ensured that our provisioning is in line with the losses that we see.

So this is somethin g that we'll continue to do for long -tail class like Life, where we'll continue to monitor the claims that are coming in vis -a-vis the provisioning we have made for the same. And depending on how they move, the provisioning will change.

Karthikeyan K : Okay . Sir, we have not seen much of a competition, right? Whatever competition has come from like FRBs and the other -- which we don't have any legal presence in India. So going forward, there are no new companies getting created the reinsurance part. So how a re we planning to tackle that with the competition? What kind of strategy you're going to follow there and we have legal entities coming in?

Ramaswamy Narayanan: Karthikeyan, I will not agree with you there that we have not seen competition in this market. I think we have seen all the competition that we wanted to see. FRBs, even before they set up here, they did ha

ve a presence in this market. And after coming in, they have competed with us.

We have been seeing price softness happening due to higher capaci ty being available. There are enough number of -- almost 300 numbers of cross -border reinsurers who are working in this market. So I don't see a situation where we have worked in an environment where there has been no competition. I think competition has b een there.

And honestly, as a company, we have welcomed that simply because getting more reinsurance capacity in this market means that the insurance market will develop. There is a lot of scope for insurance growth to happen. The penetration levels are a t 1% or maybe less than that for non - life. Obviously, it needs to go up. The government is pushing for that, regulator is pushing for that, insurance for all by 2047.

I think seeing how companies are in this market, the insurance companies, the fact that majority of them are privately owned means that as and when they grow, they will look to reinsurance for supporting their growth. So we welcome more and more people to get into the reinsurance market, then it will also help us to write the kind of business that we want to drive because the kind of relationship we have with all these insurance companies or relationships that go back very many years. They know what kind of capacities we can give, what kind of expertise we provide and what kind of support we p rovide in this market.

So we don't mind competition as long as people understand what they are writing and they are able to put in that kind of capacities, we are more than happy to have them. Having said that, new companies will take some time to settle down because reinsurance is a game of deep pockets, you need to have a lot of capacities, you need to have a lot of staying power. And if they have that, more than happy to welcome competition in this market.

Karthikeyan K : So what kind of strategy do we have? I mean, planning for like the foreign portfolio, you said that the growth will be in the range of 17% to 20%. So that's going to be for the longer term, right? You didn't specifically mention that for this year. I mean, can we see that going forward for next 2, 3 years?

Ramaswamy Naray anan: Yes, yes. It will all -- that's how we are planning it, that international grew about 17% to 20% year-on-year and domestic could grow about 7% to 8%, where we have factored in the fact that there will be more competition in the domestic market, numbe r one. Number two, on the international side, the confidence comes from the fact that we used to write a lot of business in the past, which we lost, some of the good businesses that we lost due to the credit rating downgrade that we suffered in 2020.

Havi ng got the rating back, having maintained our relationships with all these companies, we are confident that we will get back those businesses that we lost. We've already started. We are already in the market. We've already got some part of the shares for a ll the businesses that we lost. So it's a question of ramping that up going forward, also getting to see some really good international businesses, which have come up in the last few years and writing that. So the

confidence comes from that.
Like I said e arlier, we've also provided for the fact or taken on board the fact that there will be competition in the domestic market. Having said that, if the market grows the way it is expected to grow, we don't expect any diminution in our participation in this mar ket.
The shares might come down, but then the overall market will anyway go up. So our business, our capacities in the market will continue. So which is why we are very confident that in the next medium term, we'll definitely be able to write the business that we are looking for.
But again, the biggest challenge and the biggest dri

ver for us is that the business that we write should be profitable. We're not writing business just for increasing our top line. We are not in that game. We want to ensure that e very piece of business that we write brings profitability to us, increases our margin and overall helps us in improving our network.
Karthikeyan K : Sir, one last question I have is like the combined has come down during the first quarter for the Foreign po rtfolio. So what will be like for this financial year going forward, the combined for the Foreign portfolio?
Ramaswamy Narayanan: So we are expecting that the combined will be -- so it's not -- I mean if you're asking whether this is a one -off, it's not. It is something that we expect that it will continue going forward for this year. The combined for the Foreign for this year, we honestly expect it to be closer to where it is now. Maybe it will improve a little more than what it is currently. So I think if you see overall, we are looking at a combined of around 107%, 106.8%, 107% for this year, in which overall, the domestic curve will continue to be at around 104%, 105% and Foreign will come much better than what it was last year. I think it will come closer to 110% is my feeling.
Moderator: The next question is from the line of Anant Mundra from Mytemple Capital.

Anant Mundra: Sir, I just wanted to understand the investment book better. So I just wanted to get a sense like what is the restriction? Are there any regulatory restrictions on us to invest in, say, equities versus fixed income? And could you just highlight that how much of our policyholders' book can we invest in fixed instrume nts versus equity and how much of the shareholder can we invest in fixed instruments versus equity?
Ramaswamy Narayanan: Okay. I can give you something briefly. If you want more details, I'll get my CIO to talk on this. The point is there are no restrictio ns. Yes, there are some restrictions which IRDAI have put in, but they don't say that we should put only so much into equity or anything or we should not put it into equity. I think this discipline is something that we have set upon ourselves because we are also rated by international credit rating agencies.
And they want to ensure that the investment book is very, very safe, very, very liquid and doesn't throw up shocks. And like I said, we try to keep our investment book very safe. Having said that, you asked whether there is any specific policy for policyholders' funds vis -a-vis shareholders' funds, we don't do that. The entire fund is taken together. And within that, we decide how much we will have it in debt. So like I said, 74% currently is in debt, a bout 17% to 18% is equity and typically about 8% is money market.
Money market is more FDs and liquid mutual funds simply because we need the money to pay claims as and when it comes. So we keep it very simple. Our idea is to maintain the equity around the same stage because that gives us the right kind of investment income that we want every quarter in our books.
Otherwise, I mean, there are certain restrictions, which IRDAI puts as to you must have certain percentage in housing, certain percentage in inf rastructure, something in government bonds and things like that. But those we are very clearly following. There is no problem there.
Anant Mundra: Got it. Got it. So sir, currently, what is the run rate of our fixed income that comes in quarterly -- withou t -- if I exclude the capital gains, basically, how much is...
Ramaswamy Narayanan: You wanted the rate of interest, is it?
Anant Mundra: No, no. The quarterly run rate of the investment income that we are receiving right now. So it's about, say, INR2,000 crores quarterly fixed kind of income that we will surely get whether we book any equity gains or not, something of that sort, like some color on t

hat.
Ramaswamy Narayanan: Yes, yes. So we showed INR3,230.26 crores for this quarter, out of which INR1,074 c rores is profit on sale of investment. Interest and dividend together is about INR1,850 crores. There is -
- we do have branches and operations abroad. We keep that money outside in international funds.
That bank interest is about INR167 crores.
And there is also some businesses who keep our premium for some time. So there is a interest on reserve deposits of about INR131 crores. So to come back to your point, maybe interest and dividend, which is something that comes on a regular basis for us, that's about INR1,850 crores

and profit on sale of investment is about INR1,074. This is for this quarter, and this is kind of expected to continue fully.

Moderator: The next question is from the line of Shobhit Sharma from HDFC Securities.

Shobhit Sharma: Sorry, I joined a bit late. So sir, my first question is on the growth in the Motor segment. So on the direct side, if you look at industry hasn't grown that much, some of the PSU players have been very aggressive on that side. So was this a one -off quarte r for you in the Motor side? And secondly, how has been our experience in the revision in the pricing primarily on the property segment wherein we have seen last year there was a steep decline in the rate. And I have another follow -up question on the LOB -wise loss ratio, specifically on the Motor, Health and Fire segment, if you can break that into.

Another thing which I wanted to ask you is for the quarter, our net commission ratio has reduced considerably. So have you rationalized the commission rates w e have offered to the insurers ? Can you help us understand what has led to that? And lastly, on one small thing, data keeping. On the capital gain, you mentioned for this quarter, you have booked INR1,074 -- INR1,174 crores. Can you give us same number for last year same quarter? And what was the total capital gain realized in FY '25?

Ramaswamy Narayanan: Sure. Okay. So let me try and take this point by point. First, Motor, you asked where is the growth coming from. So yes, there hasn't been much of a growt h on the direct side. But we've also been writing some new treaties on Motor where we have been supporting some of our partners. So that is where our growth is coming from.

Earlier, Motor used to be almost predominantly obligatory. Major part of that used to be obligatory. But now there are a lot more treaties that we write with some of the companies on Motor. So that is where our growth is coming from.

Secondly, you asked about revision in pricing on property. Yes, that is something that we are very close ly monitoring. And we've tried to ensure and get people on the same page in terms of pricing to ensure that there is viability in the property market on the direct side.

You asked how does that affect us? Honestly, property is majorly proportional capacit y that we provide in the market. So if the pricing on the direct side improves and the premium increases, we obviously get the benefit of it. So yes, we would be looking to get the benefit of that. It has not happened. I mean, rather, you would not see it in the first quarter comparison with the first quarter of the previous year because like I said, there is a change in the way long -term policies are accounted for.

Earlier, it used to be booked in the same quarter. Now it is apportioned for the different years for which it is bought. So to that extent, it will actually look flat or even slightly lower. But going forward, by the end of the year, you will see that property premium are higher than what it was last year.

You also wanted to know about the commission. So yes, the commission looks low at this stage because typically, what would happen is when treaties are signed, commissions are started at a

certain level. And then depending on the profitability of the portfo lio, the commissions would go up or down. We expect the portfolio to be profitable this year.

Like I said, the pricing has gone up hopefully, catastrophic losses will be comparatively lower than previous years because rains have been good. We have not hear d of headline - making floods happening in this part of the country. We've also not heard anything on the international side. But we are monitoring that. So depending on how the portfolio performs, you would expect commissions to go up in case it works bet ter. Our own feel is that as the year goes through and we reach towards the end of the year, the commissions would be more or less at the same levels as last year.

You also asked about the capital gains INR1,074 crores that we booked this year. For 30/6/24 , it was INR790 crores. And for the whole year of 31/3/25, it was INR4,108 crores. So I mean, going by what we have booked, we can expect it to be around the same level or even slightly higher for the entire year.

Shobhit Sharma: Sir, can you help us under stand the LOB -wise loss ratios because there is a significant improvement in the loss ratio despite the 2 large losses, which we have accounted for this quarter. So was this driven by the Motor health or Fire segment?

Ramaswamy Narayanan: Let me quickly ha ve a look at this. So some of the improvements that I see compared to previous year. Basically, quarter -on-quarter, Fire is more or less the same. I think the improvement has come from Motor -- no, not really. Motor on a combined, yes. It's more from Agri, maybe a bit of Health. And yes, these are the ones that have contributed to the improvement. Of course, Engineering, comparatively a smaller class, but that has shown profitability. These are the 3 main classes.

Overall, Motor looks good now compared to earlier years. Property also is matching up because if I see the overall combined, combined for Fire is at around 106%, Motor is 107%, Health has come down to 111%, Agri at 86%. But honestly, Agri should go up a little as the year goes by. Cargo has come d own. It was a class, which internationally we had issues with. That has come down to 104 %. Hull is at 44%, but again, this will be a one -off. So I think overall, each of the classes have performed better. Idea would be to bring it to bring it -- to better it going forward. It will all, of course, depend on how the catastrophes work out in the next 2 quarters.

Shobhit Sharma: Okay, sir. And sir, last question, sir, on the Retail Insurance segment, primarily the Motor, Retail, Health, we have seen insurance companies retaining most of the risk on their net. Do you believe that there is an appetite for these insurance companies to cede that business to the reinsurers? Just your views on that, sir.

Ramaswamy Narayanan: Sir, we are seeing them do it. So like I s aid, the growth that happened in Motor, which is your question that in the primary market, there was no growth, but where did we grow? So that growth is basically in Retail Motor. So some of the treaties that we have written where it used to be earlier kep t by the insurance companies, now they have ceded it to us.

So on the Retail side, you are right in saying that individual policies are small tickets, so the companies have the capacity to retain. But as they start writing more and more, they will obvious ly need to put in more capital. If you see this market, barring for maybe 4 or 5 companies who are listed in the market, rest are privately owned. So obviously, there will be a problem in getting the kind of capital that is required. And normally, in that kind of a situation, it is the reinsurers who will be putting their capacity and driving up the capa

city in the market. And that is what we see happening.

And going forward also, to your question, whether we see this happening, I think once RBC comes into play, what we would typically see is the capital would come down, the solvency ratios would come down for the market. And rather than quickly looking to get capital in, they might look for reinsurance capacities. So that is one reason why we have kept our solvency at a higher level and not really soliciting business at this stage because we would rather wait and write profitable business, which would come to our side when RBC kicks in.

Moderator: The next question is from the line of Ritika Dua from Bandha n AMC.

Ritika Dua: Sir, just my apologies, if you could just reiterate the guidance you gave on combined ratio for the overseas business? And also, if you could just break that down because if I heard the number correctly, then there was a meaningful improvement that you're expecting.

And is this meaningful improvement largely a function of maybe we have already provisioned for the businesses well written and we don't expect any -- or how does that really improvement work, if you could help understand. So that's the first que stion.

Ramaswamy Narayanan: Okay. So let me just give you a feel on this. So for the current year, so last year, we ended with a combined ratio of 108.8% where typically the Foreign was at 126% and domestic was at 104%. This year, we are expecting that to come down by at least 1%, maybe slightly more. So the combined should be closer to 107% -- 107.5% is what we believe it will be.

And a major part of that improvement would come from international. Because I think domestic, if you see, we are currently at 104.5% or something, where I think that's a good position to be in. I don't think we will be in the short term, able to do better than this on the domestic simply because if you see the overall market, it is running at a combined of 116% to 118%, and we ar e already doing much better than the insurance market. So our improvement will happen on the Foreign side. And what we believe is from 126%, we should ideally be coming to around 118%, 116% is what we would be looking at for this year.

Ritika Dua: We are a lready 118% for the quarter. So you said that we could be 116% for the year roughly?

Ramaswamy Narayanan: Exactly. There are 2 quarters -- I mean, the coming 2 quarters, which is the July, August, September and the October, November, December are internati onally, the 2 quarters where you get catastrophic losses, so we need to really monitor that and see how that works. Fortunately, we have still not received any adversaries of any major CAT event happening in any of the markets. So we are sanguine about get ting a much better combined ratio. But I guess as the quarters move on, you will get a much clearer picture on the combined.

Ritika Dua: Sir, second question is a little more accounting. So for all the unlisted -- investments in the unlisted space that we have, how do we account for the sale? And especially on -- even if they are obviously marked up on a fair value basis, what is our -- when does the market really happen? And what is the basis for the same also, if you could share that?
Ramaswamy Narayanan: Well, honestly, the number of unlisted companies are very, very less in our books. Having said that, the unlisted companies would be accounted for on book value basis only at this stage. We don't really mark it up unless it gets lifted.
Moderator: Ladies and gentlemen, this would be our last question for today. I would now like to hand the conference over to the management for closing comments.
Ramaswamy Narayanan: Thank you, everyone, for your questions, your comments, your suggestions. They mean a lot to us. And honestly, over the years, they have opened our eyes to looking at our

business in
different ways. I'm hoping that the consistency of our performance this q uarter would give you the confidence that it reflects our disciplined execution, a focused strategic approach and prudent risk management. These efforts have positioned us to pursue opportunities.
But hopefully our efforts have positioned us to pursue oppo rtunities that align with our risk appetite and support our long -term vision for sustainable value creation, and I hope that gives you the confidence about how this company will perform going forward.
On a very personal front, I'll be laying down office a t the end of September. And so this is most probably the last time that I'll be interacting with all of you on this platform. I would like to take this opportunity to thank all of you for the support that you have given to GIC, the interactions that we hav e had and the interest that you have shown in us.
I've learned a lot from these interactions and have taken heart from the positive vibes and comments that have come from you. I hope our performances have given you the confidence in our business and the s trength that our balance sheet has and that you will continue to support this company and my successor in the years to come. I wish you all the very best in your future endeavors. Thank you once again.
Moderator: Thank you. On behalf of General Insurance C orporation of India, that concludes this conference.
Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

Public Ref. No.: GIC-HO/BOARD/SE -Q2-T/268/2025 -26 Date: 21st November 2025

To, To,
The Manager The Manager
Listing Department Listing Department
BSE Limited The National Stock Exchange of India Ltd.
25th Floor, Phiroze Jeejeebhoy Towers Exchange Plaza, 5th Floor, Plot C/1,
Dalal Street G Block, Bandra Kurla Complex
Mumbai – 400001 Mumbai - 400051

Scrip Code: (BSE – 540755/ NSE – GICRE)

Sub: Transcript of conference call held with Investors and Analysts to discuss the unaudited financial results for the period ended 3 0th September 2025

Dear Sir/Madam,

In compliance with Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached herewith Transcript of the conference call held with Investors and Analysts on Mond ay, 17th November 2025, to discuss unaudited Standalone and Consolidated financial results for the period ended 30th September 2025.

Kindly take the above information on record.

Thanking You.

For General Insurance Corporation of India

(Satheesh Kumar)
Company Secretary & Compliance Officer

Encl.: A/A

“General Insurance Corporation of India Limited
Q2 FY '26 Earnings Conference Call ”
November 17 , 202 5

MANAGEMENT : MR. HITESH JOSHI – EXECUTIVE DIRECTOR , ADDITIONAL CHARGE , CMD – GENERAL INSURANCE CORPORATION OF INDIA LIMITED
MR. SURESH SINDHI – APPOINTED ACTUARY LIFE – GENERAL INSURANCE CORPORATION OF INDIA LIMITED
MR. SANJAY MOKASHI – GENERAL MANAGER & CHIEF UNDERWRITING OFFICER – GENERAL INSURANCE CORPORATION OF INDIA LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to GIC Re Q2 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Nikita Atri from EY. Thank you, and over to you, ma'am.
Nikita Atri: Thank you, Hamza d. Good afternoon to all the participants on the call, and thanks for joining

Q2 FY '26 Earnings Call for General Insurance Corporation of India. Please note that we have mailed out the press release and presentation to everyone and you can now see the results on our website. It has been uploaded on the exchanges as well. In case you have not received the same, you can write to us, and we'll be happy to send it over to you.
Before we proceed with the call, let me remind you that the discussion may contain forward -looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with our businesses that could cause future results, perf ormances or achievement to differ significantly from what is expressed or implied by such forward -looking statements.
To take us through the results for the quarter and answer our questions, we have with us Mr. Hitesh Joshi, Executive Director, Additional Charge of CMD and other top members of the management at GIC. We will be starting the call with a brief overview of the quarter gone by, which will then be followed by a Q&A session.
With that said, I'll now hand over the call to Mr. Joshi, over to you, sir.
Hitesh Joshi: Good morning, ladies and gentlemen. Thank you for joining today's earnings call. I welcome you all, and I'm pleased to provide an overview of GIC's financial performance for the Q2 FY '26.
The global operating environment remains marked by macroeconomic uncertainty, inflationary pressures and heightened geopolitical risk. These factors, along with the growing incidence of climate -related events continue to shape pricing conditions and capital deployment across the reinsurance sector. At the same time, market softening in key lines and improving investment yields are contributing to a more balanced operating landscape.
Against this environment, GIC Re has maintained a disciplined approach anchored in selective underwriting, calibrated por tfolio management and a stable risk appetite posture. This is reflected in our Q2 FY '26 performance, where the combined ratio improved to 109.15% year -on-year, reflecting firmer pricing and a more favorable claims experience in core segments. Catastrophic events and secondary perils remain key focus areas, and we continue to refine our models and exposure frameworks accordingly, supported by strong capital adequacy, robust risk systems and enhanced analytical capabilities, we are well positione d to manage cyclical shifts while preserving long-term profitability. With clear strategic priorities and disciplined

execution, we remain confident in our ability to address evolving competitive landscape and capitalize on emerging opportunities.
We will now move to a review of our financial performance for the quarter, followed by question -and-answer session. Gross premium income for Q2 FY '26 stood at INR9,601.70 crores compared to INR8,413.49 crores in the corresponding quarter o f the previous year. Investment income for the quarter stood at INR3,791.67 crores as compared to INR3,483.32 crores. Incurred claim ratio for the quarter was 81.5% as against 93.6% in the correspo

nding quarter of
the previous year. Combined ratio stood a t 109.15% compared to 114.05% in the same quarter last year. Adjusted combined ratio was 84.04% for half year FY '26 as against 88.86% in the previous year.
Profit before tax stood at INR3,472.76 crores for quarter 2 FY '26 as compared to INR2,281.12 crores. Profit after tax rose to INR2,866.79 crores as compared to INR1,860.75 crores. Solvency ratio improved to 3.85 as of September '25 compared to 3.42 as at September '24.
Net worth excluding fair value change was INR46,669.38 crores as at September end '25 as against INR39,481.33 crores as at September end '24. While net worth, including fair value change, stood at INR88,709.19 crores as at September end '25 compared to INR90,917.70 crores.
On the premium breakup, domestic premium for first half FY '26 was INR17,080.66 crores and the international premium was INR4,909.05 crores, the percentage split was domestic 78% and international 22%. The domestic premium witnessed a growth of 4.6%, while the inte rnational premium grew by 9.4%.
This quarter reaffirms the strength of our strategic direction and our disciplined approach to navigating marketing conditions. As we move forward, we remain focused on executing our strategy with rigor and delivering sustainable value to our stakeholders.
Thank you. We can move to the question -and-answer session.
Moderator: Thank you. We will now begin the question and answer session. The first question is from the line of MW Kim from JPMorgan.
MW Kim: This is MW Kim from JPMorgan. I would like to ask about the compan y's capital deployment plan for next 12 or the 24 months. As suggested in the first half of '26, underwriting performance for major non -life insurers, the domestic underwriting is approaching to the peak of

deterioration, signaling potential for the premiu m highs in the motor and the health lines.
The overseas market is showing some softening, but the risk reward profile remains attractive with a much lower combined ratio outlook compared to the domestic market. So my question is, what do you see as the op timal underwriting mix between domestic and overseas business? So that's my first question.

And my next question concerns the risk management. Recently, the company got another the year of the A - rating from the AM Best indicate relatively strong capital base and good risk management practices.
So compared to the last 2, 3 years, has the company made an improvement in its risk management approach? If this is the case, can you share a little bit more detail? And finally, one more question is about what are the company's expectation for January 2026 linear season and the outlook for the global reinsurance pricing cycle?
Hitesh Joshi: Thank you, Kim. I will first talk about the optimum international domestic portfolio mix. It is very difficult to say what is optimum, because the pricing environment during the last 2 to 3 years has been fairly dynamic. Indian market has its own pricing dynamism. From a medium - term perspective, GIC's objective has been to achieve domes tic versus foreign of 60 to 40.
That is wha t guidance we have been giving to the analyst and the market. But then we have to recognize that Indian market is growing at a much better pace than the international market. And while there is a commonality in the reinsurance market, there is also somethi ng unique about the Indian market in terms of reinsurance price adequacy.
So we would choose to react to the price adequacy evaluation and our cycle management and our portfolio optimization. While we will try to move towards 60 -40, we would not be really drawn towards 60 -40 in a very major way. We will continue to choose our way through risk selection to move in this broader direction of 60 -40.
Your second question was regarding the improvem

ent that we have carried out in our risk
analysis. We would like to say that it is a continuous process as to how the loss trends are evolving, whether it is in domestic market or regional market or international markets. Also the attritional versus CAT and also the pricing trends.
So whatever algorithms we have in ou r internal pricing evaluation and pricing tools, we keep on refining it. If you have anything more specific, maybe we can discuss it, maybe we can take it offline as to what we are doing internally.
Coming to January '26 renewal, given that we are coming off from the January '23 unprecedented hardening that the reinsurance market witnessed across the globe, a very, very significant hardening, which was not witnessed in the last at least maybe 2 to 3 decades. So coming from that huge price correction, the s oftening is going on.
At the same time, we believe that underwriting discipline is being maintained by the market. So there will be softening and there can be pockets where there can be a little divergent trend. And again, the client experience, the particular loss history of a client will be a major factor in how the account will be treated. I hope I have answered and maybe you can have a follow -up question, if you like.
MW Kim: Yes. Thank you so much for the detailed explanation. Ans wers are very helpful. Yes.
Moderator: The next question is from the line of Avinash Singh from Emkay Global.

Avinash Singh: Couple of questions, sir. The first one is, if I look at life, particularly domestic side, the combined ratio in this half is still 114%-odd. Now is it an outcome of that the pricing environment? Or is it due to the payouts or some adverse kind of development as far as mortali ties is concerned in this year?
So that is on life, because I mean at 114%, 115% and particularly when life i s not something that you have been very, very kind of a big aggressive, this 114% looks a bit on the higher -- reasonably on the higher side. So that's on life.
The other question is on -- I mean, if this obligatory season is to go, then how do you see yo ur domestic business resetting? will there be a reset once and then you come back to normal growth or you are confident of kind of maintaining your current domestic business, even if the obligatory season has to be abolished?
Hitesh Joshi: Thank you, Avina sh ji. Coming to the life -- the combined ratio that you are talking about 114%, I think this has been touched in quarter 1 also. And it is -- thanks to reserve strengthening, and I

will request Mr. Sindhi to fill in the details, who is our Actuary for lif e.
Suresh Sindhi: Yes. So good afternoon. So I'm Appointed Actuary Life. Yes. So your concern is correct, it is 114%. The primary reason is strengthening of our resource. And last time also, we discussed that. And you will see a similar kind of trend, loss ratio about 100% in the coming 2 or 3 quarters. The reason being we priced some of the products long time back.
And post COVID, we started doing the analysis, experience analysis. So some of our businesses are not as per our expectation, as per what we estimated the mortality. So obviously, we have to strengthen our resource.
So as far as -- if I go a little bit detail, as far as earned premium is concerned, there is 11% growth compared to last year because last year, it was INR880 crores around. Now it is around INR975 crores. Similarly, as far as paid claims are concerned, again, there is a growth, obviously , we are writing more business.
So obviously, we are expecting more paid claims to be coming in. So while the ratio is going above 100%, the reaso n we have started strengthening our resource based on our experience. And this will continue for -- we hope it will continue for another 2 or 3 quarters. So that's the main reason of loss ratios being 114

% for domestic business.
Avinash Singh: And sir, if you can clarify the adverse mortality experience than your kind of a built -in expectation, is it coming in retail protection or is it part of, I mean credit life or group protection? So...
Suresh Sindhi: Yes. So again, if we just go a little bit detail, ag ain, we just divide our business into a long -term business and the short -term business. So short -term business, obviously, it is like a 1 -year term insurance kind of a business like a nonlife business. Now here the main -- the reason is it is coming from t he long -term business. Long term means it's an individual kind of a business. For example, companies have been writing individual term insurance and dormant and other kind of plans, it's on a long -term basis.

So we already gave those rates. And obviously, we expected that our experience would be better, but now we can't change it. That is number one. And when I talk about long term, it consists of not only long -term business individual, but it consists of credit business also. As you also know, the credit life business it's a long -term business, the term ho lding from 5 years to 20 years. So obviously, if we combine both, our experience has not been favorable so far. So obviously, we don't have any other option rather except strengthening our results. So th at's the main primary reason for that. And this will continue for next 2 or 3 quarters. That's what we're expecting.
Avinash Singh: Got it, sir. Got it.
Hitesh Joshi: Avinashji, I come to your second question regarding obligatory. The first thing, we would like to say that is not expected that this entire obligatory would be removed by the regulatory in one go, it is a broad expectation. Secondly, in view of the emerging IFRS and RBC regimes, we can expect that there will be better capital planning and depl oyment and usag e of reinsurance by the market.
So if any reduction in obligatory is likely to result into diversion of business rather than say, elimination of business for us, some of it -- I mean quite a substantial part of it may come to us on a volunt ary basis.
Apart from that, as we have been mentioning that since we got our rating restoration of A - in October '24, which we could not fully avail of during our January '25 renewal, which we hope to leverage during January '26 renewal.
So I think reset will be a very strong and harsh word to frame the situation which might emerge due to any change in obligatory. We are fairly confident that we'll sail through smoothly due to any change in this. Thank you.
Moderator: The next question is from the line of Harsh Shah from Merisis Advisors.
Harsh Shah: Sir, I would like to understand about your outlook on different segments, like where do you see fire? And I wanted to specifically ask about health because of the reduction in the GST. So how do you see the premiums coming in from health, life going forward? And your outlook in totality of gross premium, that how do you expect the gross premium to grow in, say, next 2 years ahead from now?
Hitesh Joshi: I would like to say that broadly our growth in the segme nt should mirror the market growth to a great extent, health is a class, which doesn't necessarily require reinsurance, but there can be treaties, which are trying to optimize the capital structure of a particular insurance company.
I will hand over to Mr . Sanjay Mokashi, our Chief Underwriting Officer, to talk in more detail.
Sanjay Mokashi: Yes, Mr. Harsh Shah, this is Sanjay Mokashi here. You asked about fire insurance. Yes, this particular component is a major component in our business mix. So our grow th will also depend upon fire segment, but it will come largely from the foreign fire.

As M

r. Joshi, while answering previous question mentioned that we got our rating restored to a A- AM Best last year. So we could not -- since the rating was restored in October, we could not fully leverage that rating during last renewal season. But for 1/1 renewal season coming renewal season, we're expecting -- we are expecting that we will see growth.
Of course, this will be a measured growth. There won't be any chan ge in terms of our risk selection, our underwriting approach to it. This also is a comment in totality for what growth we are expecting. You mentioned about health and Mr. Joshi mentioned that health is going to be a driver of insurance growth in the domes tic market, but it may not essentially drive our growth. It will entirely depend upon what kind of reinsurance requirement the insurance companies may have going forward.
Harsh Shah: Okay. Understood, sir. And how do you see combined ratio going forward, s ir, maybe FY -- give you just a ballpark number for FY '26, '27?
Hitesh Joshi: I think whatever we have guidance given earlier that broadly remains. The direction we have chosen is maintained, and we continue to stick to the same guidance.
Moderator: The n ext question is from the line of Karthikeyan K , an Individual Investor.
Karthikeyan K : So I have like a couple of questions. One is, see, we have a good solvency ratio and our risk management, everything has improved. So what's the outlook? I mean, is ther e any chance for upgrade going forward in the next year?
Hitesh Joshi: Are you talking about upgrading our credit rating from A to A+?
Karthikeyan K : Yes, something like that, yes.
Hitesh Joshi: I think it will be a while before we can pitch for that because it involves a certain more stringent evaluation of the entire operations, right from, say, balance sheet to P&L to competitive position to the ERM framework. So going by where we stand today, I think we are decently positioned to avail and exploit the opportunities available on the international business.
So presently, it is not really a target for us because it requires, as I said, also higher capital adequacy. So the solvency that you are seeing is essentially based on the framework as prescribed by IRDAI, which is a formula -based solvency calculation. If you really go to how the international credit rating agencies evaluate the balance sheet, they are already on a mark -to-mark basis.
So while our solvency might materially change due to our various operations, the underlying economics and driver of the risk -based capital doesn't show up so much volatility in our solvency. So I'm not sure whether -- I mean I've communicated adequately. But the point is that IRDAI formula is based on book value and rating agencies already look at market value, so they will not react to higher solvency as per the domestic regulatory regime.
Karthikeyan K : But if we include the fair value changes -- fair value of all the market holdings, solvency will be much more higher, right, from current 3.85%?

Hitesh Joshi: Absolutely. That is from the Indian regulatory position and evaluation as per IRDAI regulations. But rating agencies are already factoring that in. Global rating agencies already factoring mark -to-market of the entire portfolio.
Karthikeyan K : Okay. So even if we adopt the IFRS 17 and that's the new accounting standard, so even then we will not be able to be gearing up for an upgrade?
Hitesh Joshi: No, no.
Karthikeyan K : Okay.
Hitesh Joshi: That is all -- yes please go ahead.
Karthikeyan K : No, y ou are saying something, I mean?
Hitesh Joshi: So all the factors, as I said, balance sheet, P&L, competitive position and ERM framework are adequately factored in by the rating agency. And that is independent of the local regulator evaluation.
Karthikeyan K : Okay. Got it, sir. So

the next question, see, we have increased the operation expenditure this specific quarter and even for the half year. Now any specific reasons for the increase? I mean, did we do any capital -- I mean any major expenditure for...
Hitesh Joshi: Yes. There is one particular demand on the value -added tax in a foreign jurisdiction on our branch, which we feel is absolutely unjustified, and we are going into appeal. So that is the figure

which is d istorting to the extent of something like INR60 crore, that is jacking up our EOM to
that extent.
Karthikeyan K : Okay. Got it, sir. Got it.
Hitesh Joshi: So it is a one -off thing, and it will be appealed.
Karthikeyan K : Okay. So last question I have is like the growth in terms of the GST reduction all that, so where do we see growth in H2, I mean the later -- second half of the current financial year?
Hitesh Joshi: I would like to say that whatever GST impact is there will be more visible -- more visible on the direct side and it will be factored in there. And whatever is the RI growth that we will be
mirroring the RI growth of the market, broadly speaking.
Karthikeyan K : Okay. So you're not expecting any bump or any increase this second half of the year in terms of gross premium?
Hitesh Joshi: If there is a bump in the direct side, it will definitely result into some domino effect on
reinsurance side.
Moderator: The next question is from the line of Devesh Advani from Reliance General Insurance.
Devesh Ad vani: Actually, I wanted to know about the fair value change numbers for Q2 F '26 versus Q2 F '25?

Hitesh Joshi: Can you make it more elaborate, what exactly...
Devesh Advani: Actually, as in the net worth including fair value change, what is that for the current quarter or for the H1 F '26? Like last year, it was INR40,117 -odd crores for fair value change.
Hitesh Joshi: For the quarter, it is INR42,039.82 crores.
Devesh Advani: Okay.
Hitesh Joshi: As at quarter end, this is the figure, INR42,039.82 crores.
Moderator: The next question is from the line of Karthikeyan K, an Individual Investor.
Karthikeyan K : Sir, one follow -up. I mean, that I have is like the commission right for this quarter has inc reased.
So is it because of health improving -- the combined improving in the health? Is that the reason
why the commissions increased?
Hitesh Joshi: Mr. Mokashi will respond. Thank you.
Sanjay Mokashi: Yes, Mr. Karthikeyan, commission increase is not because of health. It is actually because of some of the entries, reversal entries or adjustment entries that we have carried out during this
quarter and also previous quarters. But if you see they will get evened out during the rest of the
year. That's, i n a way, nature of our business and accounting.
Karthikeyan K : Okay. So the 25% premium that will not be showing up for the next coming quarters, right? That will get even out?
Sanjay Mokashi: Yes. Yes, please.
Hitesh Joshi: See, Mr. Karthikeyan, the core commission level doesn't fluctuate so much. It is the commission entries on account of profit commission and sliding commission, which is adjusted after a lag
for previous years that is booked in the current quarter. So any volatility in that is not becaus e
of underlying business changes, but because of certain accounting entries getting booked after a
lag.
Moderator: The next question is from the line of Harsh Shah from Merisis Advisors.
Harsh Shah: Sir, just a follow -up. I just wanted to confirm that in t hink in Q1 -- sorry, Q4 FY '25, you had guided for 34% growth. Is that correct? Or I'm mistaken here?
Hitesh Joshi: Sorry, I didn't catch properly. In Q4 of FY '25, what happened?
Harsh Shah: You -- have you guided for 34% year -on-year growth for FY '26 as well? Or am I mistaken here?
Hitesh Joshi: 34%? No, no, I don't think. That kind of

growth cannot be imagined. That is -- you're seeing
34%, is it?
Harsh Shah: Yes.

Hitesh Joshi: No, no. No way.
Harsh Shah: Okay. So can you just provide a number sir, here, please?
Hitesh Joshi: See, the thing is, as we have been mentioning that as far as Indian market is concerned, our growth will mirror the growth of the Indian reinsurance market. And what we talked about earlier
that in October '24, we got a rating r estoration. So we'll be able to lev erage it.
So on a relatively, say, if I might use the word small base of say 22% of foreign business, it
might see a double -digit growth. But then that January business will get booked over a period of
next 6 to 8 quarte rs. So it may not be so very visible, even if there is a very significant to say,
growth. It takes time to get growth, and it shows in the accounting figures with a particular lag.

Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments.
Hitesh Joshi: Thank you all for being present for this call. As we have been mentioning that there are certain structural changes, which we embarked on following our rating downgrade in July 2020 and which bore fruit by way of a restoration of rating in a period of just over 4 years.
The same path that we have followed -- we have charted out for ourselves in terms of underwriting discipline, pricing adequacy, portfolio rebalancing and the cycle manage ment will continue to stick to this path, which we have convinced given the trajectory of the financial performance that we have wit nessed during the last 4 years.
It is creating value. It will continue to create value and we'll keep on evolving. We will keep on responding by way of evolution of our underwriting processes, and we hope to deliver growing value. Thank you.
Moderator: Thank you. On behalf of EY, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

Public Ref. No.: GIC-HO/BOARD/SE -Q3-T/352/2025 -26 Date: 16th February 2026

To, To,
The Manager The Manager
Listing Department Listing Department
BSE Limited The National Stock Exchange of India Ltd.
25th Floor, Phiroze Jeejeebhoy Towers Exchange Plaza, 5th Floor, Plot C/1,
Dalal Street G Block, Bandra Kurla Complex
Mumbai – 400001 Mumbai - 400051

Scrip Code: (BSE – 540755/ NSE – GICRE)

Sub: Transcript of conference call held with Investors and Analysts to discuss the unaudited financial results for the period ended 3 1st December 2025

Dear Sir/Madam,

In compliance with Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached herewith Transcript of the conference call held with Investors and Analysts on Wednesday , 11th February 2026, to discuss unaudited Standalone and Consolidated financial results for the period ended 3 1st December 2025.

Kindly take the above information on record.

Thanking You.

For General Insurance Corporation of India

(Satheesh Kumar)
Company Secretary & Compliance Officer

Encl.: A/A

"General Insurance Corporation of India Limited Q3 FY '26 Earnings Conference Call"

February 11, 2026

MANAGEMENT : MR. HITESH JOSHI – EXECUTIVE DIRECTOR , ADDITIONAL CHARGE OF CMD – GENERAL INSURANCE CORPORATION OF INDIA LIMITED
MR. SANJAY MOKASHI – GENERAL MANAGER & CHIEF UNDERWRITING OFFICER – GENERAL INSURANCE CORPORATION OF INDIA LIMITED

Public Moderator : Ladies and gentlemen, good day, an d welcome to the General Insurance Corporation of India Q3 FY '26 Earnings Conference Call.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. S hould you need assistance during this conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Nikita from EY. Thank you, and over to you, ma'am.
Nikita: Thank you, Mark. Good morning, all the participants in the call, and thanks for joining Q3 FY '26 Earnings Call for General Insurance Corporation of India.
Please note that we have mailed out the press release and presentation to everyone , and you can now see the results on our website, and it has been uploaded on the stock exchange as well. In case you have not received the same, you can write to us, and we will be happy to send it over.
Before we proceed with the call, let me remind you that the discussion may contain forward - looking statements that may involve known or unknown risks, uncertainties, and other factors. It must be viewed in conjunction with our businesses that could cause future results, performance, or achievement to differ significantly from what is expressed or implied by such forward -looking statements.
To take us through the results for the quarter and answer our questi ons, we have with us Mr. Hitesh Joshi, Executive Director, Additional Charge of CMD, and other top members of the management at GIC.
We will be starting the call with a brief overview of the quarter gone by, which will then be followed by th e Q&A session.
With that said, I will now hand over the call to Mr. Joshi. Over to you, sir.
Hitesh Joshi: Good morning, ladies and gentlemen, and thank you for joining us for GIC Re's earnings call for the 3rd Quarter of FY '26.
The global insurance market is moving into a more balanced phase , following a period of structured hardening. While rate momentum has moderated across certain lines, underlying risk conditions remain elevated, driven by climate -related volatility, inflation in los s costs, geopolitical developments, and a higher cost of capital. Accordingly, capital across the industry is being deployed with greater sensitivity, selectivity, and technical rigor.
Investment yields continue to support overall earnings, even as underwriting margins gradual ly normalize. In parallel, reinsurers are reassessing legacy assumptions across long -tail and li fe

Public portfolios, strengthening reserves , and reinforcing pricing governance to enhance balance sheet resilience and long -term sustainability.
Market outcomes at recent renewals have become increasingly influenced by individual portfolio performance rather than broad cyclical momentum. While competitive pressures are incrementally returning, pricing remains broadly rational, wher e risk -adjusted returns are appropriately compensated. The prevailing focus across the sector is , therefore , on margin protection rather than volume -led expansion.
For investors, this environment emphasizes the importance of underwriting quality, capital discipline, and consistent execution. GIC Re remains aligned with these principles through continued portfolio optimization, prudent risk appetite, and a strong capital position. Against this backdrop, I will now highlight our financial performance for the quarter and the nine months ended 31st December 2025.
Gross premium income for the Q3 FY '26 stood at INR 10,986.55 crore as compared to INR 9,967.71 crore in the corresponding quarter of the previous year. Incurred clai

m ratio for the
quarter is 87.9 % as against 87.8 % in the corresponding quarter of the previous year.
Combined ratio for the quarter stood at 105.32 % compared to 107.83 %. Adjusted combined ratio improved to 85.08% for nine months as against 89.12% for the similar period of the previous year.
Investment income for Q3 FY '26 stood at INR 2,924.47 crore compared to INR 2,627.17 crore in the corresponding quarter of the previous year.
Profit before tax for the quarter stood at INR 2,116.93 crore compared to INR 2,168.69 crore.
Profit after tax for the quarter stood at INR 1,518.92 crore compared to INR 1,621.35 crore.
Solvency ratio improved to 3.87 as of 31st December '25 compared to 3.52 as at 31st December 2024.
Net worth e xcluding fair value change recorded at INR 48,490.40 crore as on 31st December '25 compared to INR 40,745.48 crore as on 31st December 2024. Net worth including fair value

change stood at INR 92,056.08 crore compared to INR 85,803.69 crore in the previous year.
On the premium breakup, domestic premium for nine months is INR 25,388.97 crore, and international premium is INR 7,587.29 crore with a percentage split of 77% domestic and 23% international.

Before concluding, I would like to thank our shareholder s, clients, and employees for their continued confidence and support. Looking ahead, we anticipate further normalization of market conditions with financial performance increasingly driven by disciplined underwriting and

Public effective claims management rather than cyclical pricing tailwinds. While this may moderate growth rates, it supports the delivery of stable and sustainable returns over the long term.

Thank you. We can now move to questions and answers.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Janish Shah, an individual investor. Please go ahead.

Janish Shah: Two, three questions. One, with regard to the combined ratio, which is now coming more closer to 106 %, and how do you see the trend going ahead, especially in this year? And w e have a target of reaching up to 100% in next few years . So, how are we tracking that for the next couple of years , given the international book now will start contributing , the new book actu ally will start contributing from next year onwards ? That is first part.

Second, if you can just give some understanding about the book composition. I think you have right now some 38% of your revenue now coming from obligatory segment. And how is the combined ratio out there? You have been sharing the combined ratio for international and domestic, but when it comes to obligatory and non -obligatory parts, if you can give a little bit of more understanding, that will be helpful.

And also, your outlook on the obligatory part, how do you see the narratives or the discussions with the government with regard to continuing with the same set or same rate of obligatory, or there is likely to be a reduction in that rate as well in the near future or may be in the medium term? That will be helpful.

Hitesh Joshi: Regarding your first question, how the year will pan out? As we have been advising the investing community, that 4th Quarter tends to be benign, tends to be better than the three quarters . So, the result of the three quarters should largely be carried forward into the 4th Quarter . Our guidance for achieving about a percentage improvement in each of the years stands.

I would like to disagree on your statement that we are trying to move closer to 100 %. There are two parts to our portfolio, domestic and foreign. We would certainly like to move below 100%, particularly for foreign book . But that will not be a realistic target or a strategy for domestic business because the investment income on both the portfolios are fundamentally di

fferent. So,
we will continue with our guidance of about 1% improvement on a composite portfolio rather than trying to achieve 100% for, say, domestic or foreign.

As regards to obligatory combined ratio, that is a propo rtional book. We would say that it is faring reasonably well. On our non -obligatory book, we also have facultative, non -proportional treaties, proportional treaties, and the book is fairly diverse. Given the diverse composition of non-obligatory, which is, as I mentioned, proportional treaty, non -proportional treaty, Fac , and miscellaneous kinds of covers, as against obligatory, a straight comparison of the combined ratio across these two segments will not be fair. Non-obligatory is definitely, most cert ainly, supposed to fare better than the obligatory given the composition.

Public Coming to your third question regarding the obligatory, how it will move, we can probably expect that given the geopolitical disturbances, stability may be targeted by the governme nt, but this policy decision is in the realm of the regulator . And we present our views, and industry players also present their views. Beyond that, it will not be correct on our part to speculate.

Janish Shah: Because I think that is one area where the cl arity is a little less . And I think when we are looking at the stock performances or basically the valuation that weighs a little more when it comes to the value unlocking for the company . So, that is something where when we speak a little better, I think if a better clarity is available, that will help in maybe unlocking the value in the company.

Hitesh Joshi: Let me just expand on this. Probably, we would have touched upon this in earlier calls and in our other meetings with the investing community. If obligatory goes away or gets reduced, it is not a straight loss of business. A substantial part, something like probably 25% to 50%, will get readily converted into voluntary business, non -obligatory business . So, it is not a , say, win or lose.

There is a nuance to how the business will develop. We will have more freedom in how we write.

Our capital deployment will be free. And p articularly, those companies which are playing close to their targeted solvency range, they will definitely need a substitute reinsurance requirement immediately.
Say a company which is running at a solvency of 1.65, and they would like to continue to be at 1.65. Any change in obligatory or reinsurance arrangement will get replaced by another set of reinsurance arrangements. I hope it alleviates your apprehensions to an extent.
Janish Shah: Yes. Thank you for this clarity. And m aybe the last question is on the growth. I mean, you said you would be more calibrated in growing the book. Can you give some more color to it as to for the next year and for FY '28, how do you see the book growth likely to be?
Because you focus more on quality, and as you alluded, that 1% is a decrease in a combined ratio is a target which the company would like to follow . So, what does it mean? How will it be balancing the growth and the profitability , if you can just give some understanding with that?
Hitesh Joshi: So, t he growth of the corporation would mostly, at least, mirror the growth of the Indian reinsurance market. Given the growth of the Indian insurance market, say, in the range of something like 9% to 12% or higher, that is a nominal growth, a substantial part of this growth will also get mirrored in the reinsurance market as far as the Indian insurance market is concerned. Given our broad strategic goal of maintaining our market share, we will be mirroring the growth of the Indian reinsurance market.
Coming to the international book, given that now we got our rating back last year, October '24, previous financial year, whatever business was lost, it cannot be reclaimed

or regained in a single
year because when we moved off the panel of certai n insurance companies, say, in Japan or Taiwan, we can't just walk back on the same panel with the same share . So, there is a claw -back,

Public and it takes time. So, whatever business we have lost, thanks to the downgrade, that will be reclaimed over a period of something like 3 to 5 years . So, that certainly presents an opportunity for us to rebuild those relationships which were affected. And of course, our medium -term objective in terms of the composition of the risk book remains at 60/40 . So, we will continue to focus on the international book, and that should result in growth apart from th e normal growth of the global reinsurance market.
Probably, to sum up, one can expect a growth rate in the medium term on an annual basis of something like 8% to 10% composite.
Moderator: The next question is from the line of Madhukar Ladha from JPMorgan . Please go ahead.
Madhukar Ladha: On the international book, I had a question. See, in some segments, I see very high combined ratios, like motor , I think this time around, the combined ratio is about 190%. Cargo is at about 282%. Life also is quite high, closer to 138%, and health as well at about 143% . So, some of these segments, we are seeing very high combined ratios. And on the international side, what I want to understand is what is going to be our strategy in terms of improving the underwriting. How can we change the product mix o ver here?
Hitesh Joshi: So, I agree with your observations, and I think whatever three classes you have picked up, they are the points , they are the segments where we need to focus. We are mindful of that. I think we have addressed the explanation for life, higher combined ratio in the Q2. This cargo and motor, both are definitely under management focus, and we have already taken certai n steps. And w e expect that those steps in terms of underwriting discipline will bear fruit going forward.
I think , if you compare this, not on a quarterly basis, but on an annual basis, there is a distinct trend in terms of the improvement in performance for foreign book as well as for domestic book. And I would like to say that for nine months overall, foreign book has shown greater improvement in terms of performance.
So, management is absolutely focused on these segments that you have identified: mot or, cargo, and also life. It is a work in progress. Whatever we have done has borne fruit, and we expect it to improve meaningfully going forward.
Madhukar Ladha: Just if I may ask, where is this motor business coming from? The motor and cargo , cargo may be a little bit of one -off also, but especially which part of the world, what is this in?
Sanjay Mokashi: Motor constitutes about 11% of our foreign book, and it comes from various regions, but I will name the peak regions will be Israel and Turkey. And the cargo business is also from these two regions. In addition to that, it comes from China. But I am only highlighting the major countries. Otherwise, we write business worldwide. Th ere are exposures in Europe as well. I hope that answers your question.
Moderator: The next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Public Sanketh Godha: Sir, just wanted to understand the pricing environment. Maybe last ye ar, there was a kind of price benefit in the fire segment , but what we learned is that in small sum insured or mid sum insured, the pricing competition has increased. And d o you think even on the larger sum insured fire capacities, the pricing environment , what was during the current year will hold up in the next year, or will you see more competition? So, just a color on the pricing.

And o n sim

ilar lines, on overseas business too, if you can again give a color, given January renewals would have happened, any color you have on how pricing environment is playing out? Is it still hard market or still a soft market to assume that the combined ratio in the foreign business will improve? That is my first question.

Sanjay Mokashi: Yes, Sanketh. Your observation on pricing environment in property segment, especially in the small property segment, is accurate, that there is heavy competition among insurers there. And as a result, it is putting pressures o n the pricing.

On large risk, the impact on pricing is also seen because there is competition . Wherever it is reinsurance -driven , there is competition among reinsurers, but there are certain segments which are holding fairly well. For example, refineries or energy segment, where although the pricing is under pressure, it is not as much as in other segments within the property.

As a reinsurer, we are keeping a close watch on the pricing on the direct side. And we have handles in our reinsurance contract which will fairly protect us if the loss ratio is deteriorating steeply.

On the overseas, January 1st renewal, it was soft. We had got some indication because we are part of some of the conversations that happened before the renewal , and we were bracing for the softness of the market. But we observed that there is plenty of capacity, plenty of capital in the market. And therefore, there were heavy pressures on the shares.

We wanted to write good shares, but we could not. Eventually, our shares g ot reduced. It is called signing down . So, signing pressures were there on our business. But we could write some more business also which balanced on the income side . So, in a way, our foreign book became a little more broad -based than what it was before.

Sanketh Godha: Sir, so basically, the combined ratio, what you reported, say, 121% for nine months, which is definitely a better number compared to last year, if the market is soft, say, next year, then do you think it is fair to say that to maintain 120% also will be an immediate target, or you think that number can improve or rather deteriorate if the market is soft?

Sanjay Mokashi: We feel that this number will improve because our approach to risk selection, our approach to underwriting has n't changed. Even in this soft market cycle, we have been able to fairly maintain our position in terms of other terms and conditions on the contract. We were not chasing premium in this soft market cycle because it would not make sense.

Public And o ur target, a s our Executive Director, Additional Charge CMD, said that our target is to improve 1 % point per annum on the combined ratio . Our property portfolio is almost 70% of our foreign book. And t his is where our underwriting discipline should be more focused, an d that is what we are doing.

Sanketh Godha: So, basically, Hitesh, sir, you said in the call that that rating benefit will play out in 3 -4 years rather than on immediate basis . So, if it plays out at a full potential, say, in 3 -4 years, this 120 combined r atio, you think it will improve to 110 or I am not saying 100, but maybe 110 , 105 kind of a number possible, sir, because you already saw a 10% delta improvement in the combined in international business in the current year. Another 10% is over 2-3 years is possible?

Hitesh Joshi: See, the rating and these are absolutely different things. When we are saying that we will regain our business and we will rebuild our earlier position in the market, it is with reference to the credit rating.

The combine d ratio performance is more about the overall pricing environment, terms and conditions environment, and the development of climate -related risk and the changes that have taken place since 2023 in terms of the share

of risk borne by an insurance company an d a reinsurance company.

So, when I said about rating, I was talking about our growth and our market share, which we should be able to restore . And we should also be able to access other markets based on our A rating. And the underwriting discipline is mo re on the operating performance side .

So, I would like to say that these are two separate things. A nd a longside the growth and restoration of the market share, improvement in performance can certainly go on. They can definitely run in parallel. There is no contradiction there.

Sanketh Godha: No, sir, the reason I asked this question is the rating upgrade probably gives you a potential to

better contracts access, which was not possible in the past . So, indirectly, it improves the quality of the book, and therefore, the combined can improve .
I was coming from that perspective that naturally, it will contribute to the growth, but the growth will come along with the improvement in the combined. Maybe this credit rating gives you access to better quality contracts.
Hitesh Joshi: Yes, we expect that.
Sanketh Godha: And t he second thing, sir, in the domestic business, one thing just I wanted to check was that your motor, Or even domestic business, motor has at overall level, sorry, motor has done well .
So, is it largely , if this growth of around 17% in the motor is generally very high or even compared to the underlying market of the domestic business, it seems to be in line or a little better than t he industry .
 So, I just wanted to understand what led to this thing. Are there specific risks which are getting reinsured, or because of long -term policies, people want to reinsure, and therefore, that is driving your growth, or will you gain market shar e? So , any color on that number will be useful.
And t hen second thing, your view on Agri again because this number has been consistently coming off for us compared to what we were doing in the past. Even in the current year, it is just like a marginal growth year -on-year. And n ext year is a new tendering cycle. I don't know whether the new formula will be based on 80 -110, or I am not sure on that part. Then how do you foresee the crop business playing out for you for next year in that sense?
Sanjay Mokashi: Sanketh, on motor domestic, the growth is a mix. The motor domestic, almost 84% or 85% is obligatory . So, the growth in the market on the direct side will get reflected in obligatory. But we also write motor reinsurance is more proportional w here the income comes from. And it is a combination of this motor proportional as well as obligatory that has resulted in growth in motor business.
And coming to your question on agriculture, yes, we are waiting for the new tender cycle. We have been part of the committee that was constituted for getting inputs on the agriculture segment. The experience in the last year was different to the previous years. We are in touch with all these ced ents, including Agriculture Insurance Company Limited, and we a re ready to support the market in whichever form they require. We expect that cup and cap model in a different way will continue.
Sanketh Godha: But most likely, whether it will be a pan -India adoption of 80 -110, or a similar kind of a structure, then it r educes the reinsurance opportunity to us. So, I just wanted to understand whether pan -India, it will go in that way, or you still think there will be states available for reinsurance?
Sanjay Mokashi: It is going pan -India, is a little unlikely because diff erent states have different preferences. A nd also, some of these states have seen the benefits of burn cost method . So, it is difficult to speculate at this stage. Let us wait for the outcome. We will write, we will avail the opportunities in the best poss ible way

and support the Indian market.
Hitesh Joshi: I will just add here, Sa nketh , that if at all you analyze the trend, probably there are quite a few players on 80 -110 already. And now, probably, they are thinking of switching to 60 -130. So, probably that phase where reinsurance was not required, it is done. There is a saturation. And now, there is probably a U -turn. There are other models which are being considered, as I said, 60-130, or something else, which will definitely increase more ris k by the insurance companies and more reinsurance.
Sanketh Godha: But in 60 -130, then probably we will see more XOL covers rather than proportional covers, which was a growth driver in the past.
Sanjay Mokashi: It will entirely depend, Sanketh, on whether 60-130 will be at burn cost or the traditional cup and cap. If it is burn cost, there will be demand for proportional treaties as well.
 Sanketh Godha: And lastly, maybe to extend the first question which I asked, maybe if domestic guys are coming and askin g for the renewals in the commercial lines, especially fire and engineering segment, are you still pi cking the burn cost as a benchmark for the reinsurance, or the market is still soft for the higher ticket size sum insured also?
Sanjay Mokashi: In the pro perty segment, while answering earlier question, I did mention that we will use the reinsurance handles that are available to us to ensure that we do that tightrope walking of protecting our balance sheet at the same time supporting the insurance companies . I am afraid beyond that, we cannot discuss our strategies in detail , and w e will look at each contract based on its own merit.
Sanketh Godha: Thanks for your answers.

Moderator: The next question is from the line of Shobhit Sharma from HDFC Securities Limited. Please go ahead.

Shobhit Sharma: I have two questions. Firstly is on the motor side of the business . So, if you can give us some color around how the loss ratio on the motor side of business has been shaping up for you. And secondly, on the OD side, we have seen direct side insurers have witnessed an impact on the loss ratio, and it is primarily because of the Nat Cat impact in the lower IDV .

So, can you share your experience on that, and how do you see that as a business opportunity for you? Because as one of the industry players who used to retain most of the risk on their net has also started ceding . So, this is my question on the motor side.

Secondly, coming to the health business, we have seen we have been de -risking ourselves on this side of business all time because of the profitability it offers . So, can you give us some color around the color of this book, how much of this is obligatory in nature and how much of it is non-obligatory? And are we losing good business on the table on this side?

Sanjay Mokashi: Coming to motor business, Shobhit, as I mentioned while answering previous question, on the domestic side, a large portion of our business is obligatory , and t he market results will get mirrored in our obligatory results. But we also participate on many proportional and non - proportional treaties, and where our focus is to ensure that the book is profitable. A nd as a result, for the domestic business, if you see our incurred claim ratio hasn't changed muc h as compared to previous year.

But yes, on motor foreign, we have encountered issues with the international business that we write, mainly from Israel and Turkey, where some results strengthening has been happening. And as a result, the motor internation al business has seen negative results. But we have taken care of that. We are closely monitoring. And o n 1st January, while renewing the international motor business, we have ensured that we de -risk the portfolio and realign our shares so that there is a t urnaround in motor busin

ess result .

 Coming to your question on health segment, almost 64% of the health business is obligatory , and t hat will, again, mirror the results of the market. In addition to that, wherever there are opportunities in supporting ins urance companies, health is not greatly reinsurance -driven. But there are many proportional treaties, and there are many government schemes where the insurance companies require reinsurance support. But we extend our support only where it makes sense for us on reinsurance basis.

And t herefore, on the non -obligatory segment, in terms of business volume, there would be some volatility that we always witness. But we are okay with that because eventually, our objective is to look at the combined ratio and ensure that our combined ratio is tolerable or it is improving.

Hitesh Joshi: I would just like to add here about the observation that you made , and I think it is a fairly good observation from your side that motor ODs can emerge as a significant opportun ity. I think it is one of the segments which will get affected by the climate change, more flood events. And i t definitely presents an opportunity. So, of course, we have ample capacity. You know that we are in a very good position in terms of the solvency . And w e will be definitely exploiting this opportunity to the extent it develops.

Shobhit Sharma: So, just a small follow -up because we are now in the ongoing renewal season with the Indian insurers . So, have you seen the OD ceding coming into the discussions during the current renewal cycle?

Sanjay Mokashi: The discussions are happening as we speak, Shobhit. And usually, the companies buy their reinsurance on a combined basis. Yes, the non -proportional treaties, the catastrophic exposures are basic ally for OD segment. But yes, we are discussing, and we will see how it pans out.

Shobhit Sharma: These are my questions.

Moderator: The next question is from the line of K. Karthikeyan, an individual investor. Please go ahead.

K. Karthikeyan: I have a cou ple of questions. One is with respect to the obligatory business . So, you are making an answer to the first question, right, the first questionnaire. You mean to say that when the obligatory percentage comes down, it is better for the company? I mean, it w ill free up capital and improve profitability. Is that understanding correct?

Hitesh Joshi: I think it will be a very simple evaluation if we say it is good or bad because obligatory gives us an opportunity in terms of sizable premium volume and the attend ant float that we can get . So, the benefit is in terms of the diversification and the investment income.

At the same time, we are not able to choose the risk. The good comes with the bad, and it is a market performance. So, we don't have the freedom to write the way we ideally would like to write . So, there are pluses and minuses. And overall, we are of the opinion that it balances out .

Public So, it is not very white or black because this is a proportional contract, and we also have a sizable non-proportional book and a facultative book. I am not sure whether I have answered your question, but you can come up with a follow -up question.
K. Karthikeyan: I understand, sir . So, it gives us more freedom and all that . So, again, say tomorrow it comes down to say, I mean, it is currently 4%. It comes to 2% . So, will that improve our business profile, or what is the outlook on that , and if it comes down by 50% going forward?
Hitesh Joshi: As I said, part of the business lost will get replaced by the voluntary business , and i t depends on where do we deploy our capacity and what is the dynamics of that. Suppose we transfer this capacity, which is given to obligatory, which is a pr

oportional contract, to a non -proportional contra ct or an international contract. So, t he different segments of the market present different levels of volatility and attendant return on equity.
So, it is essentially a job of an underwriter to match the return on equity with the volatility that we are w riting. So, if we are able to deploy this capital alternatively in a, say, equally attractive or a more attractive segment of, say, international catastrophe non -proportional, we would be better off.
K. Karthikeyan: I understand completely. And the next qu estion, see, in the past, CEO 's comment saying that there is a lot of fraud and all that is happening in the insurance market . Now, what kind of tools are we deploying to detect that and mitigate those kind of problems?
Hitesh Joshi: See, I would like to say that this is at the heart of the industry, and it is a perennial problem, the adverse selection and the moral hazard. And w hatever can be done can be essentially done only on the direct side. Motor and health are two classes where there is a tremendous scope for deploying claims management practices, the AI. And t here are various tools and techniques. Just as we have our tools and techniques as a reinsurer, there are so many claims management techniques which are differently adopted by different players in the market.
But as a reinsurer, our support is essentially at, say, portfolio level. Our, say, 90% plus premium and exposures are coming from prop and non -prop treaties. So, fraud is essentially a domain of the insurance companies. Unless you highlight something specific, we can probably discuss on the call or offline , but I believe it is the domain of the insurance companies.
K. Karthikeyan: So, specifically, probably I can send an email.
Hitesh Joshi: Please. Y es, please.
K. Karthikeyan: And the health, right, given the market is growing for this year, the nine months, there is more than 15% growth, right, for the primary company , but whereas we have degrown. Any specific reason for that?

Public Sanjay Mokashi: Health , the non -obligatory portion is quite volatile as in terms of volumes. If we don't renew a particular contract which has significant volumes, we end up de -growing. Our focus will always be on the contract that will make sense to us. And w e may win some. We may lose some. But yes, it is the dynamics that will play out and manifest into de -growth or growth.
Hitesh Joshi: I would like to just add here that it is not necessarily that when we lose a particular segment of premium, it is that somebody else has walked away. See, this health side, the insurance companies may also restructure their entire rein surance purchase. So, it is quite possible that on a large contract, a particular insurance company decides to buy it differently or not buy at all.
In that case, if that particular purchase is replaced by self -retention, we might have volatility, as our CEO pointed out, that this is a fairly volatile segment. It is not necessarily that we are losing market share or we are losing business. It can also be that insurance companies are retaining more.
K. Karthikeyan: All my questions have b een answered.
Moderator: The next question is from the line of Ritika Dua from Bandhan. Please go ahead.
Ritika Dua: Sir, just one question left. On this CAT reserve , we have mentioned in the notes to account, where are we today on an outstanding basis?
Hitesh Joshi: The question is not clear. What is outstanding basis?
Ritika Dua: So, as in, we said that in the notes to account that we are going to continue to create this reserve till the time we create a particular kitty. So, what is the outstanding reserve that we have already created?
Hitesh Joshi: It is about INR 2,000 crore, and it is supposed to be a strategic kitty that we are building

. So, it is not that, say, suppose it is crossing, say, INR 3,000 crore, we will start withdrawing. It is a long-term strengthening of the balance sheet and our capital position in a way . So, we will continue to build and will not withdraw unless there is a, say, major catastrophe which puts stress.

So, we have internal policy for this creation and utilization of the CAT reserve . And we will be continuously recalibrating that because any withdrawal from CAT reserve is also a substitute from the reinsurance purchase and all that . So, there is a trade -off involved .
So, on a dynamically basis, we will be evaluating this. And we will be undertaking a major review when we touch something like INR 5,000 crore. So, it is a long journey. I hope it helps.
Ritika Dua: No, sir. It helps a lot. S ir, just one, sorr y, I missed one point when you were mentioning. How does the utilization of this work like?

Hitesh Joshi: We will see if there is a major jolt to our P&L, a major catastrophe. In line with this particular, say, catastrophe reserve policy, with the approval from the Board , we can utilize the funds in the CAT reserve . That is how we are planning.
Ritika Dua: That is very helpf ul. I am done.
Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for the closing comments.
Hitesh Joshi: Thank you. As we have been advising the investing community over all thes e quarters' earnings calls, that market is becoming more nuanced. It is becoming more sophisticated. It is evolving.
As I also mentioned in my introductory remarks, that though this market is getting characterized as a soft market, every soft cycle phase is also different. Though there are similarities, there are also differences. There is more nuanced approach in terms of assessing a particular cedent's operating performance.
On the back of disciplined underwriting, consistent execution, and our strategic approach, we hope and believe that we will continue to achieve the guidance we are giving and continue to perform to the satisfaction of our stakeholders. Thank you. Good morning , and all the best.
Moderator: Thank you, sir. On behalf of General Insurance Corporation of India, that concludes this conference. Thank you for joining us. You may now disconnect your lines.